

Market Response to Racial Uprisings*

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Abstract

We study the effect of the Black Lives Matter (BLM) movement—the largest protest movement in US history—on the profitability of publicly traded firms in the US police industry. We find that the stock prices of firms connected to police rose by 7 pp relative to those of nonpolicing firms in the three weeks after incidents triggering BLM uprisings. After George Floyd’s murder, in line with this positive market performance of police department vendors, law enforcement agencies more exposed to protests were likelier to adopt surveillance and accountability technologies, a trend reflected in higher sales for firms providing these technologies. These results are consistent with financial markets anticipating that anti-Black violence and the ensuing social unrest would translate into gains for police suppliers through greater adoption of surveillance technologies by law enforcement agencies, despite the popular calls to reduce investment in policing and explore alternative public safety approaches.

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1 Introduction

Viral incidents of anti-Black violence have sparked Black Lives Matter (BLM) uprisings since 2013, culminating in the 2020 mass protests calling for the reform or defunding of police (Akbar, 2020; Kaba et al., 2021) and potentially destabilizing police-connected companies. Stock markets reveal investor expectations about firm performance and policy changes (Wolfers and Zitzewitz, 2004). While investors might expect the prospects of firms subject to social pressure (Hong and Kacperczyk, 2009) or calls for divestment (Fisman et al., 2014; Bursztyn et al., 2023) to decline, what effects we should anticipate from such phenomena are in fact ambiguous: Reform movements could benefit providers of accountability technologies, while social unrest might reinforce law-and-order agendas, benefiting policing firms.

The BLM movement highlights systemic racism and police brutality (Figure 1). BLM activism generated the largest sustained protests in US history, according to the New York Times (Buchanan et al., 2020), which led not only to new legislation on policing and massive cultural shifts¹ but also significant reactionary countermovements (Newman et al., 2024). In this paper, we empirically examine whether investors viewed this social unrest as creating crises or opportunities for the police industry and verify whether these market expectations materialized in actual firm profitability and demand from police departments.

We assemble a unique dataset on policing-connected firms, finding their stock returns increased by 7 percentage points (pp) relative to those of their nonpolicing counterparts following viral events triggering BLM uprisings, with the gains concentrated among firms providing surveillance technology and body-worn cameras (BWCs). We show that these events were specifically tied to law enforcement contracting.² Finally, we document increased sales for police suppliers and rising police department demand for BWCs and gunshot detection technology after 2020, suggesting investors correctly anticipated higher public expenditure on policing technologies rather than funding cuts.

Evaluating the impact of viral anti-Black violence and the uprisings it has triggered on firms tied to police requires that we overcome several challenges. First, we need to under-

¹Examples include corporate diversity commitments and hiring initiatives, the Academy Awards implementing diversity requirements for Best Picture eligibility (Sperling, 2020), and increased corporate diversity pay initiatives (Eavis, 2020).

²We rule out other mechanisms by showing that neither white supremacist violence nor mass shootings impact police stocks and that anti-Black violence does not impact private safety firms with no connection to police. While BLM is often associated with demand for workplace diversity, positive effects on the CARs of firms with diverse boards and CEOs emerged only after the murder of George Floyd.

stand the demands of the BLM movement and the implications of different discourses for the role of police in US society. Second, no readily available dataset tracks the performance of firms contracting with the police, and endogenous factors associated with firms’ decision to supply police departments can make it difficult to isolate the causal effect of the social movement from the effects of unobserved confounding factors.

We address these challenges by providing background on three policy discourses on policing: traditional crime control approaches (Becker, 1968; Levitt, 1997), police reform perspectives (Becker and Stigler, 1974), and abolitionist views advocating reduced policing, which gained prominence after summer 2020 (Davis, 2011). Since BLM demands such as “defund the police” derive from prison and police abolitionist concepts, we incorporate this framework into our model, where firm returns are a function of BLM exposure and investor expectations regarding demand for goods unrelated to policing, police reform technologies, and crime control tools. This framework yields theoretically ambiguous predictions: Uprisings could lead investors to expect either reductions in the scale of policing and lower performance among police suppliers or increased investment in crime control and reform technologies.

Next, using Twitter engagement data, we identify the most salient events driving our analysis, which span BLM’s inception following Trayvon Martin’s death in 2012 through George Floyd’s murder in 2020. The earliest events involved civilian anti-Black violence where perpetrators escaped punishment, generating demands for prosecution and broader criminal justice reform. Michael Brown’s 2014 death marked a critical turning point as the movement shifted toward directly confronting police violence, with protests in Ferguson, Missouri, sparking nationwide debates over police militarization and accountability. This pattern intensified through subsequent events—Tamir Rice’s death in 2014, Alton Sterling’s killing in 2016, and George Floyd’s murder in 2020—as activists’ demands evolved from seeking accountability for individual officers toward advocating systemic police reform and abolition.

To examine the impact of these racial uprisings on the police industry, we build a novel dataset of publicly traded firms connected with US law enforcement using vendor directories from police conferences, magazines, and websites (2010–2022). We use text analysis of firms’ 10-K filings to quantify policing exposure, on the basis of which we categorize companies as strongly or weakly connected to police. We manually classify their products to distinguish reform technologies (e.g., BWCs, training) from crime control tools (e.g., firearms, surveillance). We complement this analysis with datasets on firms with minority

CEOs and private safety companies to examine whether BLM’s effects extend beyond direct law enforcement suppliers. Finally, we construct a control group of publicly traded firms in similar industries and locations that do not contract with police.

We use our new dataset to estimate the impact of anti-Black violence that triggered BLM uprisings on firm performance, where our primary empirical strategy leverages a synthetic difference-in-differences (SDID) estimator ([Arkhangelsky et al., 2021](#)) to compare firms exposed to policing to synthetic counterfactuals constructed from firms in the control group.³ We leverage high-frequency financial market data to obtain granular, instantaneous, and forward-looking responses in company value as the uprisings progressed.

First, we focus on the short-run effect of viral incidents triggering BLM uprisings, such as the killings of Martin, Brown, and Floyd. We show that the cumulative abnormal returns (CARs) of strongly connected policing firms were 7 pp ($p < 0.01$) higher than those of their nonpolicing peers in the three weeks after the viral incidents; we find no effect for weakly connected firms. Furthermore, the two incidents sparking the greatest outrage over police violence, the killings of Brown and Floyd, led to the largest increases in CARs for strongly connected firms: In the 21 trading days after Floyd’s murder, these firms’ CARs increased by more than 16 pp relative to nonpolicing firms’. This indicates that the market anticipated increased demand for products and services tailored for law enforcement.

Next, motivated by the implications of “defund” for public spending, we explore how the viral incidents affected firms by their level of government exposure ([Hart et al., 1997](#)). A critical temporal shift occurred after Brown’s killing sparked mass protests in Ferguson: Before it, low-government-exposure firms’ CARs rose by 6.7-9.2 pp after civilian violence against Black civilians, while high-exposure firms saw no gains. Brown’s killing reversed this—the gains shifted to high-government-exposure firms, increasing by at least 5.42 pp per incident (23.09 pp and 22.59 pp after the Brown and Floyd killings). Markets expected higher private security returns when the perpetrators of the violence were civilians but greater public-sector profits when police were involved, consistent with a trade-off existing between private and public security ([Heaton et al., 2016](#)).

We can identify the market’s expectations regarding the policy response to the racial uprisings by examining the products and services provided by firms with strong connections to the police. Vendors of BWCs, video cameras, and other surveillance equipment experienced a significant increase in CARs after the viral incidents (16 pp to 22 pp ($p < 0.01$)). Vendors of police accountability tools related to training equipment and courses also experienced

³In a robustness check, we use the synthetic control (SC) estimator from [Abadie and Gardeazabal \(2003\)](#) and [Abadie et al. \(2010\)](#), finding results similar to those from our main specification.

higher returns. These findings suggest that the racial uprisings led the financial market to anticipate increased demand for devices to surveil police and civilians, potentially improve police accountability, and manage crime suspects. However, we find no evidence of better performance among firms providing tools related to 911-dispatched products or data analytics.

We next analyze whether mass shootings and white supremacist killings are capitalized into policing-connected firms' stock prices differently from anti-Black violence. We find no evidence that mass shootings impact policing firms' performance. White supremacist murders targeting African Americans, LGBTQ+ people, and Jewish communities generate small and statistically nonsignificant effects on policing firms.⁴

To examine whether the market's responses to the racial uprisings extended beyond law enforcement suppliers to firms whose profiles intersect with BLM's broader focus on racial equity, we analyze firms with minority CEOs and private security companies with no law enforcement ties. The effects on firms with Asian and Hispanic CEOs are negligible; firms with Black CEOs exhibited an average increase of 1.4 pp driven almost entirely by George Floyd's killing, which generated a gain exceeding 7 pp ($p < 0.01$). In contrast, private security firms unconnected to law enforcement show no effects across all the BLM events. The abnormal returns were concentrated among policing-connected firms and did not spill over to broader security sectors, reinforcing that the market gains were driven by expectations of increased police-related contracts rather than demand for security in general.

While our main analysis examines the short-run impacts of the uprisings, we also document long-run effects of Trayvon Martin's 2012 killing—the event that gave rise to BLM—on policing firms' performance. Between the date of the teenager's murder and December 2020, a passive investor's portfolio of shares of strongly connected policing firms would have increased by 92.4 pp more ($p < 0.05$) than a portfolio of shares of their non-policing peers. These findings are consistent with markets anticipating that local governments would increase investment in police in response to the racial uprisings, as has been documented for other contexts (Derenoncourt, 2022; Cox et al., 2022).⁵

Finally, we explore the real impacts of the 2020 uprising. After Floyd's death, policing firms enjoyed significant financial benefits—sales growth exceeding 200% and cost reduc-

⁴Anti-Black violence often prompts debates on policing and mass shootings on gun control (Luca et al., 2017, 2020); attacks by white supremacists do not result in debates on investment in policing.

⁵For example, Derenoncourt (2022) finds that police spending increased in the urban areas exposed to arrivals of Black Americans during the Great Migration and where civil unrest occurred in the 1960s.

tions. Correspondingly, police departments increased their adoption of (reform-related) BWCs and (crime-control-related) gunshot detection. Instrumenting for protest intensity with weather variations, we show that departments in areas with police killings in summer 2020 and greater protest exposure adopted significantly more technologies across these two categories. This shift aligns with the documented market movements.

Literature Review We extend the research on policing (DiPasquale and Glaeser, 1998; Cunningham and Gillezeau, 2019; Ang, 2020), particularly aggressive policing (Hoekstra and Sloan, 2020; Grosjean et al., 2022; Feigenberg and Miller, 2021; Ba et al., 2021) and misconduct in communities of color (Ba, 2018; Rivera and Ba, 2018), the effects of police presence (Chen et al., 2021), and the financial burdens policing imposes on neighborhoods (Sances and You, 2017; Goncalves and Mello, 2021). We build on studies of civilian–police engagement after violence (Mikdash and Zaiour, 2024; Ang et al., 2024), which emphasize how national salience drives change—a key aspect we explore. Another line of research shows the consequences of police violence for corporate behavior (Denes and Seppi, 2023) and board diversity (Bogan et al., 2021). We reveal that markets expect civil unrest to increase spending on policing.

We also contribute to the literature on the societal, political, and economic effects of social movements (Acemoglu et al., 2018; Wasow, 2020; Beraja et al., 2021; Archibong et al., 2022; Barrett et al., 2024) and on firms’ exposure to risk due to their political ties (Fisman, 2001; Knight, 2006; Acemoglu et al., 2016) or labor practices (Lee and Mas, 2012; Fisman and Wang, 2015) or from climate conditions (Hong et al., 2019; Giglio et al., 2021) or political uncertainty (Snowberg et al., 2007; Baker et al., 2016; Hassan et al., 2019). We add insights on the influence of government spending on firm performance (Beraja et al., 2020, 2021; Spenkuch et al., 2021). Whereas we study the market’s response to the broader BLM movement, Ba et al. (2024) examines how the salience of narratives shaped beliefs over the performance of policing firms specifically after Floyd’s murder.

Plan The rest of this paper is organized as follows. Section 2 provides background on BLM, key incidents, policy discourses on policing, and a conceptual framework. Section 3 describes our dataset of policing-connected firms. Section 4 presents the empirical strategy and short-run results on how BLM incidents affected policing firms’ stock performance. Section 5 examines alternative channels with analyses of mass shootings, white supremacist violence, minority CEO firms, and private security companies. Section 6 ana-

lyzes the long-run impact of Trayvon Martin’s death. Section 7 examines firm performance and government technology acquisition following George Floyd’s murder and implications for “defund the police.” Section 8 presents robustness checks. Section 9 concludes with a discussion of the implications of our findings.

2 Background

BLM’s primary objective is systemic transformation of policing and carceral institutions. The movement explicitly targets policing systems, seeking “a future fully divested from police, prisons, and all punishment paradigms” and redirection of resources toward community investment (Figure 1). Because criminal justice and policing are the central targets of BLM protests and demands, police-related firms, as suppliers of law enforcement, are direct economic targets of BLM uprisings. In contrast to prior US protest movements, BLM has leveraged social media from the movement’s inception. This section presents BLM’s focal events and demands, analyzing potential channels through which these developments could influence financial markets.

2.1 Timeline

We use Twitter data from Dunivin et al. (2022) to identify the most important BLM-related events. This is particularly appropriate for studying BLM uprisings because, unlike prior protest movements in the US, BLM galvanized supporters and made events “go viral” using social media. Our method ensures we are capturing viral events that resulted in widespread engagement rather than events selected on the basis of our own perceptions of what was important. However, many of the most impactful BLM events are those that align with people’s recollection of important moments for the movement.

Figure 2 reports the logged daily count of tweets with the hashtags #BlackLivesMatter, #AllLivesMatter, #BlueLivesMatter, and #WhiteLivesMatter on Twitter. The dashed vertical lines indicate the dates of seven high-profile incidents of interest for our analysis. The first two events sparked the BLM movement,⁶ while the remaining events are associated with the largest daily change in the number of #BlackLivesMatter tweets per quarter. We utilize the timeline and classification of Giorgi et al. (2020) to identify the circumstances around each event. All of these events related to violence against Black civilians being per-

⁶See the BLM website at blacklivesmatter.com/about/

petrated by non-Black civilians or law enforcement. We categorize each incident as relating to either civilian anti-Black violence (C) or police violence (P). The seven core events are:

1. **Death of Trayvon Martin on February 26, 2012 (C):** Trayvon Martin, 17 years old, was fatally shot by George Zimmerman, a 28-year-old neighborhood watch coordinator.
2. **Acquittal of George Zimmerman (C) on July 13, 2013:** Zimmerman was acquitted of murder and manslaughter, sparking the creation of the #BlackLivesMatter hashtag and the beginning of the BLM movement.
3. **Mistrial in the Jordan Davis shooting case on February 15, 2014 (C):** Jordan Davis, 17 years old, was killed in November 2012 by Michael Dunn, a 45-year-old software developer. In February 2014, Dunn was convicted of attempted murder, but jurors could not agree on the first-degree murder charge for killing Davis, leading to a mistrial ([NBC News, 2014](#)).
4. **Death of Michael Brown on August 9, 2014 (P):** The first high-profile BLM protests in connection to incidents of police violence occurred in the summer of 2014, following the death of Eric Garner in July. Shortly after, in August 2014, the death of Michael Brown at the hands of Officer Darren Wilson in Ferguson, Missouri, catalyzed immediate and spontaneous BLM protests. This incident not only sparked public outcry but also prompted a 2014 Department of Justice probe into the city's policing practices.⁷
5. **Death of Tamir Rice on November 22, 2014 (P):** Tamir Rice, a 12-year-old, was killed by Cleveland police officer Timothy Loehmann.⁸
6. **Death of Alton Sterling on July 5, 2016 (P):** Police in Baton Rouge killed Alton Sterling. Shortly thereafter, an officer in the Minneapolis–St. Paul metropolitan area killed Philando Castile. This month also saw the killings of police officers in Dallas and Baton Rouge.

⁷The DOJ investigation found that the municipality incentivized the police to generate more revenue through municipal fines and fees by enforcement. Following the report's release, Moody's downgraded Ferguson's general obligation by seven grades, from Aa3 to Ba1 ([Moody's, 2015](#)).

⁸Financial news outlets lagged in their coverage of BLM. For instance, the *Wall Street Journal* started discussing the BLM movement only in the month of Tamir Rice's death, i.e., sixteen months after the emergence of the social movement and three months after the events in Ferguson.

7. **Death of George Floyd on May 25, 2020 (P):** A Minneapolis police officer, Derek Chauvin, killed George Floyd. This event led to massive protests across the US and around the world.

The timeline tracks a critical shift in BLM's demands. Broadly, the BLM movement and its demands center on violence against Black people and systemic impunity for that violence facilitated by the criminal legal system. This diverges from the longstanding emphasis on reducing crime as the sole focus of the criminal legal system.

2.2 Policy Discourses

Policy Discourse BLM evolved in a context featuring three distinct policy discourses: crime control focused, reformist, and abolitionist. Crime control perspectives have dominated the economics literature (e.g., [Levitt, 1997](#)) and policy discourse at least since [Becker \(1968\)](#), but police violence against marginalized communities has given rise to critical discourses in policy debates, with reformist and abolitionist perspectives introduced to audiences previously focused solely on crime reduction ([Akbar, 2020](#)).

Advocates of crime-control-oriented policing prioritize providing police more resources for fighting crime and conducting investigations, often by means of surveillance technologies (e.g., predictive policing, data analytics, gunshot detection, drones). They tend not to emphasize policing's negative externalities. Reformists call for measures to improve accountability among police for their behavior such as training, BWCs, oversight agencies, community policing, and police force diversity. Critics argue that the "reformist reforms" advanced by this group entrench policing without reducing harm against marginalized groups ([Gilmore \(2007\)](#); [Vitale \(2017\)](#); [Critical Resistance \(2020b\)](#)).

Abolitionists promote reallocating police spending to nonpolice alternatives aimed at addressing crime's sociological determinants: community-based accountability, mutual aid, housing, and healthcare ([Davis, 2011](#)).⁹ Abolitionists argue that reforming police through taxpayer-funded settlements and evaluation costs is costly and prefer to shift funds to nonpolicing alternatives such as housing and mental health resources.

⁹The "defund the police" demand arose from the historical US abolitionist movement ([Davis, 2011](#); [Akbar, 2020](#); [Davies et al., 2021](#)), advocating systemic reconsideration of policing and criminal justice. Like the civil rights activists who challenged Jim Crow laws ([Cunningham and Gillezeau, 2019](#); [Wasow, 2020](#); [Derenoncourt, 2022](#)), contemporary abolitionists agitate for the dismantling of oppressive state institutions, citing police violence against Black and brown Americans, health disparities, and disproportionate incarceration rates. While the protests of summer 2020 popularized abolitionist demands, foundational work by [Gilmore \(2007\)](#), [Davis \(2011\)](#), and [Critical Resistance \(2020a\)](#) had sought to establish sustainable alternatives to carcerality some years earlier.

BLM’s Demands The BLM movement and reactions to it have influenced the popularity of the discourses above. BLM’s demands have evolved from seeking justice in individual cases to challenging the legitimacy of policing at the societal level. The early events triggering BLM uprisings—George Zimmerman’s killing of Trayvon Martin (CNN, 2012) and Michael Dunn’s killing of Jordan Davis (Alvarez, 2014)—involved civilian anti-Black violence whose perpetrators escaped punishment, which generated demands for prosecution and criminal justice reform (Sandoval and Kennedy, 2012; Demby, 2014). Michael Brown’s 2014 death marked a turning point in BLM activism toward decrying police violence, with the movement’s demands broadening beyond prosecution of specific officers to emphasize the systemic character of police brutality (Davey and Bosman, 2014). Heavy-handed police responses sparked debates about police militarization (Paul, 2014), the Obama administration proposed increased funding for body-worn cameras (VOA, 2014), and coverage of looting fueled concerns about a “Ferguson effect” (Bello and Alcindor, 2014; Tobin, 2015; Schuppe, 2015).¹⁰

From Ferguson to Floyd, a pattern emerged: Police killings triggered BLM activity and demands for reform, which were met by crackdowns and concerns about crime and disorder. Countermovements such as #BlueLivesMatter emerged after Tamir Rice’s killing in late 2014 and snowballed with subsequent killings. By 2020, BLM demands shifted toward police abolition and mass carceral reform, explicitly targeting policing systems and redirection of investment toward communities.

2.3 Conceptual Framework

The competing policy discourses discussed above and the evolution of BLM’s demands create some ambiguity about what effects we should expect from BLM uprisings. The BLM movement could affect the performance of firms contracting with law enforcement in several ways, depending on which of the views about policing discussed above in Section 2.2 prevailed in structuring investors’ interpretation of the events. Hence, we must examine the market’s responses empirically.

Assume that the return π_i of stock i depends on the future demand for products provided by firm i such that N_i are goods not related to policing, C_i are goods related to crime control, and R_i are goods related to police reform. The products are a function of the firm’s exposure to BLM activism, b . The relationship between the three goods and the return of firm i can be expressed as

¹⁰See the discussion in (Rivera and Ba, 2018).

$$\pi_i = \pi(N_i(b), C_i(b), R_i(b)). \quad (1)$$

For each firm i , we assume that π_i is differentiable in N_i, C_i and R_i and each of N_i, C_i and R_i are differentiable in b . To match our empirical analysis, nonpolicing firms produce only goods unrelated to policing, so that $C_i = R_i = 0$; i.e., they do not produce any goods or services linked to crime control or police reform. However, firms tied to policing have $C_i > 0, R_i > 0$, or both.

In theory, the expected sign of the effect of BLM uprisings triggered by violence against Black civilians on the returns of firms connected to policing is ambiguous. The change in the returns of firm i , $d\pi_i$, as a change in exposure to BLM activism, db , is expressed as

$$\frac{d\pi_i}{db} = \underbrace{\frac{\partial \pi}{\partial C_i} \frac{dC_i(b)}{db}}_{\text{Crime}} + \underbrace{\frac{\partial \pi}{\partial R_i} \frac{dR_i(b)}{db}}_{\text{Reform}} + \underbrace{\frac{\partial \pi}{\partial N_i} \frac{dN_i(b)}{db}}_{\text{Nonpolicing}}. \quad (2)$$

By equation 2, the BLM uprisings have three potential modes of influence: benefitting *Crime*, *Reform*, or *Nonpolicing*. We assume that $\frac{\partial \pi_i}{\partial q} > 0$ for all $q \in \{N_i, C_i, R_i\}$, i.e., that there is a positive relationship between the return of a stock and the demand for product q . While the net effect depends on the sign and magnitude of each part of equation 2, this expression helps clarify the implications of the different views on policing explained previously, corresponding to (i) investment in crime control tools as a response to BLM, i.e., $\frac{dC_i}{db} > 0$; (ii) investment in police accountability tools as a response to BLM, i.e., $\frac{dR_i}{db} > 0$; and (iii) reducing the scale of police, i.e., $\frac{dC_i}{db} < 0$ and $\frac{dR_i}{db} < 0$. Finally, the *Nonpolicing* effect could be null if the product N_i is unrelated to policing. It could also be positive (or negative) if there is an increase (decrease) in demand for product N_i as a response to BLM, i.e., $\frac{dN_i}{db} > 0$ ($\frac{dN_i}{db} < 0$).¹¹

The subsequent sections of this paper delve into the empirical effects of the BLM move-

¹¹Concrete examples of the types of firms in our sample that we map to the model above include Smith & Wesson Brands, Inc., which produces firearms and contracts heavily with police departments by selling firearms (and other equipment), making it mainly a crime-control firm. In contrast, Axon Enterprise, Inc., supplies police departments with BWCs, a product promoted by reformists, as well as crime control-oriented products and services, such as less-than-lethal weapons in the form of tasers. If investors believed the incidents triggering BLM activism would increase demand for crime control-oriented products and services, we would expect crime control-related firms to increase in value. In contrast, if investors believed that increased public funds would flow toward policing reform in the form of purchases of more BWCs instead of firearms, we would expect the shares of Axon to rise. Publicly traded companies such as Apple, Boeing, and Johnson & Johnson represent nonpolicing firms but are in the same industries and are used in the control group for our analysis.

ment, from its inception following Trayvon Martin’s death to the pivotal moment marked by George Floyd’s murder and the issuing of calls to defund the police. We aim to shed light on how these events have shaped law enforcement agencies and the broader landscape of the policing industry.

3 Data and Descriptives

3.1 Data Sources and Sample Selection

Roster of Firms Connected to Policing Gathering data on the policing industry presents significant challenges because of the fragmented and private nature of data collection. There is a strong incentive for firms to withhold data, given its potential to cast a negative light on related parties and institutions (Zingales (2020); Davies et al. (2021); Bell (2021)).

We overcome this challenge by using multiple data sources to construct our roster of publicly traded firms connected to policing. First, we compile firms referenced on Police1.com from November 2021, *Police Chief Magazine*’s buyers guide from 2010 to 2021, and exhibitor lists from the International Association of Chiefs of Police (IACP) conferences from 2010 to 2021. These resources provide a directory of vendors contracting with law enforcement agencies in their product and service procurement processes.

Next, to categorize publicly traded firms based on their exposure to policing, we use annual 10-K form filings from EDGAR, which provides all the relevant reports available since 2001. The 10-Ks are particularly useful because they contain detailed and audited information about firms’ performance and are uniformly available. For each firm, we construct a time-varying measure of exposure to policing using a method similar to that in Hassan et al. (2021). Specifically, we count the number of times that words associated with policing appear within a firm’s 10-K and then divide this number by the total number of words in the report to account for differences in document length. The time-varying exposure to policing for a firm i during year t is given by

$$Exposure_{it}^{Police} = \frac{1}{|K_{it}|} \sum_{k \in K_{it}} \mathbb{1}(k \in \Gamma_{Police}). \quad (3)$$

where K_{it} is the multiset of words contained in firm i ’s 10-K in year t , $\bar{K}_{it}$ is the multiset of uni-grams and bi-grams in firm i ’s 10-K in year t , and Γ_{Police} is the set of words or

word combinations associated with policing: *police*, *policing*, *sheriff*, *trooper*, and *law enforcement*. We compute the average exposure for each firm and identify firms appearing in one of the references from Police1 or the IACP. Finally, we define firms as having strong connections if their police exposure is above the 75th percentile. We categorize the remaining firms appearing in one of the police resources as having weak ties. For example, Motorola Solutions Inc. and Cisco Systems are both technological equipment companies, and both contract with law enforcement, providing surveillance, video equipment, and other products. However, Motorola more frequently discusses law enforcement in its 10-Ks and provides a much larger range of products and services to law enforcement. Thus, Motorola is classified as a strongly connected policing firm, while Cisco is classified as a weakly connected policing firm.

Exposure to Government To disentangle the effect of investment into private versus public safety after the viral incidents, we construct an index of exposure to government spending. To quantify this exposure, we manually collect client lists for firms contracting with law enforcement in the fall of 2022 using Bloomberg. Then, we identify government entities' clients using words associated with the public sector (e.g., *DOJ*, *DOD*, *law enforcement*, *city*). Finally, we compute the share of government clients for each firm.

Finance Data We collect financial data from Wharton Research Data Services (WRDS) for each publicly traded firm in our sample. We use Beta Suite to compute the firms' abnormal returns. In addition, we use the daily and monthly stock information from the Center for Research in Security Prices (CRSP). The firms' geographical information and Standard Industrial Classification (SIC) codes are collected from Compustat. To merge the data of firms connected to policing with the financial data, we fuzzy-name-match the roster with firm names from Compustat. We supplement this data with I/B/E/S Summary Recommendations, which contains one record for each forecast period for each firm. This file provides an average recommendation as well as the number of recommendations for all analyst recommendations. We use the percentage of buy recommendations as our primary outcome variable to measure analyst sentiment toward firms.

Additional Rosters In additional analyses, we examine whether BLM events primarily affect police-related firms or extend to other firm types. To this end, we construct two additional rosters. First, we identify firms with minority CEOs (Black, Asian, and Hispanic

executives) following [Bogan et al.’s \(2021\)](#) methodology using ISS data, which allows us to examine effects on minority-led firms. Second, we compile private safety firms offering alternatives to public policing, including private security companies and civilian safety technology firms, which represent potential beneficiaries of resource reallocation from traditional law enforcement. Details on our methodology for constructing these rosters, firm classifications, and descriptives are provided in [Appendix A.2](#).

Sample Selection We restrict our analysis to publicly traded firms incorporated in the US and listed any time between July 2013 (when the BLM movement emerged) and December 2020. To construct the control group, we select publicly traded firms facing economic and labor market conditions similar to those faced by the firms connected to the police industry. Hence, our sample consists of publicly traded firms in the same states and 4-digit SIC codes as policing firms. These firms do not mention any policing-related terms in their 10-K filings, which we take as evidence that they are not connected to the police industry. The final sample includes 859 publicly traded firms¹²: 88 classified as policing firms, composed of 23 strongly and 65 weakly connected policing firms, and 771 firms in the control group.

Computing Excess Return As our primary outcome of interest, we focus on the abnormal returns, AR_{it} , of firm i on date t , which can be measured at the daily or monthly level. Abnormal returns measure gains or losses beyond general market movements. Using the Carhart four-factor model ([Fama and French, 1993](#); [Carhart, 1997](#); [Fisman and Wang, 2015](#)), we compute

$$AR_{it} = R_{it} - [\hat{\alpha}_i - \hat{\beta}_{MKT,i}RM_t - \hat{\beta}_{SMB,i}SMB_t - \hat{\beta}_{HML,i}HML_t - \hat{\beta}_{UMD,i}UMD_t], \quad (4)$$

where R_{it} is the excess return on asset i (over the T-bill rate) at t , $\hat{\alpha}_i$ is the estimated four-factor alpha; RM_t is the market excess return, SMB_t is the size factor (small minus big), HML_t is the value factor (high minus low), and UMD_t is the momentum factor (up minus down). We estimate $\hat{\alpha}_i$, $\hat{\beta}_{MKT,i}$, $\hat{\beta}_{SMB,i}$, $\hat{\beta}_{HML,i}$, and $\hat{\beta}_{UMD,i}$ via ordinary least squares (OLS): $R_{it} = \alpha_i + \beta_{MKT,i}RM_t + \beta_{SMB,i}SMB_t + \beta_{HML,i}HML_t + \beta_{UMD,i}UMD_t + \epsilon_{it}$.¹³ For

¹²The limited number of publicly traded firms with strong connections to policing in our final sample—just 23 out of 859—suggests high concentration in the industry around a few key players, indicating potential monopolistic power. See the Federal Trade Commission’s administrative complaint against Axon Enterprise about the concentrated market for BWCs ([FTC, 2023](#))

¹³In the analysis at daily frequency, parameters are estimated over a pre-incident window of 252 trading

each firm i , cumulative abnormal returns from day n to m are $CAR_i[n, m] = \sum_{t=n}^m AR_{it}$.

3.2 Descriptives

Summary Statistics Table 1 presents the descriptive statistics of the firms in our sample. Columns (1) and (2) report the mean and standard deviation for strongly and weakly connected policing firms, respectively, while column (3) presents the statistics for the control firms.

Differences in exposure to policing in the year before the incidents of interest confirm that strongly connected policing firms use more terms associated with policing in their financial reports than their counterparts (with firms with weak ties and control firms averaging nearly zero mentions of such terms). Moreover, half of the customers of strongly connected policing firms are public-sector customers—more than three times the number for weakly connected policing firms. For financial measures, we find that weakly connected policing firms are larger (as measured by logged total assets) and more profitable (as measured net income over market equity) and have higher leverage (debt over shareholders' equity) than both strongly connected policing firms and control firms. Moreover, compared to the control firms, strongly connected policing firms are smaller, more profitable, and have lower leverage.

3.3 Preliminary Evidence

Performance of Firms Connected to Policing To motivate our analysis, we report the monthly performance of policing firms and control firms.¹⁴ The top panel of Figure 3 shows that the monthly abnormal returns (ARs) of strongly connected policing firms were higher than those of control firms in the month after the viral incidents triggering BLM protests, especially for George Zimmerman's acquittal, the events in Ferguson, and the murder of George Floyd. We do not see higher monthly abnormal returns for weakly connected policing firms. These figures suggest that only firms with strong ties to policing experienced better financial performance during periods with high-profile incidents related to the BLM movement.

days ending 30 days before the relevant event date (Li and Lie, 2006; Jayachandran, 2006; Acemoglu et al., 2016). In the long-run analysis, abnormal returns are computed with the Carhart four-factor model, with an estimation window of 60 months ending 30 months before the day of interest.

¹⁴We select from publicly traded firms between 2010 to 2021.

Analyst Recommendations The bottom panel of Figure 3 reveals that analyst sentiment shifted in parallel with market performance, but with a crucial timing difference. Prior to Michael Brown’s death in August 2014, analysts issued more buy recommendations (as a share of total recommendations) for firms with no policing connections. However, following this pivotal event, which marked the BLM movement’s shift toward confronting police violence directly, this pattern reversed decisively. The shaded area shows that buy recommendation differentials increasingly favored strongly connected policing firms, with sustained positive gaps persisting around the subsequent high-profile incidents including the deaths of Tamir Rice and Alton Sterling. Following George Floyd’s murder, analysts again failed to anticipate the sharp rise in police-related stock values, demonstrating that even professional forecasters systematically mispredicted these market dynamics, likely because of the “defund the police” movement. Appendix Figure A.3 confirms that weakly connected firms experienced no such shift, with their buy recommendations remaining flat relative to those of the controls throughout the period. This 2014 inflection point reveals an important distinction in market dynamics: While abnormal returns responded immediately to the high-profile incidents, analyst recommendations adjusted more gradually, suggesting that the markets rapidly incorporated these shocks, whereas analysts’ systematic forecasts reflected a slower but persistent upward reassessment—one that occurred exclusively among firms with the strongest policing connections.

4 Short-Run Analysis

4.1 Empirical Strategy

Synthetic Difference-in-Differences To identify the effect of the high-profile incidents related to BLM activism on these policing firms’ stock performance, we use the SDID estimator (Arkhangelsky et al., 2021) to compare firms exposed to policing to synthetic counterfactuals constructed from firms in the control group¹⁵. While control firms share similarities (4-digit SIC code and state) with treated (policing) firms, they may differ on other characteristics and may not have parallel trends with the treated firms in the absence of incidents. However, pre-incident daily abnormal returns data provide insight into the suitability of different control firms. In SDID, a weighted control group is algorithmically constructed such that its pre-exposure trend is as close as possible to the treated firms’.

¹⁵As a robustness check, we use the SC method (Abadie and Gardeazabal, 2003; Abadie et al., 2010; Acemoglu et al., 2016) (see Appendix A.1).

Moreover, pre-exposure time periods are reweighted so that those more similar to post-exposure periods have a higher weight. Under the assumption that the trends of weighted control firms and treated (policing) firms are also parallel in the post-exposure periods, we can then recover the average treatment effect on the treated (ATT).

Before presenting the estimator, we first define the equation of interest. For each firm i at date t , the outcome y_{it} is given by

$$y_{it} = \mu + \alpha_i + \gamma_t + Police_{it}\beta + \varepsilon_{it}, \quad (5)$$

where α_i is a firm fixed effect, γ_t is a time fixed effect, μ is a constant, and ε_{it} is the error term. The dummy variable $Police_{it}$ denotes exposure to the binary treatment, i.e., whether a firm is a policing firm and whether t is after the incident. In our application, we separately consider the two levels of connection to policing, such that $Police_{it} = \{Strong_{it}, Weak_{it}\}$, describing firms with strong and weak connections, respectively. The SDID estimator captures the average effect of exposure to high-profile incidents, $\hat{\beta}^{sdid}$, written as

$$(\hat{\beta}^{sdid}, \hat{\mu}, \hat{\alpha}, \hat{\gamma}) = argmin_{\mu, \gamma, \alpha, \beta} \sum_i \sum_t (y_{it} - \alpha_i - \mu - \gamma_t - Police_{it}\beta)^2 \hat{\omega}_i \hat{\lambda}_t, \quad (6)$$

where $\hat{\omega}_i$ corresponds to the weights for each firm that align the pre-exposure trends in the outcome of the control firms with those of the treated group. The SDID estimator includes firm fixed effects, α_i , and time weights, λ_t , that balance the pre-exposure period with the post-exposure periods. Finally, we follow [Arkhangelsky et al. \(2021\)](#) to compute the standard errors using a placebo analysis by applying the SDID estimator to firms not exposed to treatment. We apply this SDID design across multiple specifications in the paper. For each, we recompute the weights for each treated group and donor pool¹⁶.

4.2 Daily Impact of High-Profile Incidents

Pooled Figure 4 presents the daily impact of the events triggering BLM uprisings on firms' CARs. We report the trajectory of the CARs before and after the events for policing firms and their SDID counterfactuals. The figure shows that the SDID counterfactuals approximate the actual CAR trajectories, with similar pre-incident behavior for both strongly and weakly connected policing firms during the pre-incident period. After the

¹⁶Table A.9 summarizes the events, donor pools, outcomes, frequencies, and weighting for each specification.

events, strongly connected policing firms outperformed their counterfactuals between the 3rd and 21st trading days, suggesting that the performance effect of the high-profile incidents on strongly connected firms took a few days to materialize. We find that the high-profile incidents triggering BLM uprisings led to higher CARs for firms with strong connections with policing ($\hat{\beta}_{strong} = 0.07(SE = 0.01)$). Firms with weak ties to policing exhibit trends similar to those of their counterfactuals after a high-profile incident ($\hat{\beta}_{weak} = -0.001(SE = 0.006)$).

Heterogeneity by Incident We report the SDID estimates of the daily impact of the high-profile incidents triggering BLM activism in the subsequent 21 trading days by incident in Figure 4 along with the 95% confidence interval for each estimate.

The results indicate that the effect of the high-profile incidents sparking BLM uprisings varies by firms' level of connection to policing. For weakly connected policing firms, the SDID estimates are virtually zero for the incidents before Tamir Rice's death, while for the incidents after the deaths of Tamir Rice and Alton Sterling, we find small and not statistically significant increases in weakly connected policing firms' CARs (less than 1.5 pp). Finally, the murder of George Floyd had a negative but not statistically significant effect on weakly connected policing firms' CARs ($\hat{\beta}_{weak} = -0.036(SE = 0.025)$).

In contrast, the high-profile incidents triggering BLM uprisings consistently led to higher CARs for strongly connected policing firms. In particular, the killings of Michael Brown and George Floyd led to sharp increases in CARs of 8.5 pp ($SE = 0.020$) and 16.5 pp ($SE = 0.041$), respectively. Other incidents—the deaths of Trayvon Martin, Tamir Rice and Alton Sterling, the acquittal of George Zimmerman, and the mistrial in the Jordan Davis murder case—are also associated with a rise in CARs (of between 3.0 pp and 4.4 pp) for strongly connected policing firms. Figures A.4 indicate that the SDID counterfactual and actual CARs follow similar trends for the period before the incidents.

To summarize, viral violence against marginalized communities led to higher abnormal returns for firms with strong ties to police. The effects were largest in the wake of the killings of Michael Brown and George Floyd, which sparked considerable public outrage. These results are consistent with the incidents triggering a change in the market's expectations of future demand for products and services tied to policing. However, we do not find evidence that firms with weak connections to policing benefited from these incidents, meaning that the gains were concentrated in firms dealing heavily in policing-related products and services.

4.3 Exposure to Government Agencies

The “defund” debate motivates our analysis of the daily impact of the focal high-profile incidents on firms’ CARs by the firms’ level of exposure to government agencies (i.e., public-sector clients). Figure 5 presents the SDID estimates and their 95% CIs for strongly and weakly connected policing firms with shares of public-sector clients below and above 50%, with imprecisely estimated or small effects across events. Overall, there is no significant effect on weakly connected policing firms, regardless of government exposure.

However, for strongly connected policing firms, there are, across incidents, significant increases in CARs of 3.86 pp ($SE = 0.013$) and 9.98 pp ($SE = 0.016$) for companies with low and high shares of public-sector customers, respectively. Interestingly, there is a notable shift in which strongly connected policing firms benefited from the incidents triggering BLM uprisings over time. Before Ferguson and the killing of Michael Brown, the increases in CARs were concentrated among strongly connected policing firms with low shares of public-sector clients: 9.17 pp ($SE = 0.036$), 6.70 pp ($SE = 0.025$), and 6.66 pp ($SE = 0.032$) after the deaths of Trayvon Martin, the acquittal of George Zimmerman, and the mistrial in the Jordan Davis shooting case, respectively. However, those firms with high shares of public-sector clients saw no gains on average.

The killing of Michael Brown in Ferguson seems to have been a turning point. From Ferguson onward, the pattern reversed, and the gains almost entirely correspond to strongly connected policing firms with high exposure to government, whose CARs increased by at least 5.42 pp ($SE = 0.028$) per incident. For example, the killings of Michael Brown and George Floyd led to significant increases in CARs of 23.09 pp ($SE = 0.024$) and 22.59 pp ($SE = 0.056$), respectively, for strongly connected policing firms with high exposure to government agencies. In contrast, the killing of Michael Brown led to a drop in CARs of 5.26 pp ($SE = 0.025$) for strongly connected policing firms with low shares of government customers.

As government expenditures can lead to a tradeoff between investments in private and public security (Heaton et al., 2016), these findings are consistent with the financial market’s expecting higher returns for companies providing private security, i.e., firms with a low share of government clients, when the incidents involved violence against Black civilians by other civilians. In contrast, investors seem to have expected incidents involving the police to result in greater profits for businesses with a higher proportion of public-sector buyers.

4.4 Market Expectations on Product Performance

This section explores the impact of the viral incidents on firms' performance by type of product and service provided. Disaggregating the effects by product category allows us to distinguish between reform-oriented and crime control-oriented firms benefiting from the incidents triggering BLM activism. One of the main challenges to our understanding the effects of racial uprisings on firms' products and services is that there are no comprehensive datasets about the product classification of the firms tied to policing.

We overcome this challenge by manually coding firms' products and services using categories from issues of *Police Chief Magazine* from 2010 to 2021. For example, we can distinguish firms that provide accountability tools (e.g., training, BWCs) from firms providing solely crime control-focused and surveillance equipment (e.g., predictive policing equipment, firearms, CCTV cameras). Overall, we identify 35 unique product and service categories among the 23 firms with strong ties to law enforcement.¹⁷ Table A.12 indicates which product categories are associated with police reform.

For each event of interest, we recover the effect of the incidents (pooled) on the CARs for a portfolio of firms focusing on each set of products and services. We restrict our analysis to products and services associated with at least two publicly traded firms. We report on bundles of tools and services among the same firm's products.¹⁸

Figure 6 presents the daily impact of the high-profile incidents on firms' CARs by type of product and service; the effects vary significantly by category. Panel A focuses on groups of products that performed relatively well. We find a significant increase in CARs of firms that provide BWCs, video cameras, and other surveillance equipment. Overall, the returns of firms providing those tools increased by between 16 pp and 22 pp ($p < 0.01$) in the three weeks after the incidents triggering BLM uprisings relative to the returns of their synthetic counterfactuals. These results are consistent with the financial market's anticipating increased demand for monitoring and surveillance of civilians and police officers simultaneously. In addition, vendors of products such as restraints, equipment, firearms, and less-than-lethal weapons experienced a significant increase in the days after the viral incidents. In other words, investors anticipated that the demand for products to manage

¹⁷Five companies—Vista Outdoor, Calamp Corp., Aware, Inc., Intellicheck, Inc., and Rekor Systems, Inc.—did not appear under any categories in *Police Chief Magazine*. Therefore, they are not included in the product heterogeneity analysis.

¹⁸Specifically, GDWR (GPS + detention equipment + evidence storage + report writing), PPNM (personnel management + predictive policing + networks + mobile devices) and Alarms (alarms, evacuation + public address equipment).

criminal suspects would increase in response to the incidents triggering BLM uprisings. Finally, investors expected demand for police accountability tools to increase, as the CARs for firms providing training equipment, courses, and seminars increased by at least 6.5 pp ($p < 0.05$).

Panel B focuses on products and services for which we find no evidence of better or worse performance after the viral incidents tied to BLM activism. In brief, we find that firms providing crime analysis tools, mobile or communication devices, tools performing network analysis, or computer-aided dispatch experienced negative returns after the viral incidents. However, these estimates are too noisy to draw strong conclusions about the impact of the focal incidents on products and services related to data analysis, predictive policing, or civilian demand for police (e.g., 911).

5 Other Potential Channels

5.1 Responses to Mass Shootings and White Supremacist Murders

This section evaluates the impact of other types of viral violent incidents on the performance of policing firms. One could argue that such events may lead market actors to anticipate increased demand for goods and services related to private and public security. To test this conjecture, we focus our analysis on the effects of viral incidents related to mass shootings and murders perpetrated by white supremacists.¹⁹

Impact of Mass Shootings Because policing and crime are closely related to the discussion on guns in the US (Duggan, 2001; Manski and Pepper, 2018; Donohue et al., 2019), stocks of firms connected to policing may also respond to high-profile incidents related to gun violence. If, for example, one believes that crime rates would increase due to racial uprisings and the demand for guns as a means of self-protection increases in turn, we should expect that policing firms might perform better than their nonpolicing peers after uprisings. Using the fact that demand for guns increases after mass shootings (Levine and McKnight, 2017; Koenig and Schindler, 2021), we test whether such surges impact the performance of policing firms.²⁰

¹⁹In another context, there is a growing literature on the negative externalities of mass shootings on education outcomes (Rossin-Slater et al., 2020; Bharadwaj et al., 2021; Brodeur and Yousaf, 2022) and consumer confidence (Lagerborg et al., 2022).

²⁰Anecdotal evidence suggests that mass shootings increase gun manufacturers' stock prices. Surprisingly little empirical evidence confirms this hypothesis (Brodeur and Yousaf, 2022). To the best of our knowledge,

We use the comprehensive “Violence Project Mass Shooter Database” (version 4.0, July 2021), which covers all public mass shootings from 1966 to 2020 in the US. We restrict our sample to the deadliest shootings during our period of interest (2010–2020). In particular, we focus on eleven mass shootings between 2012 and 2019, in which 12 to 58 individuals were killed during each shooting (see Table A.10 for event details).

Panel A of Figure 7 presents the SDID results of the daily impact of mass shootings on policing firms. Panel A indicates that the trends of policing firms follow paths similar to those of their SDID counterfactuals before and after mass shootings. In other words, there is no evidence that the mass shooting events affected the performance of firms contracting with law enforcement agencies, in contrast with the large effects that we find for the incidents triggering BLM uprisings in Figure 4.

Impact of Murders by White Supremacists Parallel to recent racial uprisings, the radical right has grown worldwide (Dal Bó et al., 2021), including in the US where the #WhiteLivesMatter hashtag emerged as a response to #BlackLivesMatter (Figure 2). The Anti-Defamation League (ADL) classifies “White Lives Matter” as a white supremacist slogan promoted by extremist groups as a countermovement to Black Lives Matter’s protests against police brutality (see ADL (2022)). Given growing concerns about hate crimes and terrorist attacks by far-right extremists and evidence that viral murders by white supremacists are linked to White Lives Matter supporters (Panizo-Lledot et al., 2019), we test whether policing firms’ performance diverges from that of their synthetic counterfactuals after such events.

We use data from the ADL to investigate the impact of 8 violent incidents linked to white supremacist extremists in the US that targeted African Americans, LGBTQ+ people, or the Jewish community. Each of these events resulted in the murder of at least one person. To ensure that we consider only incidents that draw viral attention, we restrict our analysis to incidents with at least 100 news articles on Google News when the following search query is used: “white supremacy + [full name of the attacker]”. See Table A.11 for the incident details.

Panel B of Figure 7 presents the SDID results of the daily impact of murders perpetrated by white supremacists on the performance of firms connected to policing. These incidents

only Gopal and Greenwood (2017) explore this question by evaluating the impact of mass shootings on stock prices of gun manufacturers between 2009 and 2013, finding a negative impact of these events. However, the results disappear when the authors focus on post-2010 incidents. Section A.3 documents patterns similar to those in Gopal and Greenwood (2017) for the firearm manufacturers in our sample.

are associated with small and statistically insignificant effects on the CARs of both strongly and weakly connected policing firms. The estimated change for strongly connected firms is slightly negative (-0.27 pp) and imprecisely estimated, while weakly connected firms exhibit a small positive but insignificant shift (0.63 pp). Overall, these results stand in contrast to the much larger and statistically significant effects following viral killings of Black civilians that spurred BLM uprisings, where the impact on policing-connected firms was more than three times greater.

5.2 Types of Firms

We next assess whether the market’s responses to the events triggering BLM protests extend beyond law enforcement suppliers—the primary economic targets of BLM’s agenda—to firms whose profiles intersect with BLM’s broader focus on racial equity. We examine (i) firms led by minority CEOs, whose leadership identity may influence investor perceptions during racially charged events, and (ii) private security firms without law enforcement ties, which could benefit from heightened demand for security following unrest. We examine whether the abnormal returns were concentrated among policing-connected firms—the primary focus of BLM’s divestment demands—or extend to the broader categories discussed in Section 2.

Minority CEOs We identify CEO race and ethnicity (Asian, Black, Hispanic) using the methodology in [Bogan et al. \(2021\)](#); details on our sample construction are provided in Appendix [A.2.1](#). We apply our main SDID estimator to firms with minority CEOs, using a donor pool of publicly traded firms in the same states and 4-digit SIC codes.

Panel A of Figure 8 shows negligible effects for firms with Asian and Hispanic CEOs, with estimated CAR changes of 0.001 and -0.006 , respectively. Firms with Black CEOs, however, exhibited an average increase of 1.4 pp, driven almost entirely by George Floyd’s killing, which generated a gain exceeding 7 pp ($p < 0.01$). No other events produced statistically significant effects. Figure [A.6](#) indicates that the realized CARs and their counterfactuals followed similar trends before the incidents, supporting our identification strategy. Notably, this increase appeared approximately two weeks after Floyd’s killing, whereas the returns of policing-connected firms responded almost immediately. This timing difference suggests that market expectations adjusted quickly for police suppliers but responded more slowly and selectively for minority-led firms, with significant effects emerging exclusively following George Floyd’s death—not for any other incident provoking BLM protests.

Private Security We construct the sample of private security firms without law enforcement ties as detailed in Appendix A.2.1 and apply the same SDID framework, with the donor pool defined analogously to that in the minority CEO analysis.

Panel B of Figure 8 shows that, across all seven BLM-triggering events, the estimated effects are close to zero and statistically insignificant or noisy, with pre- and post-event CARs closely tracking their counterfactuals according to Figure A.7. This absence of a response indicates that the abnormal returns observed for policing-connected firms did not spill over to the broader private security sector. This reinforces the conclusion that the market gains were driven by expectations of increased police-related contracts rather than general demand for security.

6 Long-Run Impact of BLM on the Police Industry

Estimation Strategy To understand the long-run impact of the incidents triggering BLM uprisings on policing firms' performance, we construct buy-and-hold portfolios of stocks of strongly and weakly connected policing firms. This approach is similar to that in Abadie and Gardeazabal (2003). Our analysis considers passive investor portfolios with market value-weighted portfolios of strongly and weakly connected policing firms at the beginning of our sample period. This design allows us to investigate the effect of the emergence of the BLM movement on policing firms' aggregate stock performance.²¹

The portfolios of strongly and weakly connected policing firms comprise the 23 and 65 firms studied in the short-run analysis. For each portfolio (strong or weak ties), we construct a donor pool of 100 portfolios that include nonpolicing firms in the same SIC industry. The donor portfolios of weakly and strongly connected policing firms contain 58 and 18 randomly drawn firms with market value-weighted monthly returns in our sampling period.²² Similarly to what we do in the short-run analysis, we compute the abnormal returns for each portfolio using the Carhart four-factor model with an estimation window of 60 months ending 30 months before the month of interest.

After constructing the treated portfolios and their donor pools, we estimate the impact of Trayvon Martin's death on the CARs from January 2010 to December 2020 using the SC and SDID methods from Abadie et al. (2010); Arkhangelsky et al. (2021). For the SDID (SC) approach, identification of the effect of Trayvon Martin's death relies on the

²¹Moreover, with the portfolio approach, we do not have to restrict our analysis to a balanced panel of publicly traded stocks that covers an extended period.

²²These numbers correspond to the median number of firms in each incident.

assumption that the portfolios of connected firms and those of the weighted-donor pool would have experienced parallel (similar) trends in the absence of his death. Similarly to our approach in the short-run analysis, we follow [Arkhangelsky et al. \(2021\)](#) to compute the standard errors using a placebo analysis.

Results Figure 9 presents the long-run impact of the killing of Trayvon Martin on the cumulative abnormal portfolio returns of firms with weak or strong connections to the police industry. Overall, the figure indicates that the portfolio composed of firms with strongly connected policing firms experiences a significant increase in abnormal returns relative to the returns of other portfolios after the killing of Trayvon Martin in the long run. Compared to the portfolio of synthetic counterfactuals, the portfolio of strongly connected policing firms increases by 92.4 pp ($SE = 0.323$). In contrast, the portfolio of weakly connected policing firms does not outperform their counterfactual group. Interestingly, the growth is not monotonic for the strongly connected policing firms: The CARs of firms with strong ties to policing increased from February 2012 to November 2014 (between the killings of Trayvon Martin and Tamir Rice) before declining and stagnating until summer 2020, when the gains increased following the murder of George Floyd.

Overall, the long-run analysis suggests that the killing of Trayvon Martin, which triggered the emergence of the BLM movement, led to significantly higher returns for firms with strong ties to policing while not impacting the returns of those firms with weak connections. This finding adds to the results from the short-run analysis by documenting that the short-term effects were not temporary²³. In other words, there has been a large cumulative impact of the viral incidents of violence against Black Americans and related to BLM uprisings on the performance of firms with strong ties to the police.²⁴

²³Two distinct mechanisms for short-run increases are over-inference following salient events (e.g., [Augenblick et al. \(2025\)](#)) and “expressive trading” motivated by both financial and socio-political goals ([Anderson et al., 2022](#)). However, the persistence of the returns, together the positive effects on sales and police procurement discussed in Section 7, suggests that the short-run gains can be explained without appealing to misinference or non-financial motivation.

²⁴Figure A.12 shows that using a portfolio of equally weighted firms rather than a market value-weighted portfolio yields results qualitatively similar to those from our main specification. We summarize the results from the alternative specifications in Figure A.13, which uses combinations of SC or SDID estimations and equally weighted or market value-weighted portfolios. Overall, the various specifications lead to similar conclusions.

7 “Defund the Police,” Firm Profits, and Police Responses

The “defund the police” policy discourse entered the mainstream after the murder of George Floyd. This section evaluates how these developments affected firm profitability and stock returns, focusing on companies serving the police sector. We also explore law enforcement’s technology adoption after the 2020 protests.

7.1 Firms’ Performance

This section explores the impact of the viral incident of interest on firms’ performance by type of product and service provided. We discuss the effects of the “defund” movement on the market’s expectation of these firms’ (1) product performance and (2) sales and cost of goods sold.

Product Performance Figure 10 indicates that events of summer 2020 led to a significant increase in the values of firms supplying goods and services related to police reform (e.g., BWCs, training) and crime control (e.g., cameras, firearms, restraint/defense devices), indicating that the financial market did not expect that police would be defunded in response to the outrage and protests during summer 2020.

Sales and Cost of Goods Sold We explore how the events of summer 2020 impacted the sales and cost of goods sold for firms contracting with the police. These outcomes allow us to understand better whether the “defund” movement has impacted the profitability of companies supplying police departments and whether the markets’ positive expectations of future profits proved incorrect.

We consider strongly connected firms and their peers in the same SIC industry for which we have data on sales and cost of goods sold from 2018Q4 to 2022Q1. The final sample includes 19 firms with strong ties to policing and 81 in the donor pool. Our outcomes of interest are the cumulative changes relative to the first period in sales and the cost of goods sold, deflated using the Producer Price Index ([U.S. Bureau of Labor Statistics, 2022](#)). To recover the effect of George Floyd’s murder on the supply of products and services from strongly connected policing firms, we use the SDID and SC methods.

Panels A and B of Figure 11 show the impact of Floyd’s murder on the actual sales and costs of goods and services for strongly connected policing firms based on the SC method. Panel A indicates that sales growth doubled in the quarters after Floyd’s death relative to

that of the synthetic counterfactuals ($p < 0.01$). In contrast, the cumulative growth of cost of goods sold decreased by more than 100 percent ($SE = 0.347$).²⁵

7.2 Police Response to the Summer 2020 Protests

Having established that firms linked to law enforcement saw an increase in stock valuations and sales after Floyd’s murder, we turn in this section to investigating how law enforcement agencies responded to the events of summer 2020. We also examine the ongoing implications of the “defund” movement, which may have counterintuitively stimulated investment in police reform and crime control-oriented technologies.

Data Sources and Sample Characteristics Drawing on the 2020 Law Enforcement Management and Administrative Statistics (LEMAS) ([United States Department of Justice. Office of Justice Programs. Bureau of Justice Statistics, 2023](#)) survey, our analysis examines technology adoption by 3,469 US law enforcement agencies. We concentrate on the prevalence of technologies such as body-worn and vehicle-mounted cameras, public surveillance systems, drones, and gunshot detection as of 2020. We pair this information with incident data from the Global Database of Events, Language, and Tone (GDELT) Project ([Leetaru and Schrod, 2013](#)) and Mapping Police Violence (MPV), tracking protests in response to police killings.²⁶ We focus on protest frequency per agency, especially after George Floyd’s death in 2020, to gauge the impact on BLM’s demands to “defund the police.”²⁷

Additionally, we use demographic and socioeconomic data from the American Community Survey (ACS) and officer counts from the Law Enforcement Officers Killed and Assaulted (LEOKA) 2019 report ([Kaplan, 2023a](#)). We correlate these data with crime rates from the FBI’s Uniform Crime Reporting (UCR) Program 2019 ([Kaplan, 2023b](#)). For our instrumental variable (IV) approach, we source climatic variables from the Global Historical Climatology Network (GHCN) ([Klein Tank et al., 2002](#); [Menne et al., 2012](#)), matching 1,903 agencies with their nearest weather stations (a total of 195 stations).

²⁵The SDID estimates reported in Figure A.14 are qualitatively similar in magnitude.

²⁶For an in-depth explanation of the GDELT Project and its methodological approach, see www.gdelproject.org. More details about MPV can found at mappingpoliceviolence.us.

²⁷We map police killings from MPV to corresponding GDELT-recorded protests, identifying the relevant law enforcement agencies and protest locations across the US from 2013 to 2020. Specifically, we aggregate the number of protests linked to police killings per agency for the years 2013–2019. The main independent variable captures the count of protests triggered by George Floyd’s murder from May 25 to July 31, 2020, reflecting the surge in BLM activism. Further details on the dataset construction can be found in Section A.4.

Table 2 describes the swell of protests that law enforcement agencies encountered in 2020: There were on average 2.41 events per agency, a notable increase from the 0.57 average in the preceding seven years. This uptick underscores the heightened focus on policing issues in the public sphere. In our survey sample, 77% of the agencies are police departments, operating in communities with a median income of \$26,480 and an 11% Black population share, with approximately 28 officers per 10,000 residents and violent and property crime rates at 27.64 and 177.98 per 10,000 residents, respectively.

Empirical Strategy We initially examine the impact of the summer 2020 protests on technology adoption by law enforcement agencies by estimating the equation

$$adopt_i = \alpha + \beta protest_i^{2020} + X_i' \delta + \epsilon_i, \quad (7)$$

where $adopt_i$ equals one if the agency reported adopting the technology and zero otherwise. We normalize our variable of interest, $protest_i^{2020}$, the count of BLM protests per agency, by subtracting the average and dividing by the standard deviation. Each specification controls for covariates X_i , which are reported in Table 2. Standard errors are clustered at the agency level.

OLS estimates of the impact of the summer 2020 protests on law enforcement agencies' adoption of BWCs and gunshot detection technology may not fully account for potential endogeneity. Specifically, there could be unobserved factors that influence both the likelihood of protests occurring and the decision by police departments to adopt new technologies. For instance, departments proactive in community engagement might both experience fewer protests and be more inclined toward technology adoption for transparency.

To address potential endogeneity in examining the effect of the summer 2020 protests on police technology adoption, we employ an IV approach. For this, we leverage weather as an instrument for protest intensity, drawing on prior studies (Collins and Margo, 2007; Dell et al., 2014; Beraja et al., 2021). This IV strategy relies on the exogenous variation in weather which presumably influenced protest frequency but not police technology acquisition.²⁸ By incorporating these instruments, our analysis aims to isolate the direct effects of the protests on technology adoption from any confounding influences.

Our identification relies on the relevance and exogeneity conditions and the exclusion

²⁸To address concerns that the exclusion or exogeneity assumptions fail to hold for subsets of the instruments, we use a falsification adaptive set (FAS) approach as outlined in Section 8.

restriction holding for the instruments in vector Z , which contains L elements. The relevance assumption requires $Cov(protest^{2020}, Z) \neq 0$, indicating Z predicts protest intensity. Exogeneity demands that $Cov(\epsilon, Z_l) = 0$ for all $l = \{1, \dots, L\}$. Finally, the exclusion restriction requires that Z influence the dependent variable solely through the protest variable.

In addition to our primary IV specification, we employ the post-double selection estimator from Belloni et al. (2012, 2013, 2016).²⁹ This approach leverages lasso to systematically select the most relevant instruments from a vast pool, thereby limiting the need for subjective choices by the researcher by identifying key variables to be applied in the IV estimation.

Impact of Protests on Adoption of BWCs and Gunshot Detection In the context of the 2020 BLM protests and the subsequent “defund the police” discourse, Table 3 investigates the evolving adoption of technology within law enforcement agencies. Emphasizing BWCs and gunshot detection technology, the table underscores their critical role in ongoing debates around crime control, police accountability, and transparency.³⁰

Table 3 evaluates the effect of the summer 2020 BLM protests on police departments’ adoption of BWCs and gunshot detection technology. The baseline OLS estimates show a nonsignificant positive association for BWC adoption but may underestimate the true effect because of endogeneity, with factors such as a department’s proactive community engagement potentially influencing both protest frequency and the willingness to adopt new technologies. In contrast, the two-stage least squares (2SLS) and IV-lasso estimates show a significant positive effect on the adoption of BWCs, with coefficients of 0.276 and 0.356, which are statistically significant at the 1% level, suggesting that protests, as instrumented by weather increase technology adoption. The coefficients indicate a substantial effect size, particularly when we consider the mean of the dependent variable at 0.52. Similarly, the adoption of gunshot detection technology is positively and significantly (at the 1% level) associated with BLM protests across all models, with a coefficient of 0.0419 under OLS, and effects of even larger magnitudes at 0.0731 and 0.0827 under 2SLS and IV-lasso estimation, respectively.

²⁹For implementation, we follow Ahrens et al. (2018).

³⁰While it is argued that these technologies improve oversight, their actual effectiveness and the potential privacy concerns that they raise are key points of contention. BWCs have been advocated as a means of ensuring transparency and providing objective records of police encounters, but their actual impact on police behavior and concerns regarding privacy and surveillance have sparked debate. Similarly, gunshot detection technology, designed to enable swift police response to gun violence, has faced scrutiny over its accuracy and high maintenance costs and the potential for intensifying surveillance in minority communities already facing disproportionate police attention.

The increased investment in policing technologies coincided with the previously documented rise in stock valuations and sales for firms associated with law enforcement following George Floyd’s murder. This market performance confirms a broader investor sentiment that the heightened focus on police accountability would likely spur ongoing demand for reform-oriented technologies. The findings underscore a complex relationship whereby societal calls for changes to policing lead not to divestment but rather to a strategic redirection of resources toward police operations, potentially offering both a path to reform for law enforcement and a profitable avenue for related businesses.

Impact of Protests on Surveillance Technology Table 4 provides additional evidence that the summer 2020 protests led to more investment in policing by looking at police departments’ adoption of various video technologies. The OLS estimates suggest a mixed effect, with a negative impact on patrol car cameras and nonsignificant effects on drone- and weapon-mounted cameras but a positive impact on public area surveillance and mobile units. The 2SLS and IV-lasso results, however, consistently indicate a significant positive effect on the adoption of public area surveillance, mobile units, and negative, not significant for patrol car cameras and weapons.

This evidence suggests that the market was correct in predicting that the protests would increase adoption of surveillance technology. The significant coefficients for public area and mobile video technologies in the 2SLS and IV-lasso models, particularly the coefficients of 0.175 and 0.214 for IV and 0.170 and 0.208 for IV-lasso, respectively, confirm market anticipation of a boost in demand for police reform-oriented technology following the BLM protests. This table substantiates the hypothesis that the public demands for police accountability translated into concrete actions by police departments to adopt new video surveillance technologies.

8 Robustness

Event Study To complement the SDID and SC analyses, we employ a standard event-study approach to evaluate the impact of the high-profile police violence incidents on firms’ $CAR_i[0, m]$, where $m = \{1, 7, 14, 21\}$, i.e., in the m days after the viral incident relative to the returns of nonconnected firms in similar industries. We include firm-level covariates such as size, profitability and leverage and fixed effects for location, industry, and incident. We provide more details about the estimation strategy in Section A.1.2 of the appendix.

Appendix Table A.2 reports the event-study results. Similarly to what we find using the SDID (see Figure 4) and SC methods, the effects for weakly connected firms are close to zero and not statistically significant, but those on firms with strong ties to the police are significant. For example, we find that, in the 14 and 21 trading days after the events, strongly connected firms' CARs were 5.75 pp ($SE = 0.027$) and 6.43 pp ($SE = 0.03$) larger than those of peers in similar industries. Moreover, the effect was initially modest and statistically nonsignificant but grew over time and became significant within a week of the incidents. The increase in the effects over time is consistent with investors purchasing more stocks of strongly connected firms when the event was associated with more protests.

Alternative Thresholds for Defining Strong Connections We verify that our results are robust to our using alternative thresholds to define the firms in the strongly connected group. Figure A.11 shows the cumulative distribution function of our measure of firms' exposure to policing and its frequency for firms with strong and weak ties to policing. Figure A.11 provides the SDID estimates and 95% confidence intervals for each high-profile incident using the 25th and 50th percentile thresholds to define strong connections relative to the estimates from the main specification. The effects are economically and statistically more significant for firms more associated with policing. The results hold when we use the 25th percentile as our threshold, but they become noisier.

SDID vs. SC Methods To test the robustness of our primary estimation strategy, we use the SC approach from Abadie and Gardeazabal (2003); Abadie et al. (2010). There are two key differences between the SDID and SC methods. First, under the SDID method, the model includes an intercept weight for the control units so that the pre-exposure trends are as parallel as possible. On the other hand, in the SC method, weights for control units are selected such that the pre-exposure trends are as close as possible. Second, in SDID, time weights are introduced for pre-exposure periods to balance them with the post-exposure time periods (Section A.1.1 provides details.) Overall, the SC results (Figure A.5) and the SDID results (Figure A.4) are highly similar. Both sets of results suggest significant effects only for firms strongly connected to police, with similar pretrends in the actual and counterfactual CARs in the days before the events.

Cumulative Returns and CARs based on the CAPM As another robustness check, we estimate the effects of our interest with the capital asset pricing model (CAPM) rather than

the Carhart four-factor model. Panels A and B in Figure A.10 compare the results from the three specifications for firms with strong and weak connections to policing. Overall, the estimates are very similar, indicating that our results are robust to our using alternative market models to compute the abnormal or cumulative returns.

IV Robustness and Validity Our identification strategy relies on three assumptions pertaining to our instruments: the relevance and exogeneity conditions and the exclusion restriction. It is possible that our instruments might not fully meet these conditions. For instance, weather-related instruments could exert a direct effect on the dependent variables, violating the exclusion restriction (Sarsons, 2015; Mellon, 2023).

To address these concerns, we turn to the falsification adaptive set (FAS) approach from Masten and Poirier (2021). This approach widens the scope of plausible parameter estimates under which the model can withstand potential falsification such that we need not rely on arbitrary sensitivity parameters to evaluate the robustness of our 2SLS estimates. Moreover, in the classical linear model, this set has a simple form. The FAS is determined by considering a series of just-identified models where (1) each instrument is relevant, as indicated by the first-stage F -statistics, (2) nontargeted instruments are posited to have a direct effect on the outcome, i.e., only the targeted instrument satisfies the exclusion restriction, (3) 2SLS estimates are generated for each configuration, and (4) the FAS is constructed from the range of these estimates, specifically the minimum and maximum values obtained.

Figure A.17 provides the FAS for the impact of the summer 2020 protests on police adoption of various technologies. The FAS suggests a consistent positive impact on the adoption of BWCs, gunshot detection technologies, videos in public areas, mobile, and drones, confirming the findings across various estimation methods. However, for patrol car videos, the FAS spans a broad spectrum, indicating a less certain impact of the protests. The negligible influence of protests on weapons-related technologies is also suggested by the FAS, corroborating the OLS, 2SLS, and IV-lasso results.

9 Discussion and Conclusion

Our analysis demonstrates how the mass uprisings in response to high-profile incidents of anti-Black police violence systematically influenced investor expectations. These mass protests coincided with widespread calls for reform, subsequently creating market expecta-

tions of increased public spending on police accountability and surveillance technologies. Importantly, we rule out alternative explanations by showing that other types of violent incidents—including mass shootings and white supremacist murders—produced significantly weaker or no effects on policing firm performance, confirming that the effects we identify were specifically tied to the racial justice protests rather than to general security concerns.

Crucially, the effects that we document correspond to the reformists' demands for enhanced police accountability through technologies such as BWCs and gunshot detection systems rather than to the abolitionists' calls for defunding or reducing police budgets. This distinction is evidenced by significant stock price increases for policing firms following the high-profile incidents, particularly those involving Black victims. These market expectations proved accurate, as government procurement of such technologies increased substantially after summer 2020.

While incidents attracting limited national attention have not always generated protest movements or policy discourse, viral events such as George Floyd's killing created sufficient political pressure to drive both market expectations and subsequent policy responses toward technological solutions promising greater police accountability. This mechanism points to the operation of the political economy of reform rather than abolition. Even amid widespread "defund the police" rhetoric, policing firms' valuations and sales increased substantially—a pattern that validates abolitionist critiques suggesting reform efforts may inadvertently expand rather than constrain policing's scope.

The fact that local governments responded by increasing spending on surveillance and accountability tools, despite the lack of evidence that these improve outcomes for Black communities, also aligns with the argument that "reformist reforms" expand policing's reach while marginalizing alternative harm reduction approaches ([Gilmore \(2007\)](#); [Vitale \(2017\)](#); [Critical Resistance \(2020b\)](#)). Instead of reductions in police resources, the aftermath of the uprisings featured reallocation that enriched policing sector firms and potentially entrenched the very issues the protesters targeted. In line with the racial capitalism literature ([Robinson, 2005](#)), our findings demonstrate how stakeholders and corporations continue to profit from anti-Black violence.

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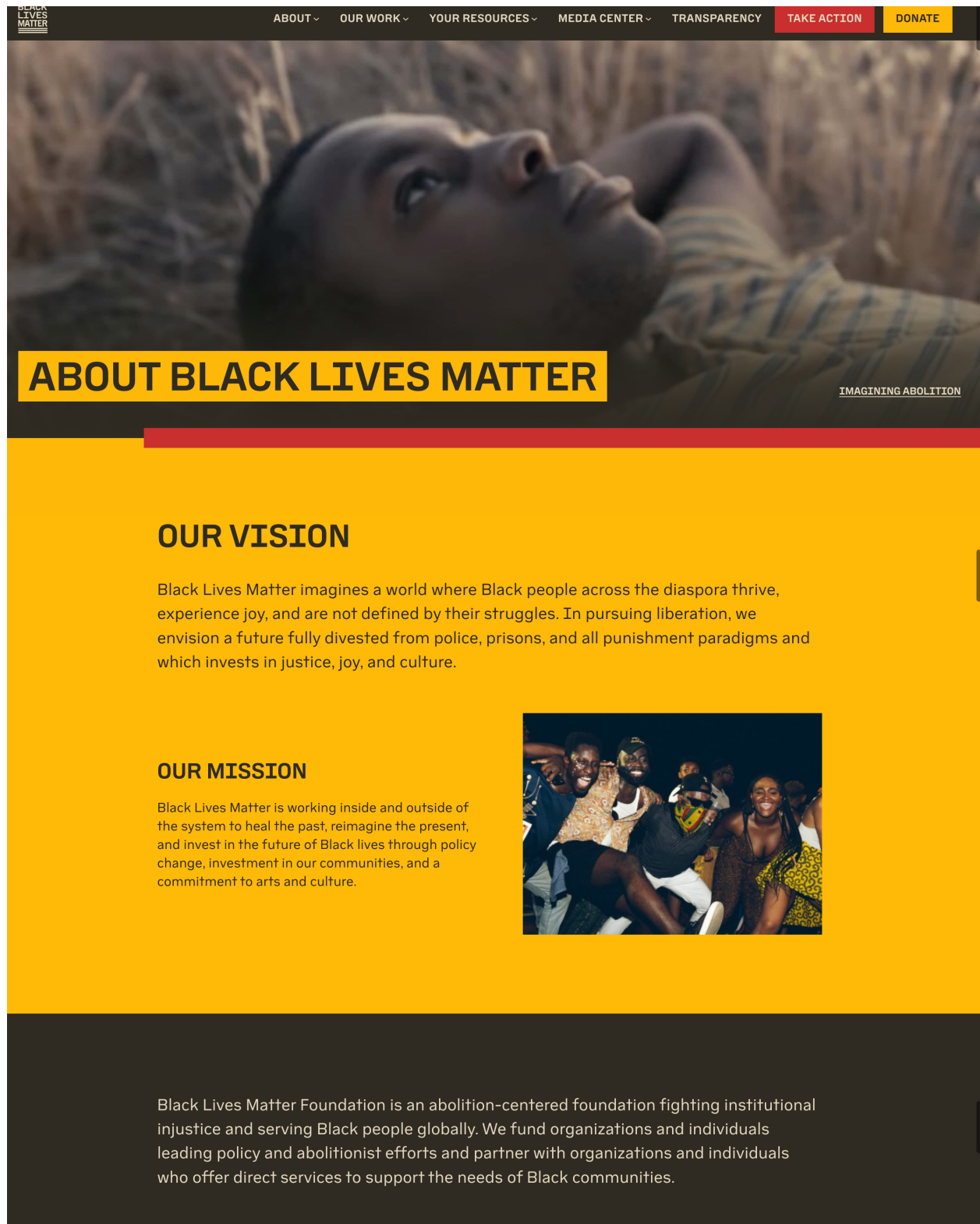
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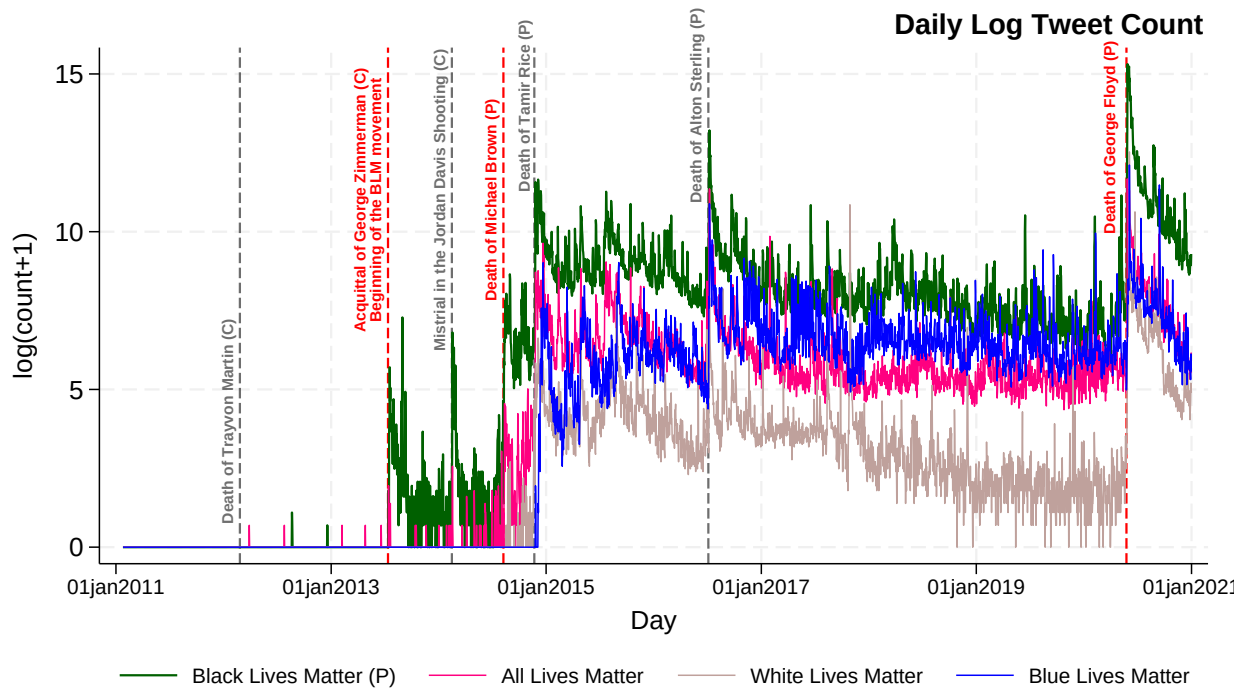
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Figure 1: Black Lives Matter Foundation's Vision



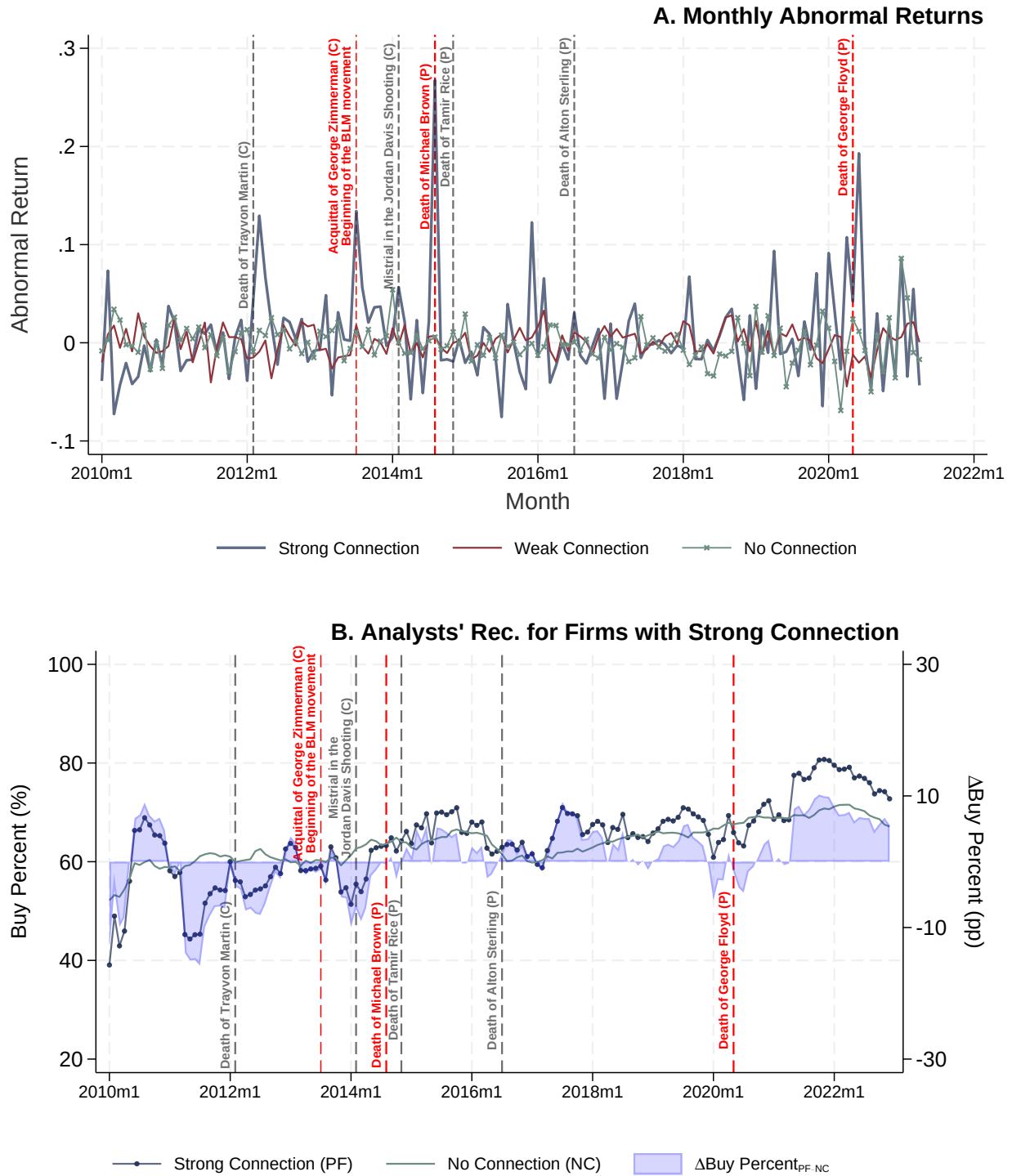
Notes: This figure presents the vision and mission statements of the Black Lives Matter Foundation as displayed on its official website, blacklivesmatter.com.

Figure 2: Timeline of Incidents Triggering BLM Uprisings



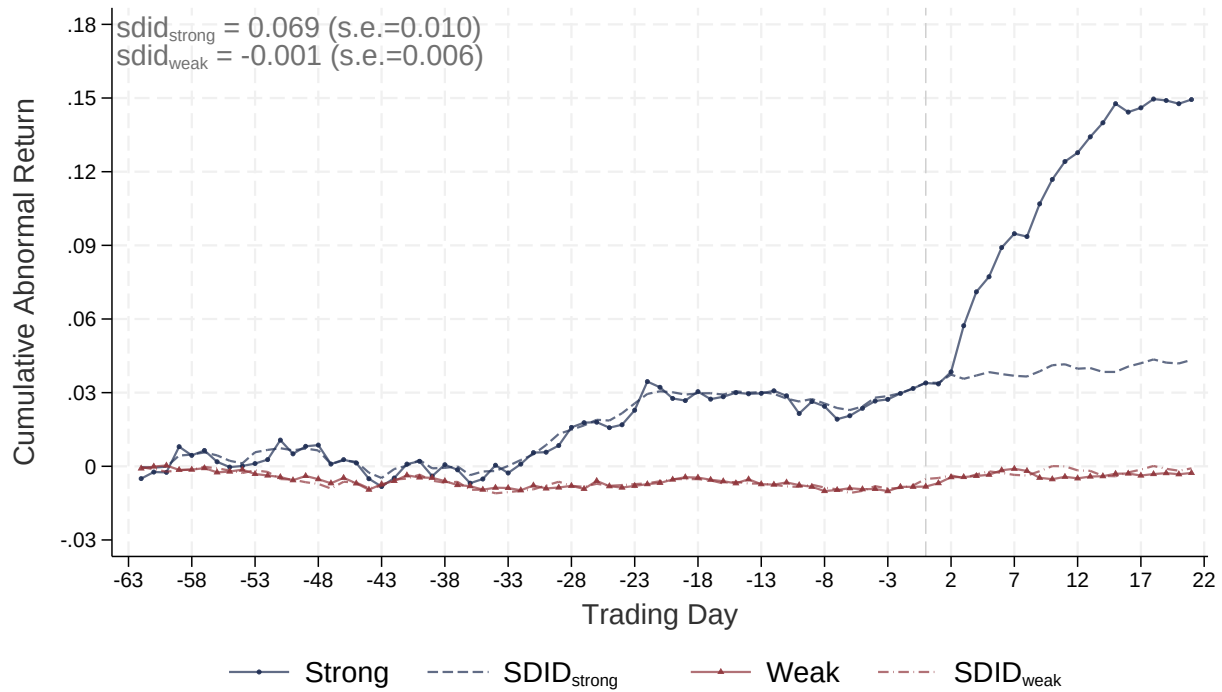
Notes: This figure presents daily counts of tweets containing the hashtags #BlackLivesMatter, #AllLivesMatter, #WhiteLivesMatter, and #BlueLivesMatter. Vertical dashed lines mark the seven high-profile incidents examined in our analysis, categorized as civilian anti-Black violence (C) or police violence (P). The Twitter data come from [Dunivin et al. \(2022\)](#).

Figure 3: Monthly Abnormal Returns and Financial Analysts' Forecast

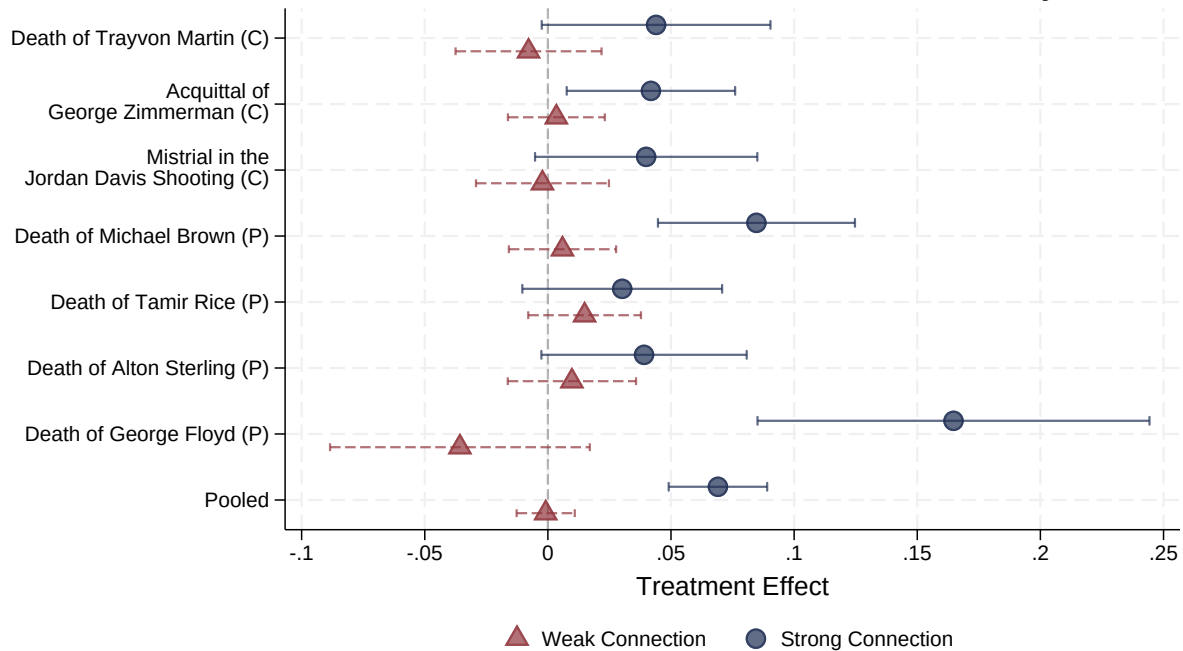


Notes: The top panel shows the monthly ARs for firms connected to police and control firms. ARs are calculated with the Carhart four-factor model with an estimation window of 60 months ending 30 months before the day of interest. The bottom panels show analysts' buy recommendations as a percentage of total recommendations (left y-axis) for police firms with strong connections vs firms with no connection to police and the difference in buy percentages between police firms with strong connection and no-connection firms (right y-axis, shaded area). Data are from IBES Summary Statistics (Consensus Recommendations). The vertical dashed lines represent high-profile incidents triggering BLM protests.

Figure 4: Daily Impact of High-Profile Incidents on CARs

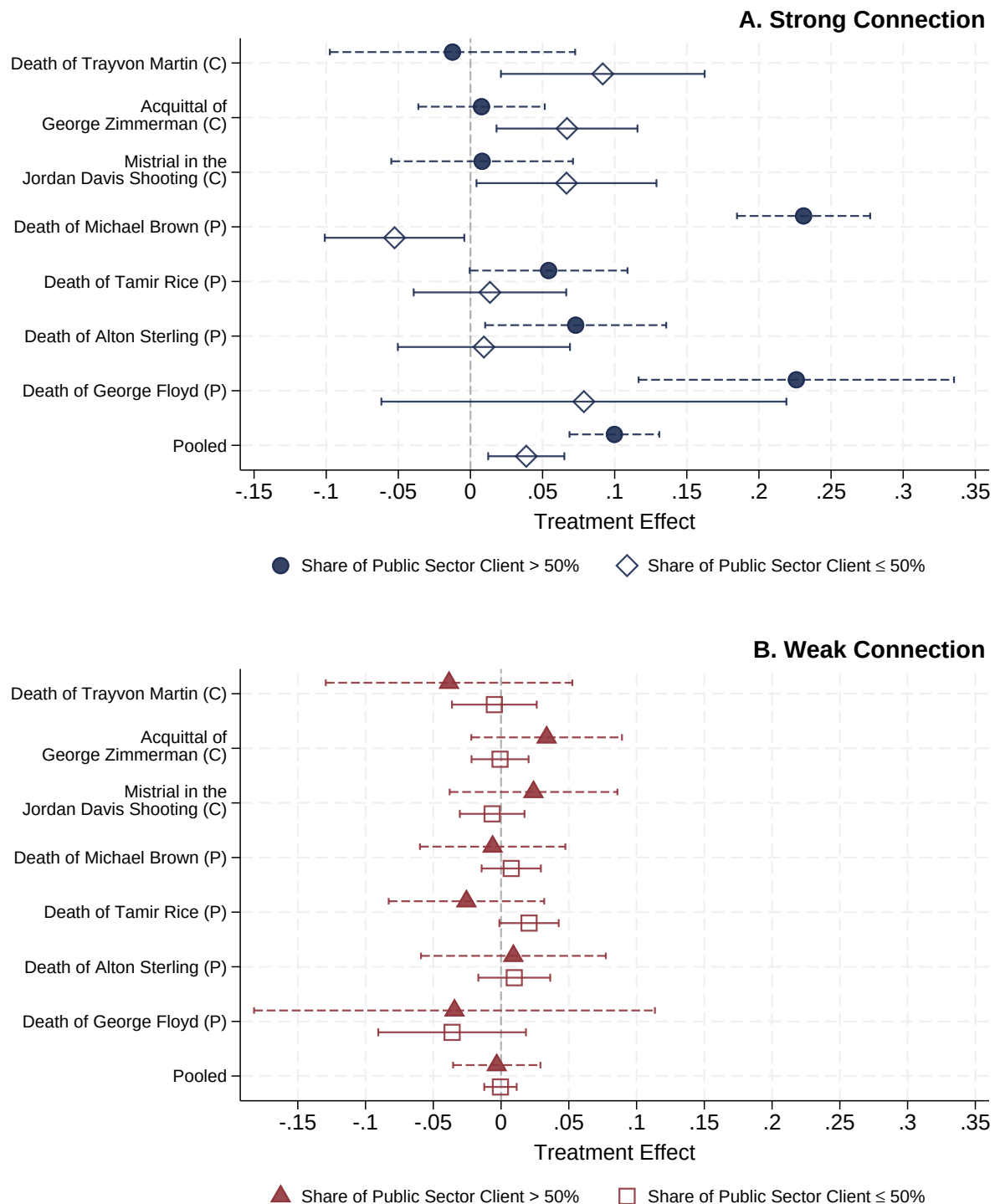


B. Results by Incident



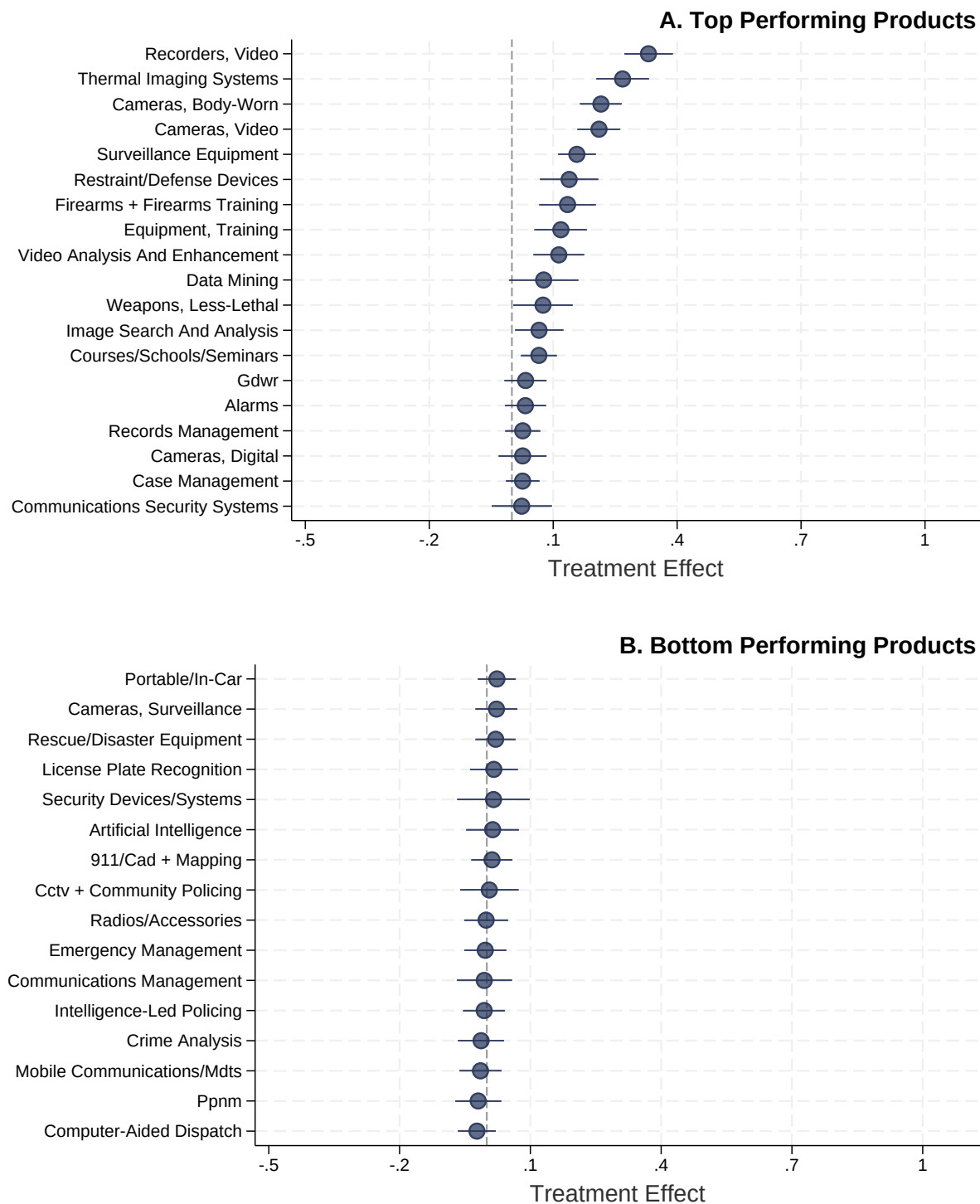
Notes: Panel A presents the daily impact of high-profile incidents on the CARs of firms with weak or strong connections to the police industry. Panel B provides the SDID estimates and 95% confidence intervals for each high-profile incident. We report the CAR trends of the connected firms and their SDID counterfactuals. The vertical dashed line represents the first trading day after the event of interest. We report SDID estimates, and standard errors are in parentheses. The SDID estimates are computed from the sum of all abnormal returns since 63 trading days (i.e., a quarter) before the event. Abnormal returns are calculated with the Carhart four-factor model with an estimation window of 252 trading days ending 30 days before the day of interest. We categorize each event as civilian anti-Black violence (C) or police violence (P).

Figure 5: Daily Impact of High-Profile Incidents on CARs by Firms' Level of Exposure to Government Agencies



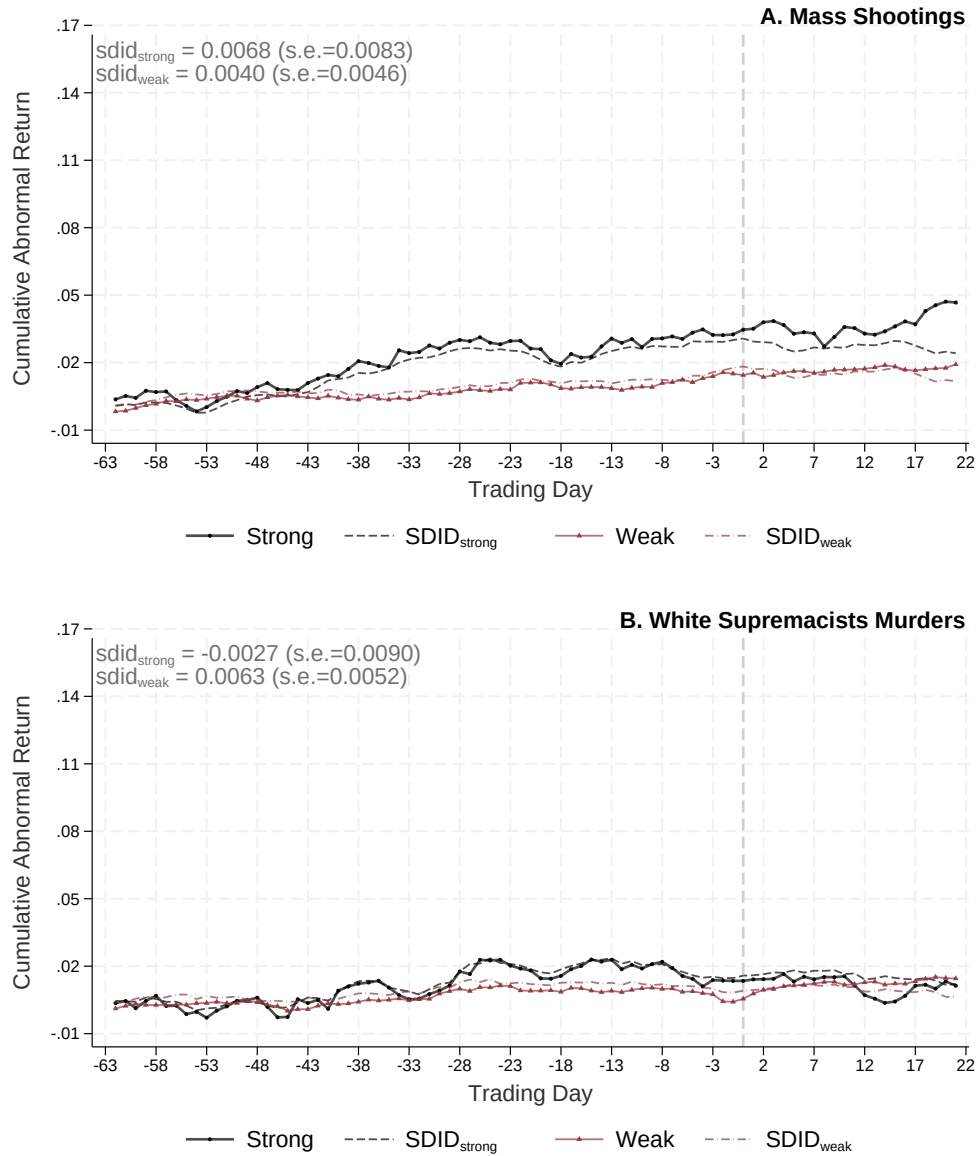
Notes: These figures present the daily impact of high-profile incidents on firms' CARs by their exposure to government agencies, i.e., whether their share of public-sector clients is below or above 50%. Figures A and B show the results for firms with strong and weak policing connections. We report SDID estimates and 95% confidence intervals for each high-profile incident. The SDID estimates are computed from the sum of all abnormal returns since 63 trading days (i.e., a quarter) before the event. Abnormal returns are calculated with the Carhart four-factor model with an estimation window of 252 trading days ending 30 days before the day of interest. We categorize each event as civilian anti-Black violence (C) or police violence (P).

Figure 6: Daily Impact of High-Profile Incidents on CARs by Type of Product and Service



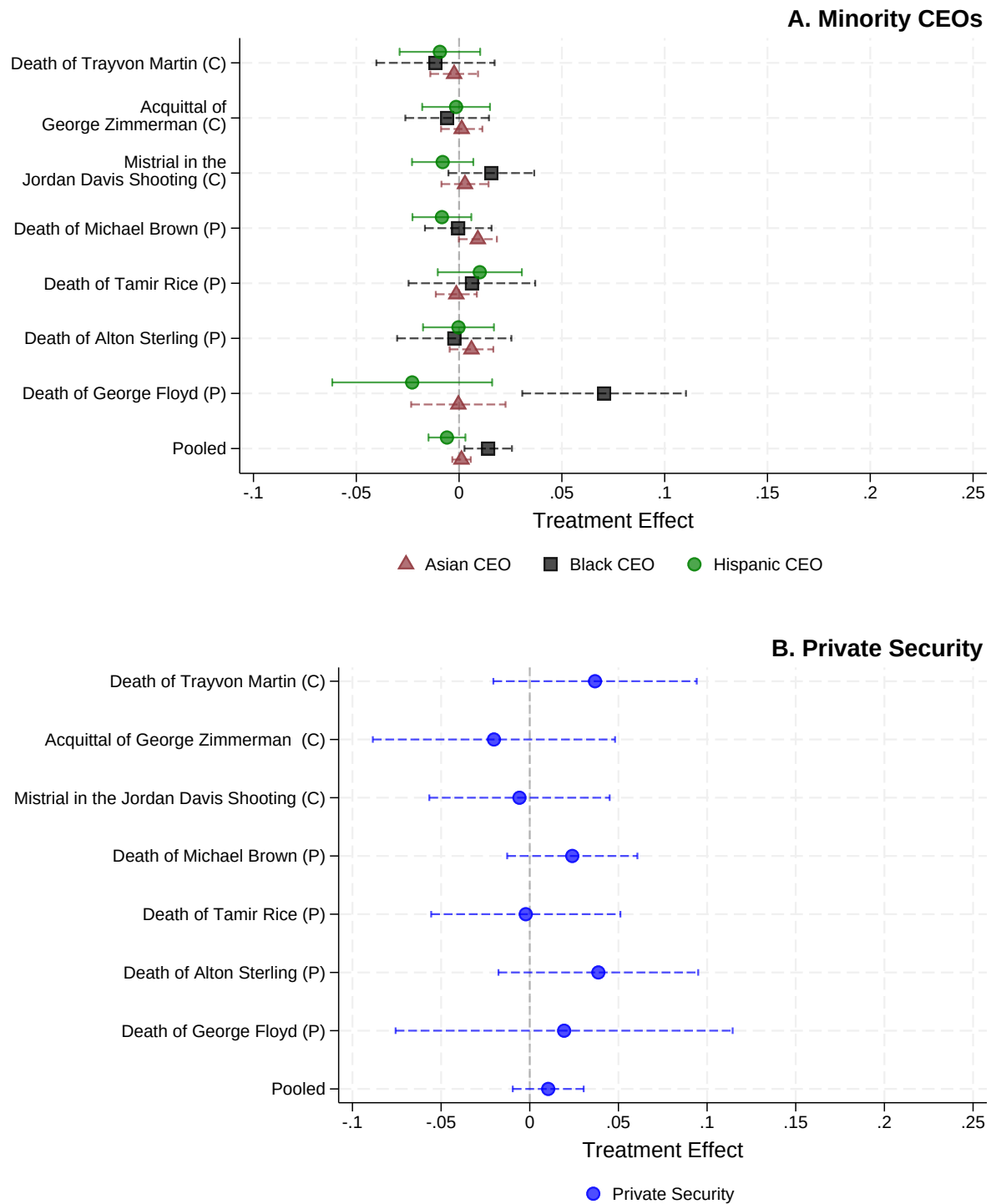
Notes: The figures present the daily impact of high-profile incidents on firms' CARs by type of product and service. We report SDID estimates and 95% confidence intervals. The SDID estimates are computed from the sum of all abnormal returns since 63 trading days (i.e., a quarter) before the event. Abnormal returns are calculated with the Carhart four-factor model with an estimation window of 252 trading days ending 30 days before the day of interest. GDWR: GPS + detention equipment + evidence storage + report writing. PPNM: personnel management + predictive policing + networks + mobile devices. Alarms: alarms, evacuation + public address equipment.

Figure 7: Daily Impact of Mass Shootings and White Supremacist Murders on CARs



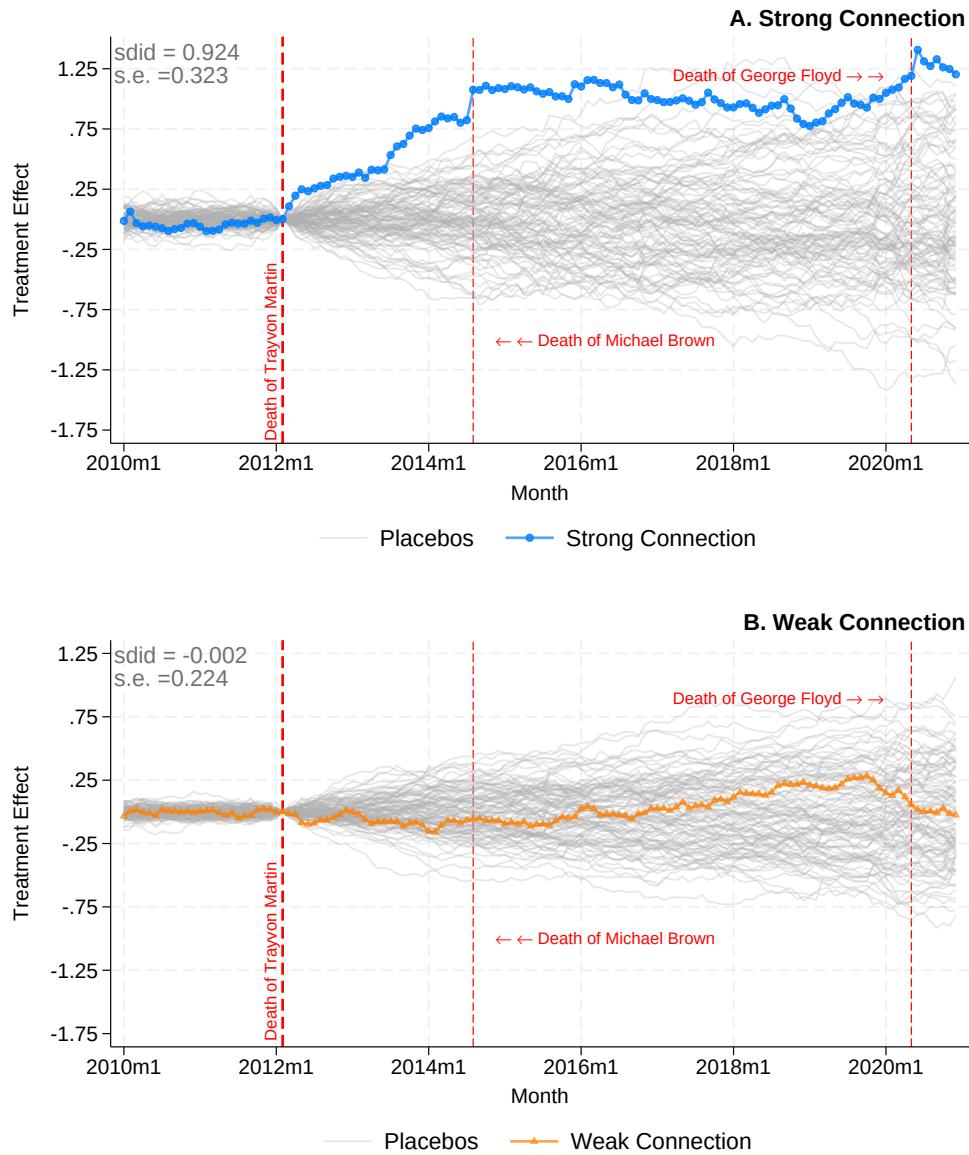
Notes: These figures present the daily impact of mass shootings and white supremacist murders on the CARs of firms with weak or strong connections to the police industry. We report the CAR trends of the connected firms and their SDID counterfactuals. The vertical dashed line represents the first trading day after the event of interest. We report SDID estimates, and standard errors are in parentheses. The SDID estimates are computed from the sum of all abnormal returns since 63 trading days (i.e., a quarter) before the event. Abnormal returns are calculated with the Carhart four-factor model with an estimation window of 252 trading days ending 30 days before the day of interest.

Figure 8: High-Profile Incidents and Daily CARs: Minority-Led and Private Security Firms



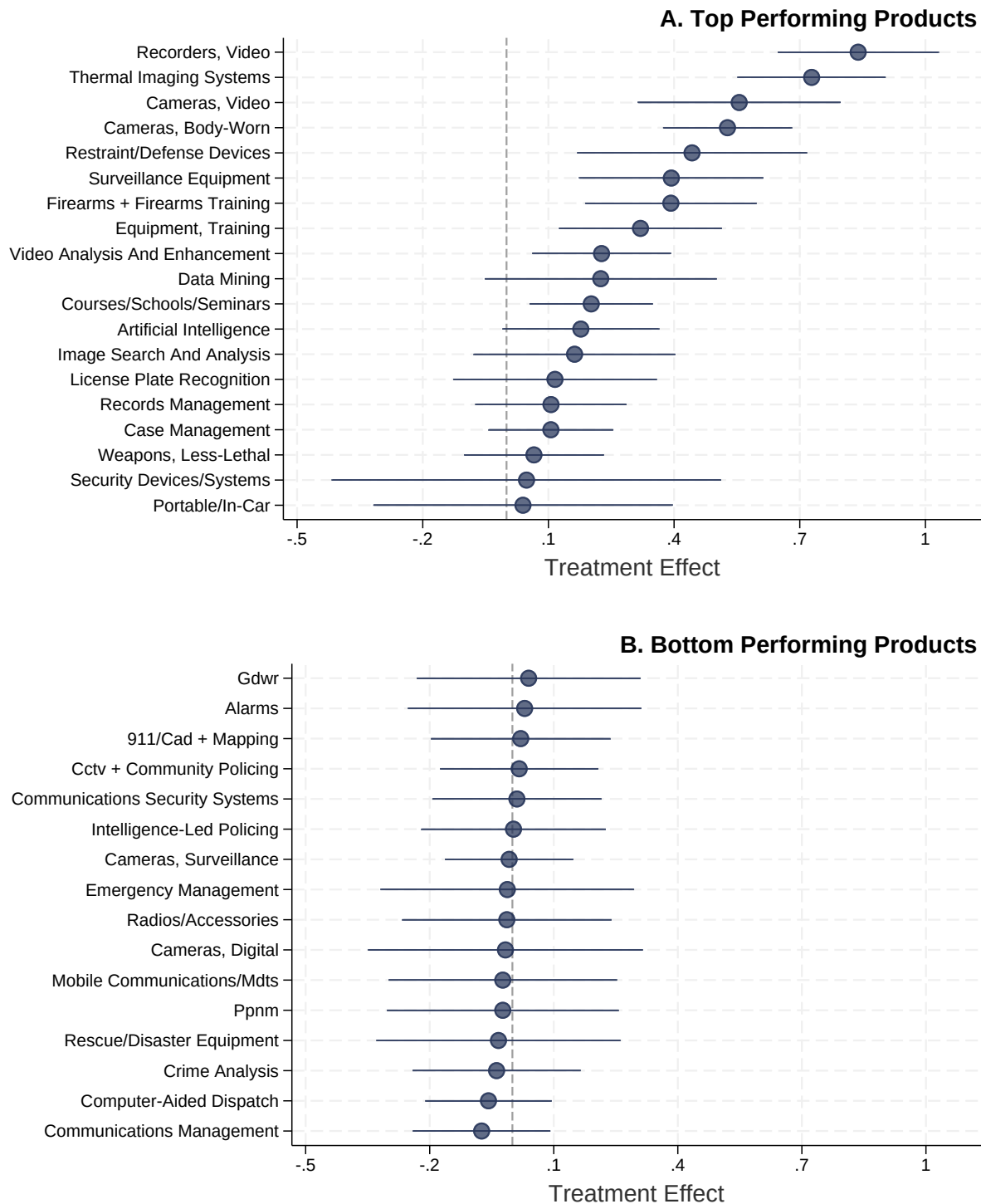
Notes: These figures present the daily impact of high-profile incidents on firms' CARs by firm characteristics. Panel A shows results for firms with minority CEOs, distinguished by race or ethnicity (Asian, Black, and Hispanic CEOs). Panel B shows results for private security firms. We report SDID estimates and 95% confidence intervals for each high-profile incident. The SDID estimates are computed from the sum of all abnormal returns since 63 trading days (i.e., a quarter) before the event. Abnormal returns are calculated with the Carhart four-factor model with an estimation window of 252 trading days ending 30 days before the day of interest. We categorize each event as civilian anti-Black violence (C) or police violence (P).

Figure 9: Long-Run Impact of BLM Uprisings on Cumulative Abnormal Portfolio Returns



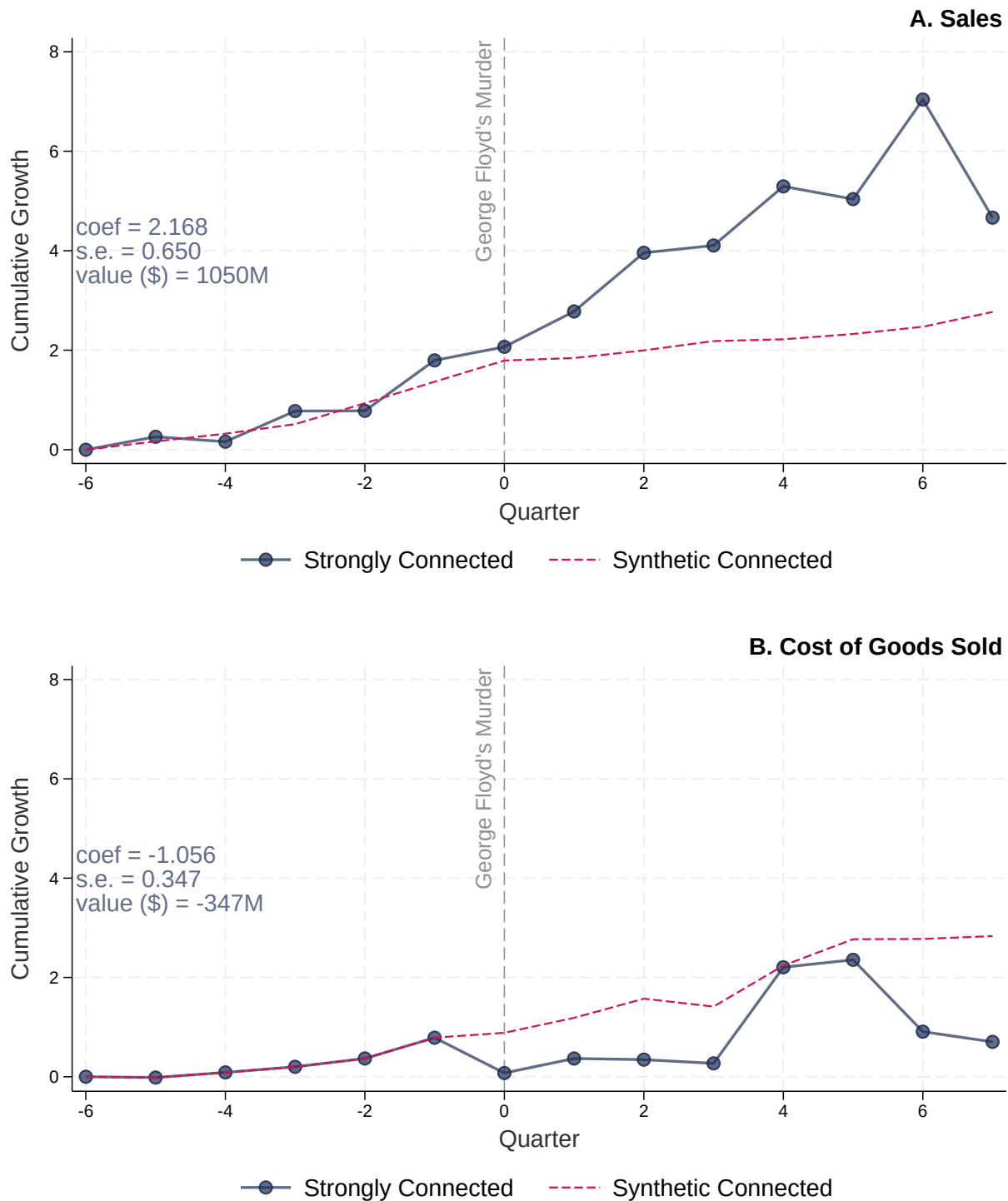
Notes: Figures A and B present the long-run impact of Trayvon Martin's death on the cumulative abnormal portfolio returns of firms with strong and weak connections to the police industry. This specification considers passive investor portfolios with market value-weighted portfolios. We report the treatment effect of the event on the CARs of treated firms. The treatment effect is the gap in CARs between actual portfolios and their synthetic counterfactuals. The red vertical dashed line represents the month of Trayvon Martin's death. We also report the treatment effects of the placebo groups. The SDID estimates are computed from the sum of all abnormal returns since January 2010. Abnormal returns are calculated with the Carhart four-factor model with an estimation window of 60 months ending 30 months before the day of interest.

Figure 10: Impact of George Floyd's Murder on CARs by Type of Product and Service



Notes: The figures present the daily impact of the high-profile incident on firms' CARs by type of product and service after the murder of George Floyd. We report SDID estimates and 95% confidence intervals. The SDID estimates are computed from the sum of all abnormal returns since 63 trading days (i.e., a quarter) before the event. Abnormal returns are calculated with the Carhart four-factor model with an estimation window of 252 trading days ending 30 days before the day of interest. GDWR: GPS + detention equipment + evidence storage + report writing. PPNM: personnel management + predictive policing + networks + mobile devices. Alarms: alarms, evacuation + public address equipment.

Figure 11: Impact of George Floyd's Murder on Sales and Costs



Notes: Panels A and B present the impact of George Floyd's murder on the cumulative growth (relative to the first period) in sales and cost of goods sold for firms with strong ties to police. The treatment effect is the gap in outcomes between the actual firms with strong connections and their synthetic counterfactuals. We report the SC estimates and the standard errors. We also report the dollar amount associated with the treatment effects relative to the outcomes in the first period in the analysis. The vertical dashed line represents the quarter of George Floyd's death.

Table 1: Summary Statistics by Type of Connection

	(1) Strong Connection		(2) Weak Connection		(3) Donor Pool	
	Mean	SD	Mean	SD	Mean	SD
Size	5.93	2.15	8.49	2.16	6.20	2.03
Profitability	-0.01	0.15	0.03	0.08	-0.09	0.34
Leverage	0.20	1.16	1.70	8.65	0.59	7.60
Exposure to Policing	0.06	0.07	0.00	0.00	0.00	0.00
Share Government Clients	0.50	0.32	0.14	0.22		
Number of Firms	23		65		771	
Observations	114		363		3058	

Notes: The table presents descriptive statistics by level of connection to policing. We multiply exposure to policing by 100 for readability. The variables size, profitability, and leverage capture log total assets, return on equity, and the ratio between total debt and total capital, respectively. All the variables are computed at their values the year before the event.

Table 2: Descriptive Statistics of LEMAS Agencies

	(1) Mean	(2) SD	(3) Median
Protests Summer 2020	2.41	5.41	0.00
Protests 2013 - 2019	0.57	5.88	0.00
Police Department	0.77	0.42	1.00
Police per 10,000	27.67	126.50	18.74
Violent per 10,000	27.64	40.66	16.78
Property per 10,000	177.98	413.51	129.55
Median Income (X 1,000)	26.48	5.92	25.66
Share of Black	0.11	0.12	0.06
Share of Male 15-17 yo	0.021	0.003	0.021
Log-Proximity to Police Killing	4.183	0.946	4.311
Observations	1903		

Notes: The table presents descriptive statistics of the law enforcement agencies in our sample. The main variable of interest for the analysis is the number of protests related to BLM from May 25 to July 31, 2020. We also report descriptives for the controls: the number of protests related to BLM from 2013 to 2019, type of law enforcement agency (police department vs. sheriff), the number of police officers per 10,000 population, and the rates of violent and property crimes per 10,000 population in 2019, the number of BLM protests from 2013 to 2019, county demographics (median income, percentage Black population, and percentage males aged 15–17), and log distance to the closest police killing during summer 2020.

Table 3: Effect of BLM Protests on BWC and Gunshot Detection Adoption

	(1) Body Worn Camera	(2) Body Worn Camera	(3) Body Worn Camera	(4) Gunshot Detection Tech.	(5) Gunshot Detection Tech.	(6) Gunshot Detection Tech.
Protest (Std. Dev.)	0.0132 (0.0137)	0.356*** (0.0796)	0.276*** (0.0615)	0.0419*** (0.0113)	0.0827*** (0.0307)	0.0731*** (0.0239)
Specification	OLS	IV-Lasso	2SLS	OLS	IV-Lasso	2SLS
Controls	Yes	Yes	Yes	Yes	Yes	Yes
First-stage F-Stat	—	—	19.13	—	—	19.13
Mean of Dep.	0.52	0.52	0.52	0.05	0.05	0.05
Observations	1903	1903	1903	1903	1903	1903

Notes: This table examines the impact of the summer 2020 BLM protests on police departments' implementation of BWCs and gunshot detection equipment. The dependent variable is binary, reflecting whether an agency has the technology. To standardize the independent variable, we normalize the count of BLM protests per agency by subtracting the average and dividing by the standard deviation. Each specification controls for the number of protests related to BLM from 2013 to 2019, type of law enforcement agency (police department vs. sheriff), county demographics (median income, percentage Black population, and percentage males aged 15–17), number of police officers per 10,000 population, and rates of violent and property crimes per 10,000 population in 2019. The 2SLS and IV-lasso specifications use weather variations from May 25 to July 31, 2020, as instruments. To construct the weather instruments, we use weather data from the Global Historical Climatology Network daily dataset and assign each county to its closest weather station. The weather instruments include a second-degree polynomial of average temperature, fastest 2-minute wind speed, average precipitation, average relative and absolute humidity, and high/damaging winds or tornadoes. Standard errors are clustered at the agency level. *** $p < 0.01$; ** $p < 0.05$; * $p < 0.1$.

Table 4: Effect of BLM Protests on Video Technology Adoption

	(1) Public Areas	(2) Mobile	(3) Drones	(4) Patrol Cars	(5) Weapons
Panel A) OLS					
Protest (Std. Dev.)	0.033** (0.015)	0.024* (0.014)	-0.001 (0.012)	-0.029** (0.015)	0.003 (0.004)
Mean of Dep.	0.41	0.20	0.23	0.53	0.03
Observations	1903	1903	1903	1903	1903
Panel B) IV-Lasso					
Protest (Std. Dev.)	0.170** (0.070)	0.208*** (0.063)	0.283*** (0.072)	-0.020 (0.070)	-0.008 (0.019)
Mean of Dep.	0.41	0.20	0.23	0.53	0.03
Observations	1903	1903	1903	1903	1903
Panel C) 2SLS					
Protest (Std. Dev.)	0.175*** (0.056)	0.214*** (0.049)	0.218*** (0.052)	-0.060 (0.058)	-0.005 (0.015)
First-stage F-Stat	19.13	19.13	19.13	19.13	19.13
Mean of Dep.	0.41	0.20	0.23	0.53	0.03
Observations	1903	1903	1903	1903	1903

Notes: This table examines the impact of the summer 2020 BLM protests on the adoption of video technology by police departments. Each dependent variable is binary, indicating whether an agency has equipped itself with more than one type of video technology, such as patrol car cameras, public area surveillance, mobile units, aerial drones, and weapon-mounted cameras. To standardize the independent variable, we normalize the count of BLM protests per agency by subtracting the average and dividing by the standard deviation. Each specification controls for the number of protests related to BLM from 2013 to 2019, the type of law enforcement agency (police department vs. sheriff), county demographics (median income, percentage Black population, and percentage males aged 15–17), the number of police officers per 10,000 population, and the rates of violent and property crimes per 10,000 population in 2019. The 2SLS and IV-lasso specifications use weather variations from May 25 to July 31, 2020. To construct the weather instruments, we use weather data from the Global Historical Climatology Network daily dataset and assign each county to its closest weather station. The weather instruments include a second-degree polynomial of average temperature, fastest 2-minute wind speed, average precipitation, average relative and absolute humidity, and high/damaging winds or tornadoes. Standard errors are clustered at the agency level. *** $p < 0.01$; ** $p < 0.05$; * $p < 0.1$.

Appendix

A Supplementary Materials

A.1 Alternative Empirical Strategies

A.1.1 Synthetic Control

Estimation Strategy As an alternative to synthetic difference-in-differences (SDID) for constructing the counterfactual of firms exposed to viral incidents tied to BLM uprisings, we use synthetic control (SC) (Abadie and Gardeazabal, 2003; Abadie et al., 2010; Acemoglu et al., 2016, 2018). The SC estimator captures the average effect of exposure to high-profile incidents, $\hat{\beta}^{sc}$, which can be written as

$$(\hat{\beta}^{sc}, \hat{\mu}, \hat{\gamma}) = \underset{\mu, \gamma, \beta}{argmin} \sum_i \sum_t (y_{it} - \mu - \gamma_t - Police_{it}\beta)^2 \hat{\omega}_i \quad (8)$$

where $\hat{\omega}_i$ represents the weights for each firm that align the pre-exposure trends in the outcomes of control firms with those of the treatment group. The SC approach restricts $\alpha_i = 0$ for all firms. In contrast, the SDID estimator includes firm fixed effects, α_i , and time weights, λ_t , that balance pre-exposure periods with post-exposure ones. While the SDID method selects weights for control units so that the pre-exposure trends are as parallel as possible, the SC method selects weights for control units so that pre-exposure trends are as close as possible. Similarly to the procedure in the SDID approach, standard errors are computed on the basis of a placebo analysis (Arkhangelsky et al., 2021).

A.1.2 Event Study

Estimation Strategy Following Fisman and Wang (2015), we test the relationship between firms' contracting with law enforcement agencies and their cumulative abnormal returns by estimating the following equation:

$$CAR_i[n, m] = \beta_0 + Strong_i\beta_S + Weak_i\beta_W + X_i'\theta + \mu_l + \gamma_j + d_t + \varepsilon_i \quad (9)$$

The dummy variables $Strong_{it}$ and $Weak_{it}$ denote the level of connection to policing, i.e., firms with strong and weak ties, respectively. The set of firm-level covariates, X_i , includes size (log total assets), profitability (return on equity), and leverage (ratio between

total debt and total capital). The variables γ_j , μ_l , and d_t denote location, industry, and event fixed effects. Finally, ε_i is an error term.

The parameters of interest are β_S and β_W , which measure how the CARs of firms with strong and weak ties to policing change relative to the CARs of firms in similar industries but not contracting with police departments.

Identification requires that there would have been no systematic differences in the returns of the different types of firms in the absence of the high-profile cases of violence against Black civilians after we include controls for firm fundamentals and location, event, and industry fixed effects. Standard errors are clustered at the firm level.

A.2 Additional Rosters

A.2.1 Sample Source and Selection

Minority CEOs We construct our sample of firms with minority CEOs by starting with publicly traded US firms listed between July 2013 and December 2020. For each firm, we use the Director Roles dataset from ISS Directors Global. For each company, we obtain a list of all company CEOs since 2012. For each CEO, we use the Person Ethnicity dataset to identify the ethnicity of each director. For each firm, for each month, we identify whether the firm’s CEO was i) Black (ISS category: “black/african american”) ii) Hispanic (ISS category: “hispanic/latin american”) iii) Asian (ISS category: “asian (exclude indian/south” or “indian/south asian”). We identify a firm as having a Black, Hispanic, or Asian CEO for an event if the firm’s CEO was listed as Black, Hispanic, or Asian on the event date.

Private Security Firms: Primary Sample Studying the private security industry presents unique challenges because of the absence of centralized registries and the heterogeneous nature of the products and services it offers. In contrast to policing, for which vendor lists facilitate firm identification, private security encompasses diverse products—from alarm systems to armored transport—marketed to both public and private clients. Many firms serve both law enforcement and private markets, making it crucial to distinguish these markets in our evaluation of the stock responses to the high-profile events of our interest.

We construct our sample by starting with publicly traded US firms listed between July 2013 and December 2020, identifying 606 firms containing “private security” terminology in their 10-K filings. After we exclude our roster of policing firms, 565 candidates remain. We search their annual 10-K filings in the EDGAR database for terms related to private

physical security¹ while explicitly excluding cybersecurity-related terms.

Given the broad nature of private security and potentially irrelevant keyword matches, four research assistants independently manually reviewed all 565 firms for false positives, classifying whether each sells private physical security products/services and whether it supplies police departments. This process identified 15 firms selling private physical security products without police department contracts. These firms are described in Table A.13. We use this list of firms as our final sample of publicly traded firms specializing in private physical security without law enforcement supply relationships. With this roster, we can assess whether the stock market responds to the events triggering BLM protests extended to private security firms without direct policing connections.

Private Security Firms: Secondary Sample We construct a secondary sample of private security firms from a list of vendors compiled for the International Security Conference & Expo West 2025 (ISC West 2025), a leading security trade event in the United States. The conference website lists firms by product category. We restrict attention to publicly traded firms that appear in at least one category other than law enforcement and cybersecurity, and we exclude any firm that appears in law enforcement. This results in a list of 10 firms, none of which appear in our police sample and which together comprise our secondary private security sample.

A.2.2 Descriptives

Table A.6 presents the descriptives related to performance patterns among minority-led firms and private security companies. Firms with Hispanic CEOs are the largest, followed by firms with Black CEOs, while firms with Asian CEOs and private safety firms are smaller and similar in size. Private safety firms demonstrate the best profitability, with minimal losses, while firms with Hispanic CEOs show the worst profitability among all the subgroups, and Asian and firms with Black CEOs perform similarly, with moderate losses. Leverage varies dramatically across the subgroups, with private safety firms showing the highest leverage, firms with Black CEOs maintaining substantial leverage, firms with Hispanic CEOs displaying moderate leverage, and firms with Asian CEOs operating with very low leverage.

¹The complete list of private security search terms includes: *security installation, security system, private security services, alarm systems, body guard, security guard, security officer, personal protection, intrusion detection, cctv, and access control.*

In contrast, strongly connected policing firms from Table 1 are smaller than all the subgroups of firms in Table A.6 but match private safety firms' near-zero profitability while outperforming all minority-led firm groups. They operate with low leverage, similarly to firms with Asian CEOs, suggesting that strong policing connections may provide revenue stability and profitability despite the connected firms' smaller scale of operations.

A.2.3 Summary of Market Responses by Firm Type and Event

Figure A.15 summarizes our key findings. To test whether market responses extended beyond police-connected firms, we examined three additional firm categories—private security firms and firms led by minority CEOs (Black, Asian, and Hispanic)—across multiple event types. This figure presents pooled treatment effects for BLM protests, mass shootings, and white-supremacist violence (as placebos). The evidence shows that only police-connected firms responded, and only during BLM protests. These firms experienced returns rising by approximately seven percentage points, while private security and minority-led firms exhibited near-zero responses across all events. Workplace diversity effects emerged only after George Floyd's murder. Crucially, neither police-connected nor other firms reacted to placebo events, confirming that the observed effects reflect shifts in expectations about police procurement following BLM protests rather than broader changes in security demand or violence exposure driven by white supremacist attacks. This pattern validates our focus on police-connected firms as the key economic actors affected by anti-Black violence and the BLM movement's challenge to policing policies.

A.3 Impact of Mass Shootings on Firearm Firms

In our sample, we explore the impact of mass shootings incidents on the CARs of firearm suppliers by means of SDID. Figure A.16 reports the CAR trends of the connected firms and their SDID counterfactuals. We find that mass shootings led to no change in the performance of Smith & Wesson Brands Inc. and VirTra Inc. three weeks after the shootings. On the other hand, Vista Outdoor Inc. experienced a drop of 9.64 pp ($SE = 0.034$) in its CARs relative to those of its synthetic counterfactual three weeks after the mass shootings.

As an alternative, we use the event-study approach described in Section A.1.2 to see how the effects vary over time. Tables A.3, A.4, and A.5 present the daily impact of mass shootings on the cumulative abnormal returns of each of the gun manufacturers 1, 7, 14, and 21 days after the event. Overall, visual inspection of Figure A.16 is consistent with

the results from the event-study tables, where the realized outcome oscillated around the counterfactuals for Smith & Wesson Brands Inc. and VirTra Inc. while being primarily negative for Vista Outdoor, Inc.

A.4 Matching Police Departments to Protests

Using the MPV dataset, we construct a list of police killings from January 2013 to May 2022. We restrict our attention to killings where the victim is Black and the victim’s full name and the county of the killing are documented in MPV. The GDELT dataset contains a comprehensive list of protests covering the same period. Each protest in GDELT is linked to a newspaper article. For each police killing, we search across all protests and include a protest in our sample if the corresponding news articles contain the first name of the victim followed by the last name (we require the last name to appear immediately after the first name). GDELT contains a precise location for each protest, enabling us to match a protest related to police violence to a police department. We match each protest within the US to the police department nearest the protest location (by Euclidean distance). We also match each protest to the police department associated with the killing that led to the protest.

A.5 SDID/SC Implementation Details

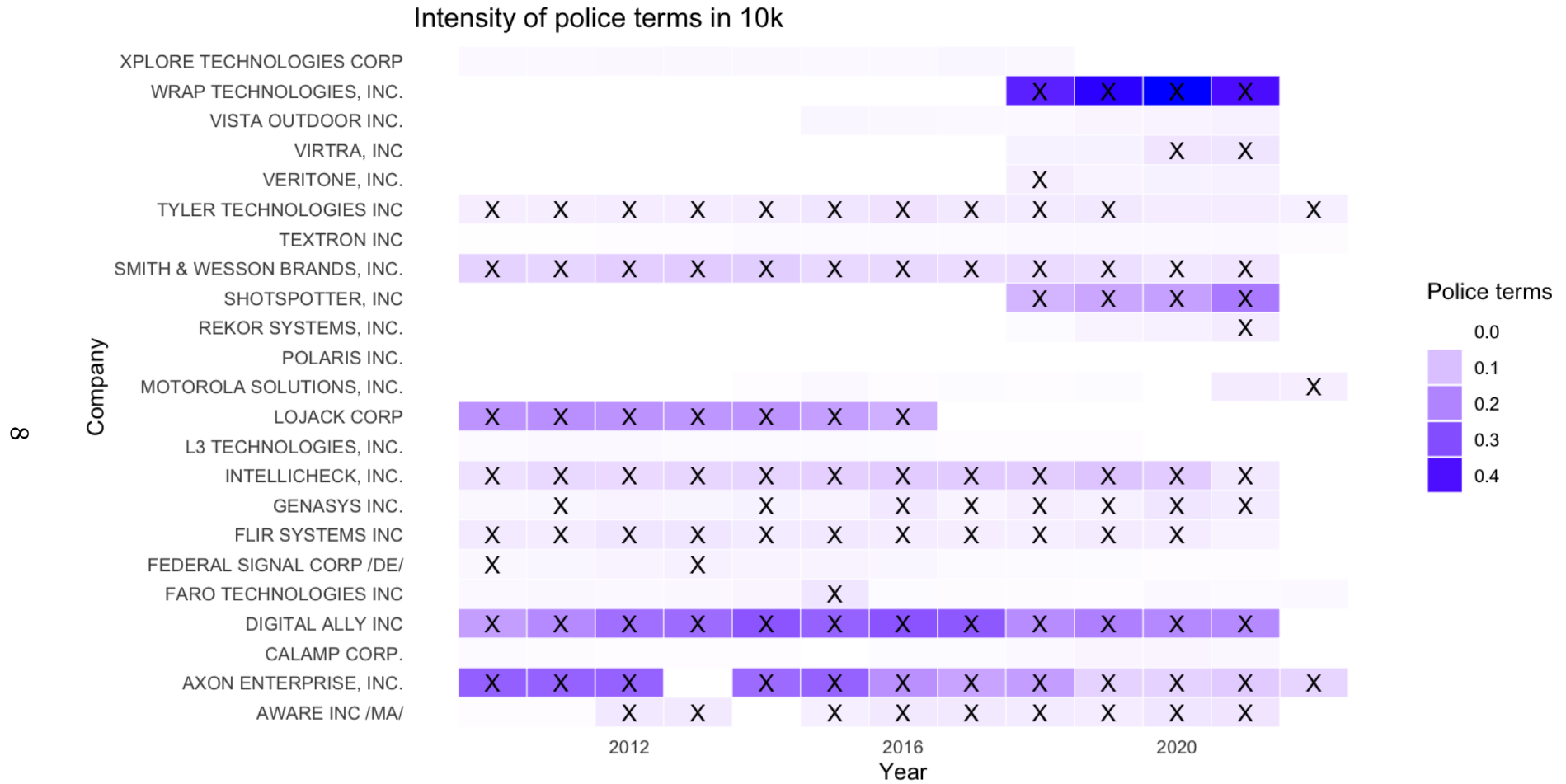
Table [A.9](#) documents the SDID implementation choices across all specifications, organized into five panels: main specifications comparing strongly and weakly connected policing firms across seven pooled BLM events (Panel A); heterogeneity by government exposure and product category, including a George Floyd–specific cut (Panel B); comparison events and alternative treated groups, including mass shootings, white supremacist murders, minority-CEO firms, and private security samples (Panel C); long-run monthly portfolio analyses around the Trayvon Martin event, benchmarked against 100 placebo portfolios (Panel D); and robustness checks varying the abnormal return model and the strong/weak cutoff (Panel E). Outcomes are daily CARs from the Carhart four-factor model except where noted, and weighting schemes are tailored to each design.

Each row represents a separately estimated specification: unit and time weights are constructed independently for every coefficient rather than being carried over across analyses. Whenever the treated group, eligible donor pool, or event window changes, the weights are re-estimated for that sample. This is the natural implementation of SDID, since unit weights are chosen to match the pre-treatment trajectory of the treated units

and time weights to align the controls' pre- and post period outcomes—balancing targets that depend on the specific treated group and post period. Fixing weights across analyses would not work in our cases since the treated units themselves change across exercises (e.g., the strong-connection group differs from the private security samples). The donor pool likewise varies by sample: although most specifications draw from the same "base donor pool" of publicly traded U.S. nonpolicing firms matched on state and four-digit SIC industry, the eligible controls differ across exercises because matching is performed relative to each treated group.

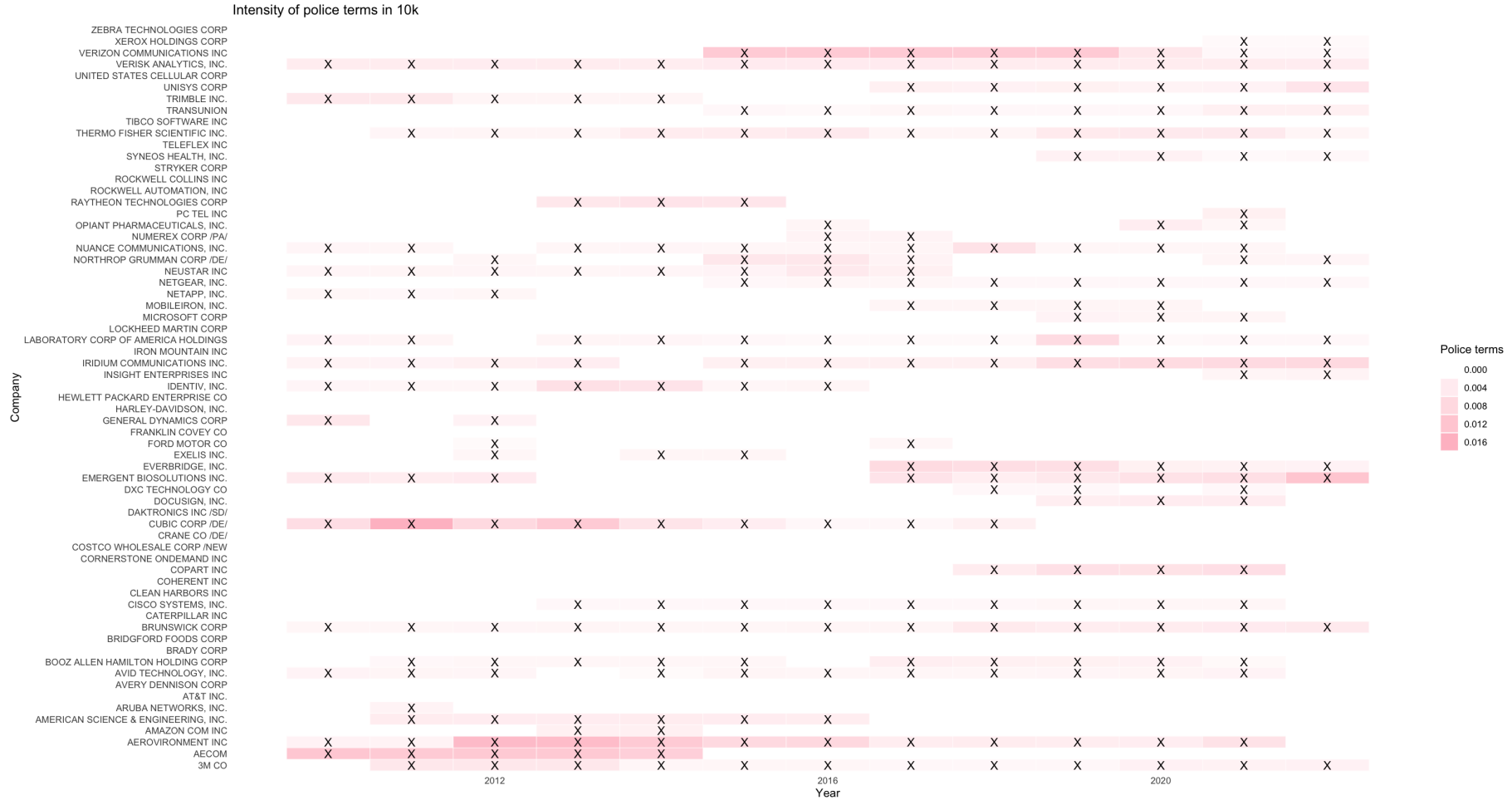
B Additional Figures and Tables

Figure A.1: Mentions of Police over Time for Firms with a Strong Connection to Policing



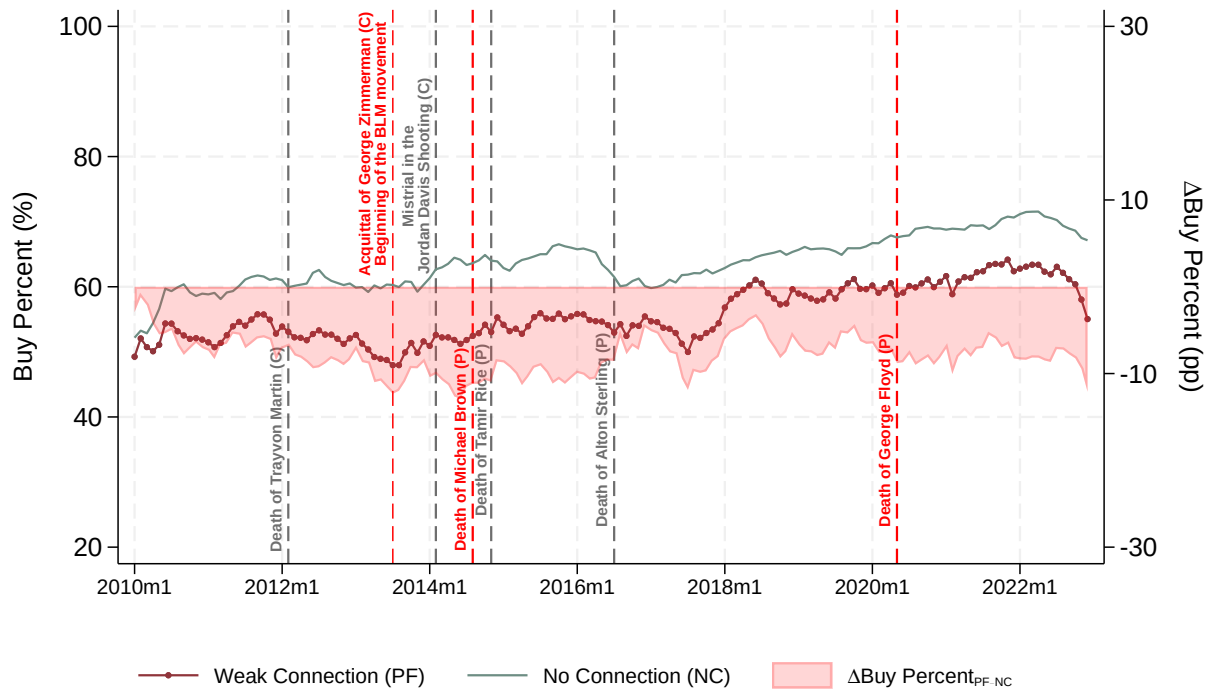
Notes: This figure plots the police exposure measures (i.e., intensity) constructed from the annual financial reports from 2010 and 2020. We report the index measure for the firms strongly connected to policing in our sample. To compute the intensity, we count the number of times that words associated with the topic appear in the report. Then, we construct the intensity index by dividing this number by the total number of words in the 10-K to account for differences in document length. We multiply each exposure measure by 100 for readability. The cross symbol corresponds to firms with an exposure index above the year's median.

Figure A.2: Mentions of Police over Time for Firms with a Weak Connection to Policing



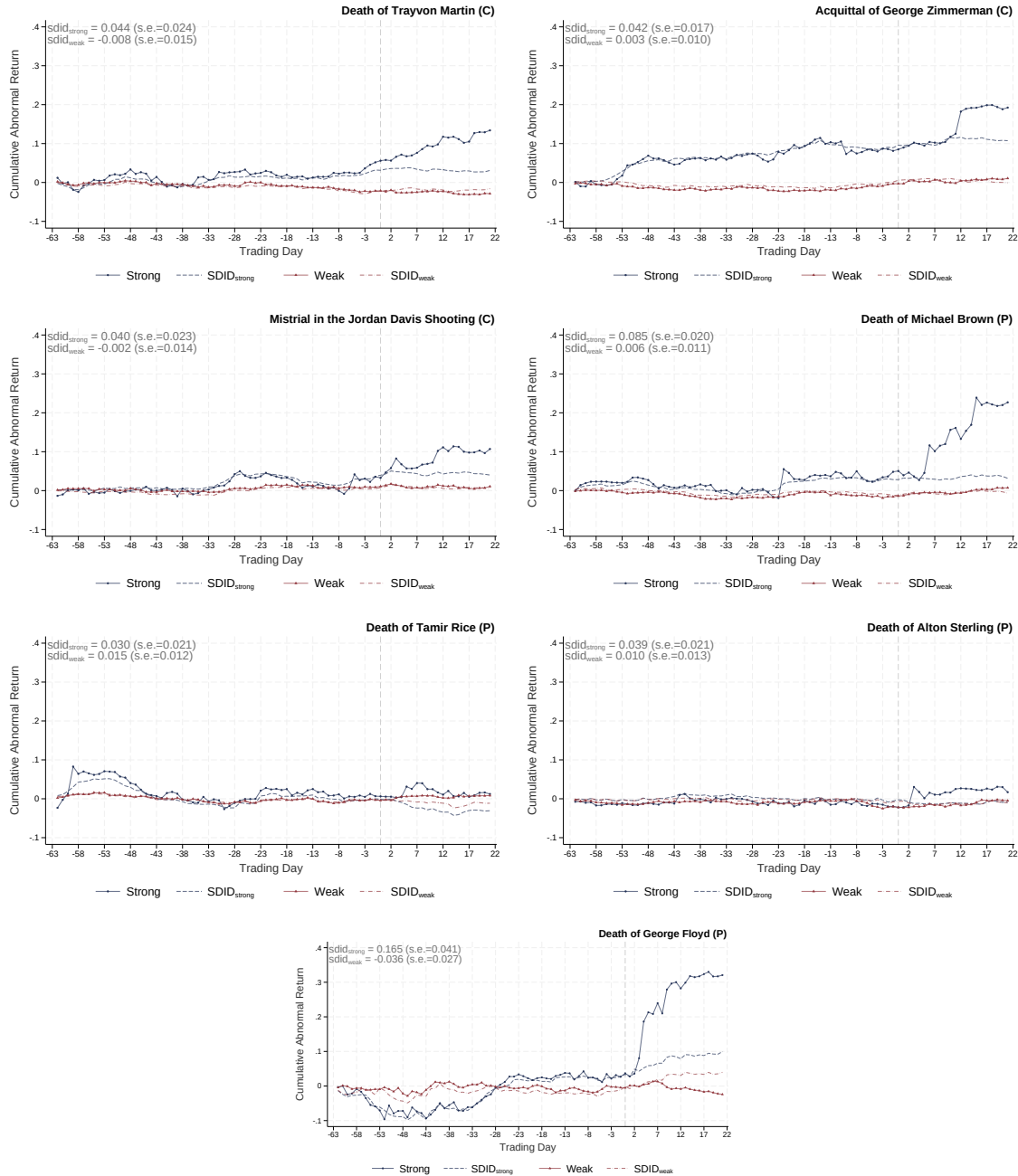
This figure plots the police exposure measures (i.e., intensity) constructed from the annual financial reports from 2010 and 2020. We report the index measure for the firms weakly connected to policing in our sample. To compute the intensity, we count the number of times that words associated with the topic appear in the report. Then, we construct the intensity index by dividing this number by the total number of words in the 10-K to account for differences in document length. We multiply each exposure measure by 100 for readability. The cross symbol corresponds to firms with an exposure index above the year's median.

Figure A.3: Financial Analysts' Forecast for Firms with Weak Police Connection



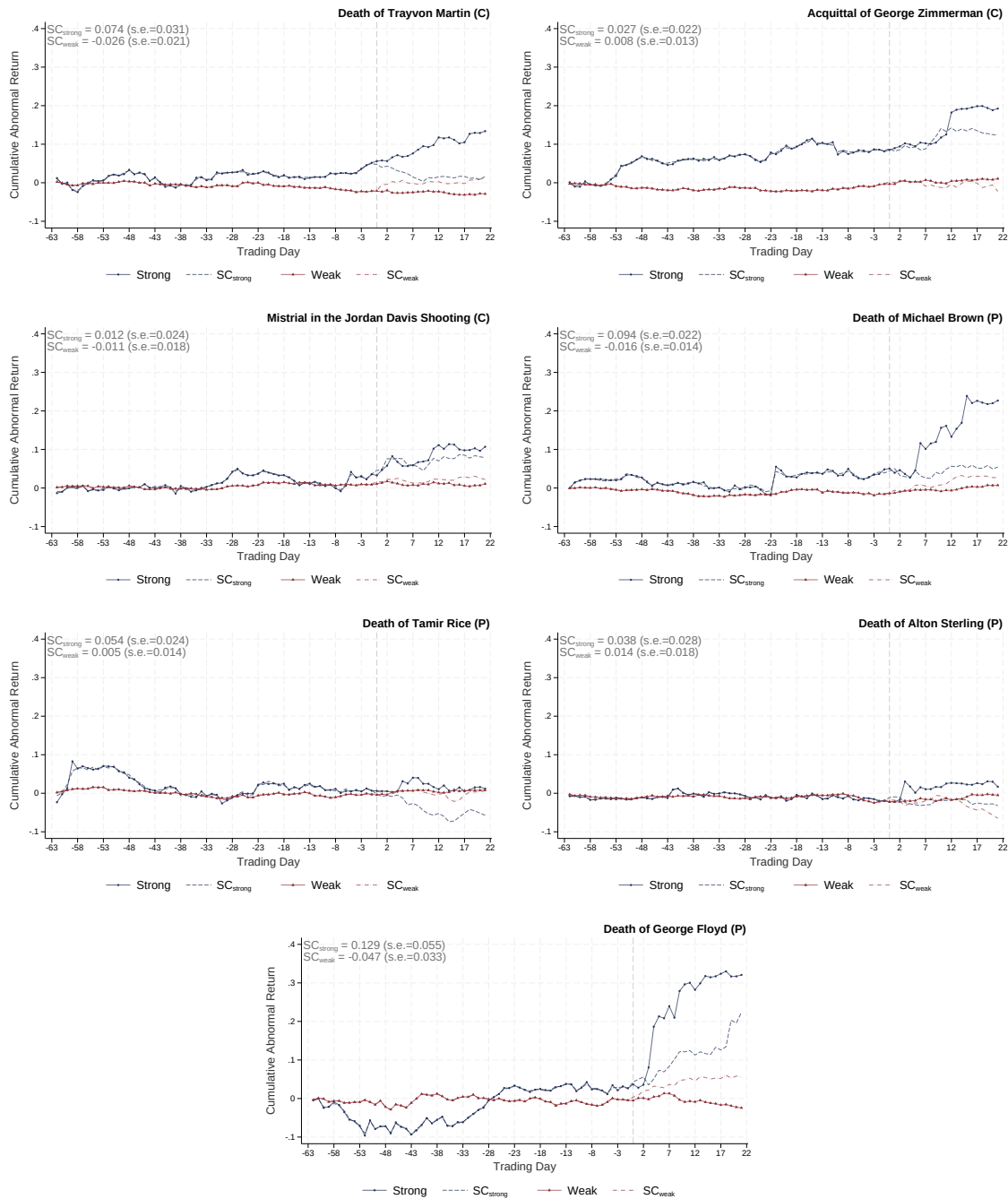
Notes: This figure shows analysts' buy recommendations as a percentage of total recommendations (left y -axis) for police firms with weak connections vs firms with no connection to police and the difference in buy percentages between police firms with strong connection and no-connection firms (right y -axis, shaded area). Data are from IBES Summary Statistics (Consensus Recommendations). The vertical dashed lines represent high-profile incidents related to the BLM movement.

Figure A.4: Daily CAR Trends for Police Firms Around High-Profile Incidents – SDID Method



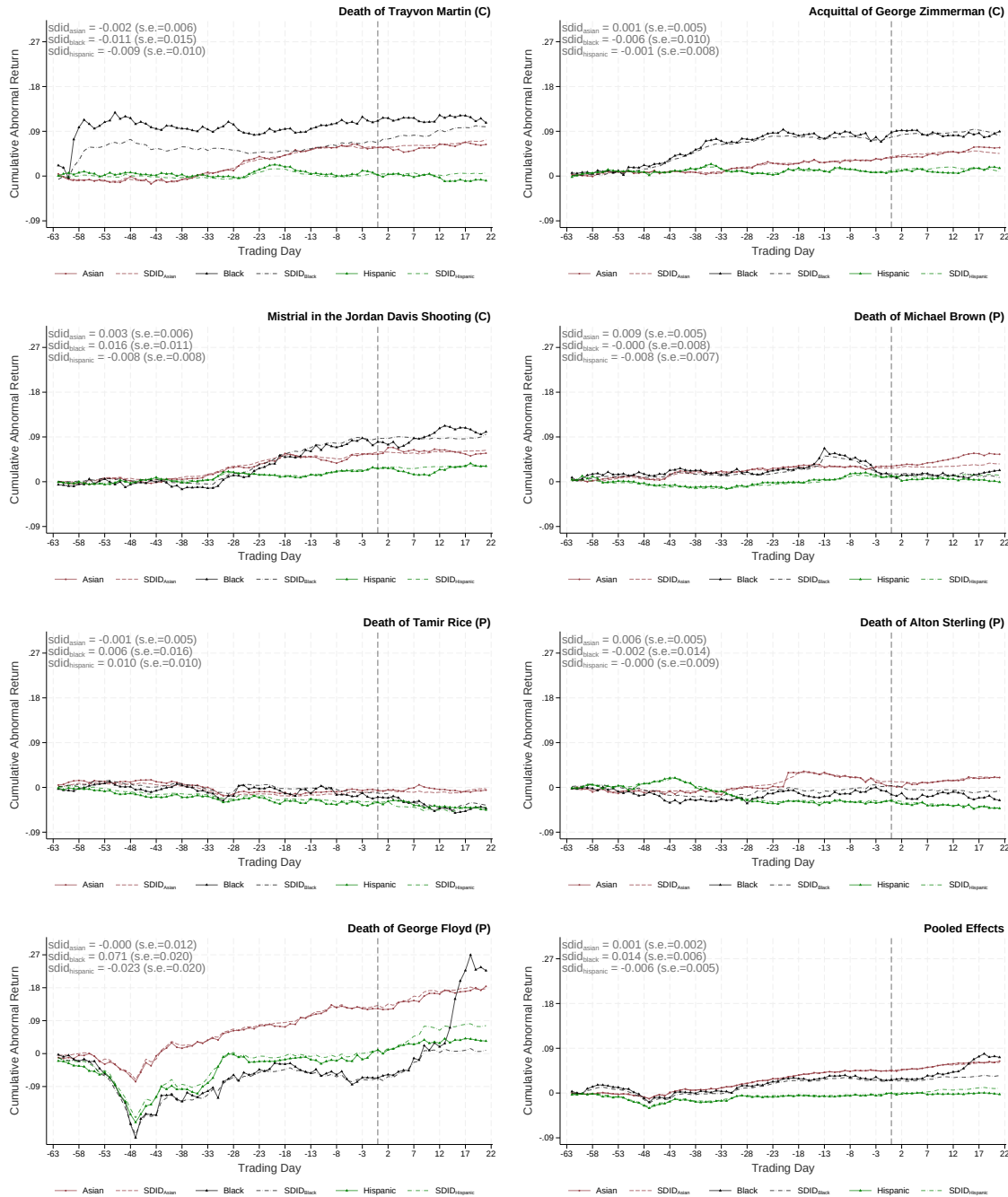
Notes: These figures present the daily impact of high-profile incidents on the cumulative abnormal returns of firms connected to police. We report the CAR trends of the connected firms and their SDID counterfactuals. The vertical dashed line represents the first trading day after the event of interest. The CAR is the sum of all abnormal returns since 63 trading days (i.e., a quarter) before the event. Abnormal returns are calculated with the Carhart four-factor model with an estimation window of 252 trading days ending 30 days before the day of interest.

Figure A.5: Daily CAR Trends for Police Firms Around High-Profile Incidents – SC Method



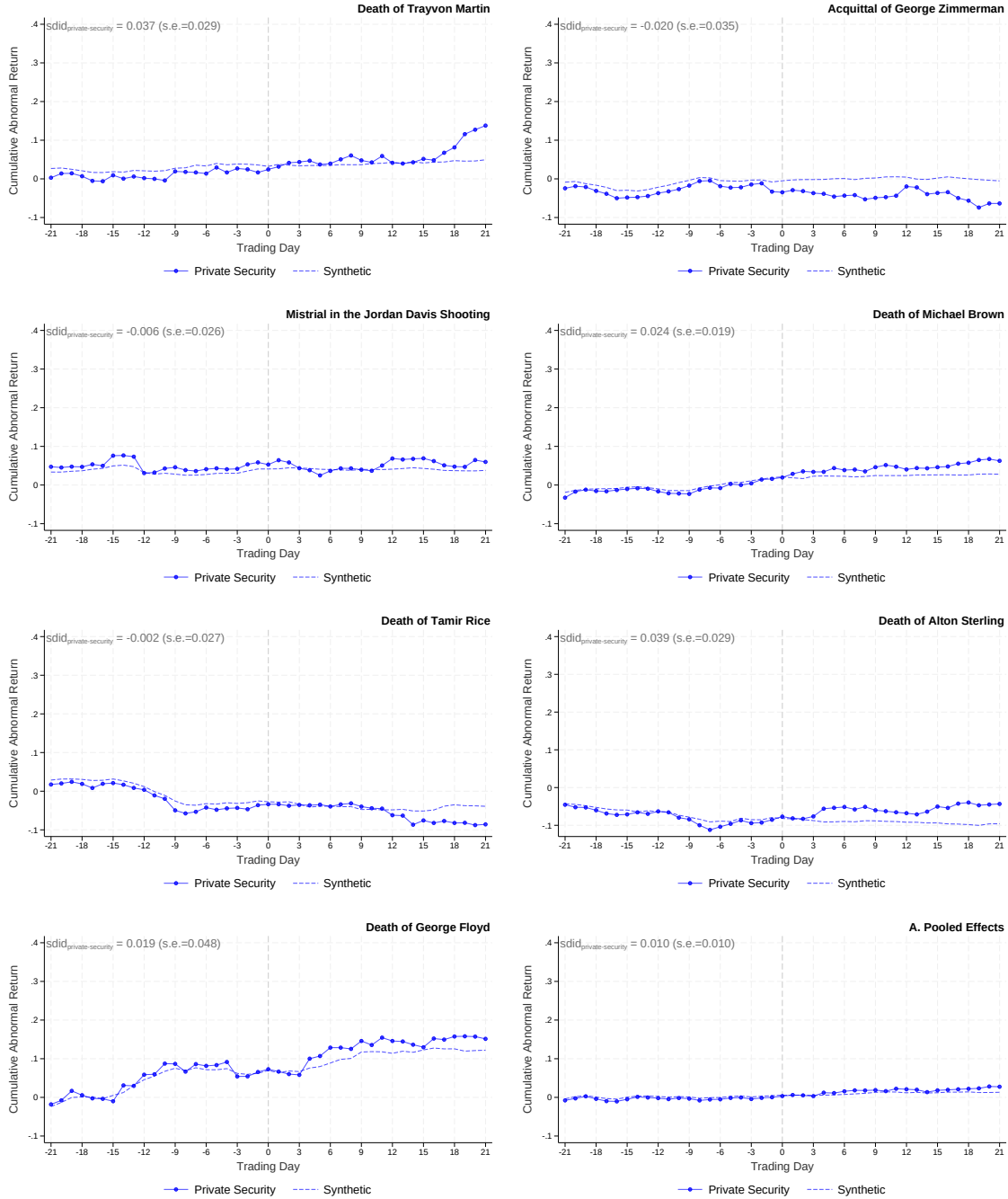
Notes: These figures present the daily impact of high-profile incidents on the cumulative abnormal returns of firms connected to police. We report the CAR trends of the connected firms and their SC counterfactuals. The vertical dashed line represents the first trading day after the event of interest. The CAR is the sum of all abnormal returns since 63 trading days (i.e., a quarter) before the event. Abnormal returns are calculated with the Carhart four-factor model with an estimation window of 252 trading days ending 30 days before the day of interest.

Figure A.6: Daily CAR Trends for Minority-Led Firms Around High-Profile Incidents – SDID Method



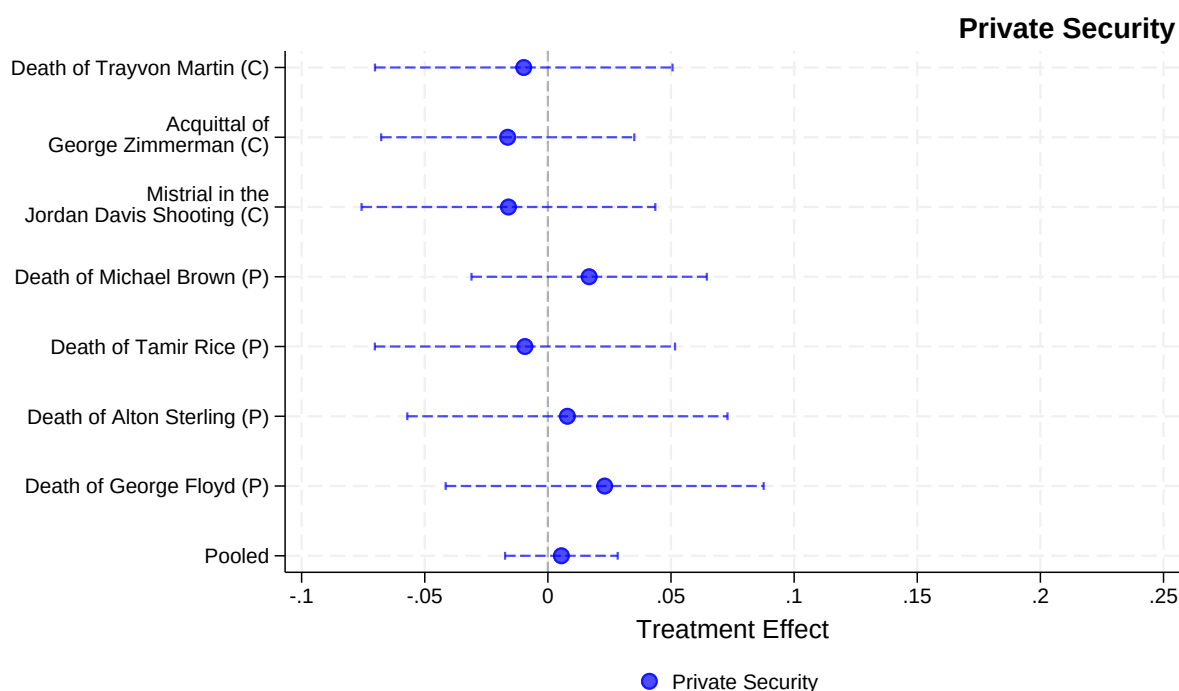
Notes: These figures present the daily impact of high-profile incidents on the cumulative abnormal returns of firms with minority CEOs, distinguished by race or ethnicity (Asian, Black, and Hispanic CEOs). We report the CAR trends of the connected firms and their SDID counterfactuals. The vertical dashed line represents the first trading day after the event of interest. The CAR is the sum of all abnormal returns since 63 trading days (i.e., a quarter) before the event. Abnormal returns are calculated with the Carhart four-factor model with an estimation window of 252 trading days ending 30 days before the day of interest.

Figure A.7: Daily CAR Trends for Private Security Firms Around High-Profile Incidents – SDID Method



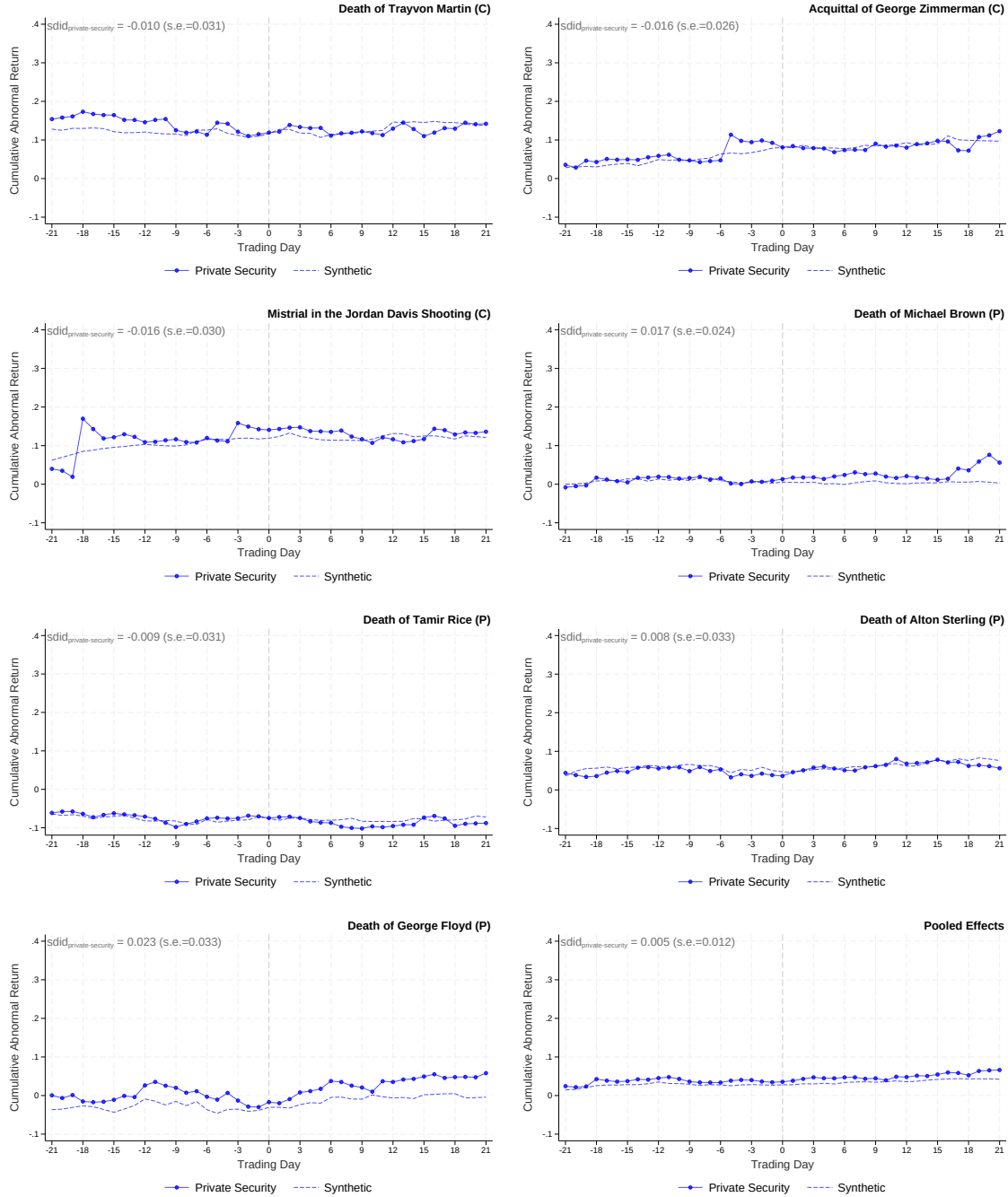
Notes: These figures present the daily impact of high-profile incidents on the cumulative abnormal returns of private security firms. We report the CAR trends of the connected firms and their SDID counterfactuals. The vertical dashed line represents the first trading day after the event of interest. The CAR is the sum of all abnormal returns since 63 trading days (i.e., a quarter) before the event. Abnormal returns are calculated with the Carhart four-factor model with an estimation window of 252 trading days ending 30 days before the day of interest.

Figure A.8: High-Profile Incidents and Daily CARs: Secondary Private Security Sample



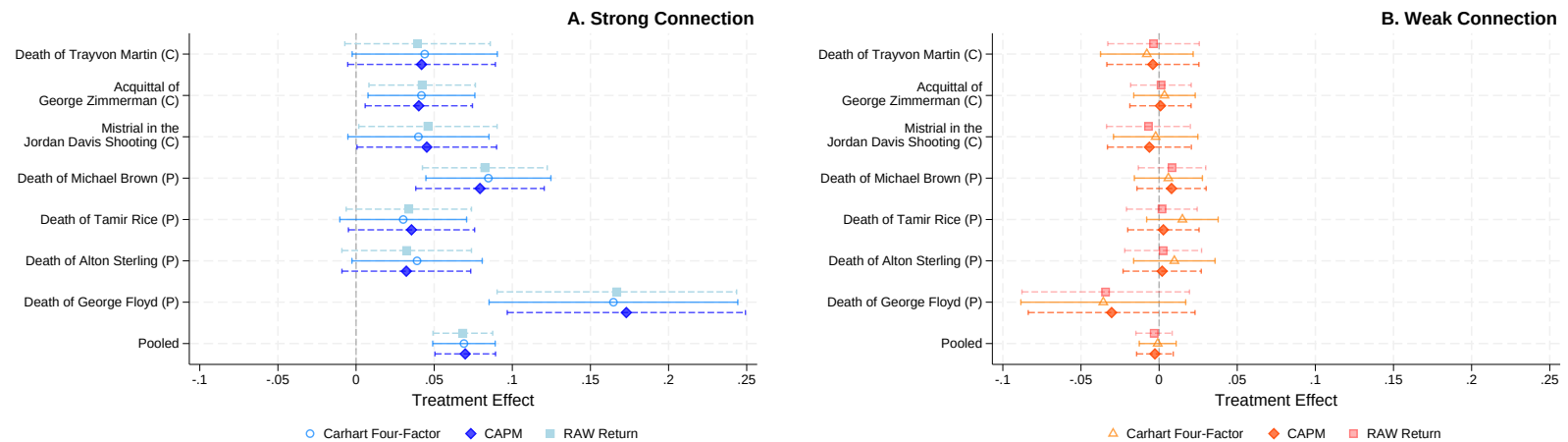
Notes: These figures present the daily impact of high-profile incidents on firms' CARs. The figure shows results for our secondary sample of private security firms. We report SDID estimates and 95% confidence intervals for each high-profile incident. The SDID estimates are computed from the sum of all abnormal returns since 63 trading days (i.e., a quarter) before the event. Abnormal returns are calculated with the Carhart four-factor model with an estimation window of 252 trading days ending 30 days before the day of interest. We categorize each event as civilian anti-Black violence (C) or police violence (P).

Figure A.9: Daily CAR Trends for Private Security Firms Around High-Profile Incidents – SDID Method – Secondary Sample



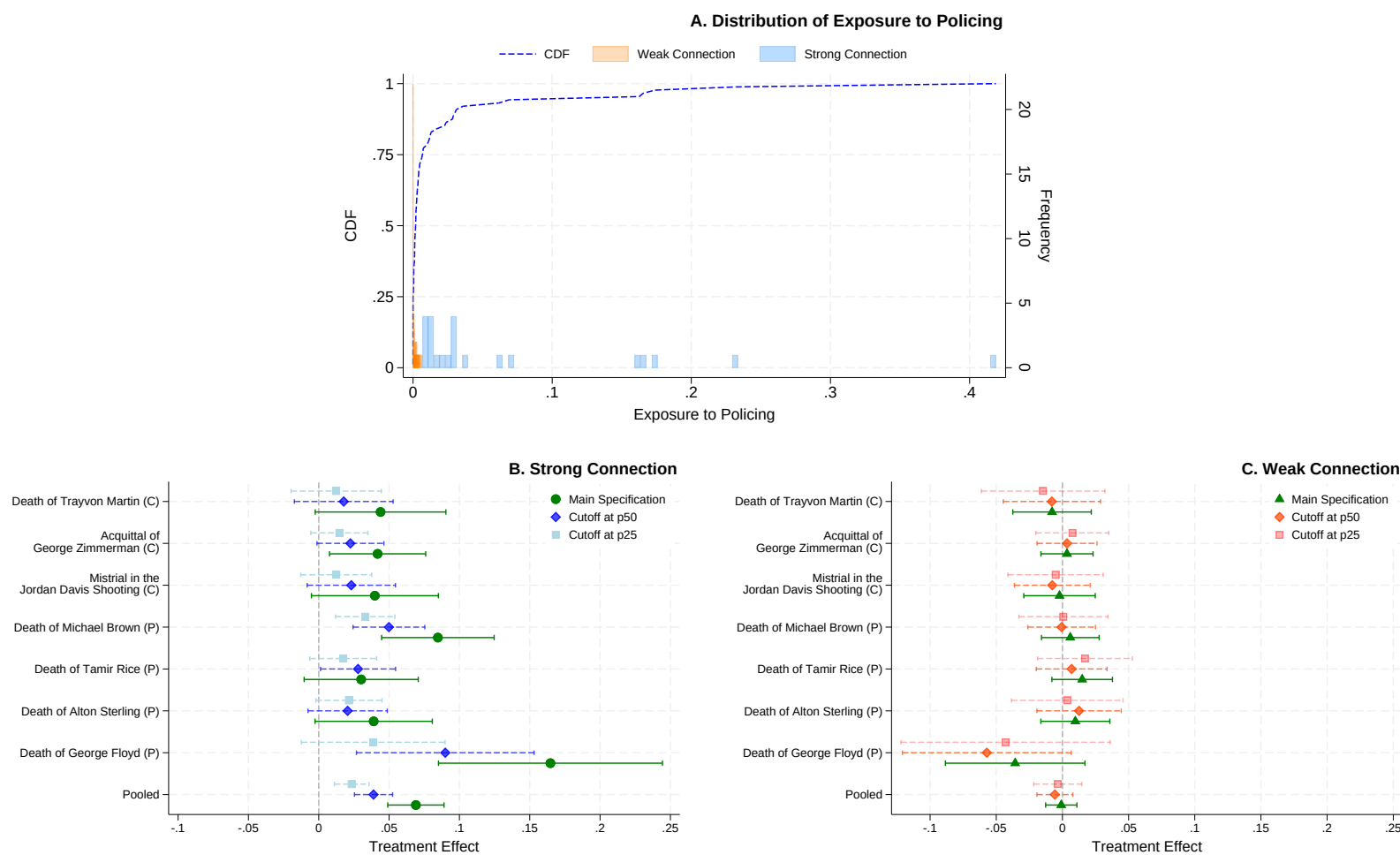
Notes: These figures present the daily impact of high-profile incidents on the cumulative abnormal returns of our secondary sample of private security firms. We report the CAR trends of the connected firms and their SDID counterfactuals. The vertical dashed line represents the first trading day after the event of interest. The CAR is the sum of all abnormal returns since 63 trading days (i.e., a quarter) before the event. Abnormal returns are calculated with the Carhart four-factor model with an estimation window of 252 trading days ending 30 days before the day of interest.

Figure A.10: Alternative Specifications: Cumulative Returns and CARs Based on Carhart Four-Factor Model and CAPM



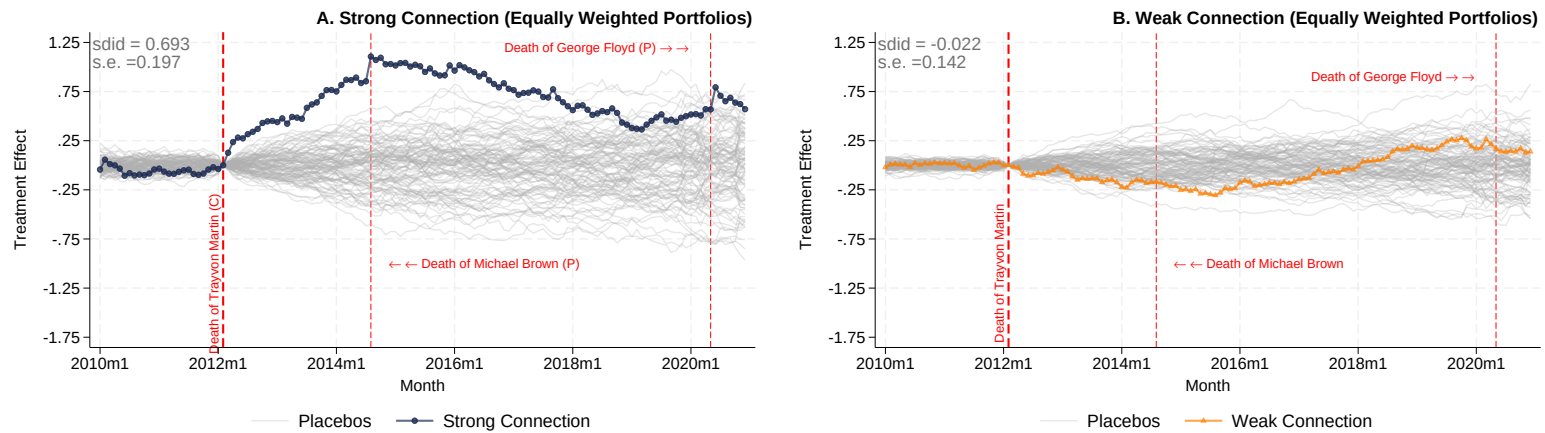
Notes: This figure provides the SDID estimates and 95% confidence intervals for each high-profile incident. The SDID estimates are computed from the sum of all abnormal returns since 63 trading days (i.e., a quarter) before the event. Abnormal returns are calculated with either the capital asset pricing model (CAPM) or the Carhart four-factor model with an estimation window of 252 trading days ending 30 days before the day of interest. We also report the SDID estimates based on the cumulative returns.

Figure A.11: Alternative Specifications with Different Thresholds for Defining Strong Connections



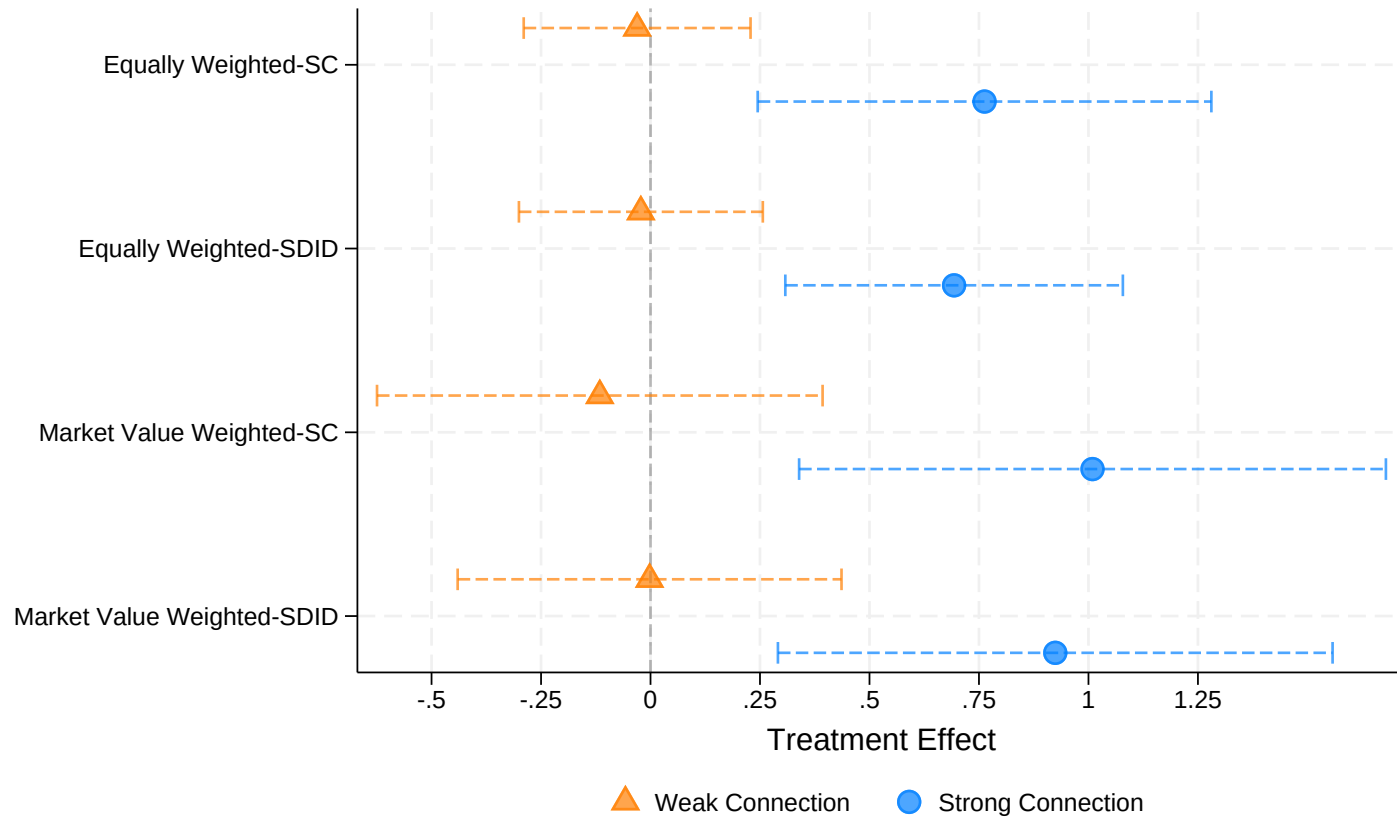
Notes: Panel A presents the cumulative distribution function of the measure of exposure to policing (left y -axis) and its frequency (right y -axis) for firms with strong and weak connections to policing. We define firms as having strong connections if their police exposure is above the 75th percentile and as having weak connections otherwise. Panel B and C provide the SDID estimates and 95% confidence intervals for each high-profile incident based on thresholds at the 25th (p25), 50th (p50), and 75th (main specification) percentiles to define strong connections to police. The SDID estimates are computed from the sum of all abnormal returns since 63 trading days (i.e., a quarter) before the event. Abnormal returns are calculated with the Carhart four-factor model with an estimation window of 252 trading days ending 30 days before the day of interest.

Figure A.12: Long-Run Impact of BLM on Cumulative Abnormal Portfolio Returns (Equally Weighted)



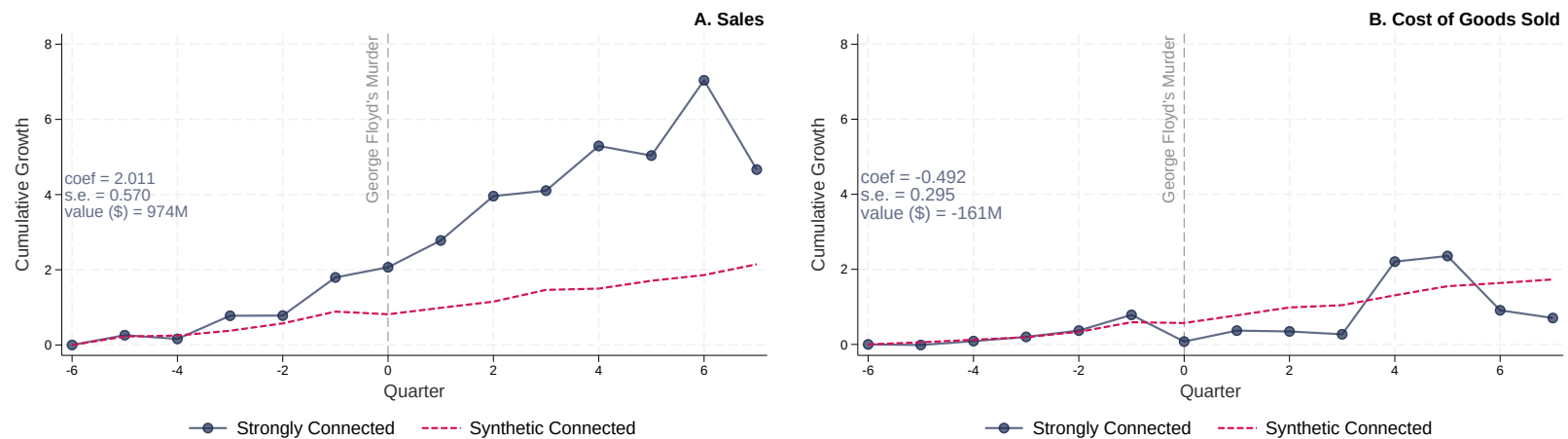
Notes: Figures A and B present the long-run impact of Trayvon Martin's death on the cumulative abnormal portfolio returns of firms with strong and weak connections to the police industry. This specification considers passive investor portfolios with equally weighted firms. We report the treatment effect of the incident on the CARs of treated firms. The treatment effect is the gap in CARs between the actual portfolios and their synthetic counterfactuals. The red vertical dashed line represents the month of Trayvon Martin's death. We also report the treatment effects for the placebo groups. The SDID estimates are computed from the sum of all abnormal returns since January 2010. Abnormal returns are calculated with the Carhart four-factor model with an estimation window of 60 months ending 30 months before the day of interest.

Figure A.13: Alternative Specifications: Long-Run Impact of BLM



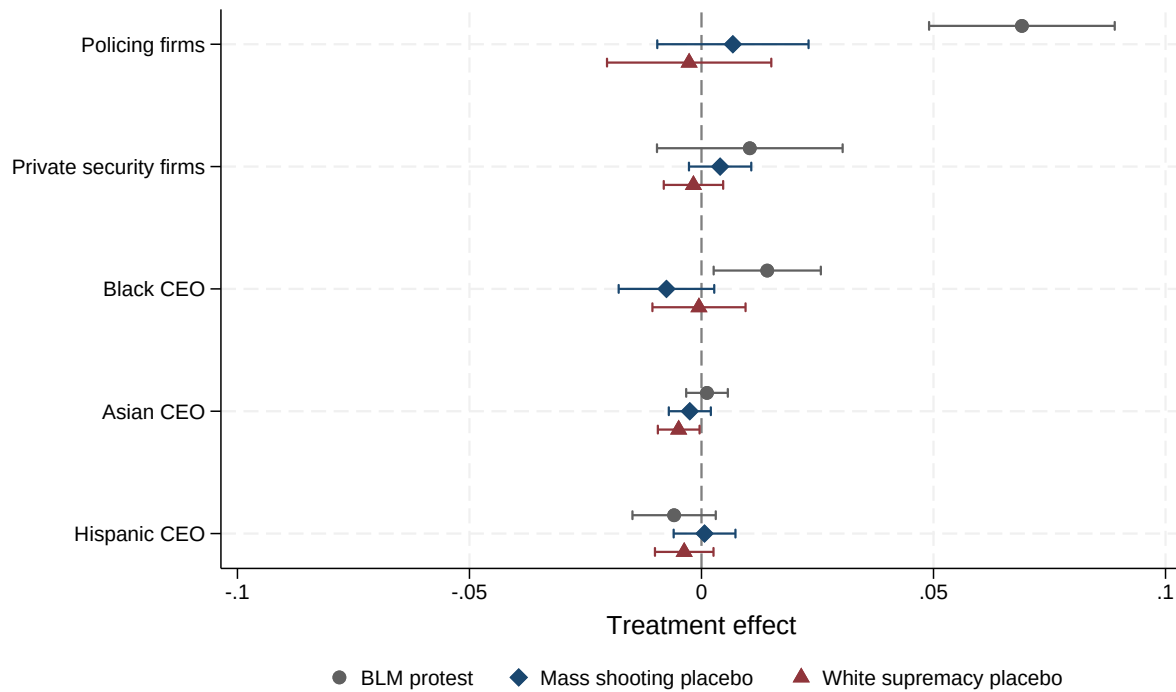
Notes: This figure provides alternative specifications of the long-run impact of the BLM uprisings. We report the SDID and SC estimates and 95% confidence intervals under alternative long-run specifications. These specifications consider passive investor portfolios with either equally weighted or market value-weighted firms. In addition, we report the treatment effect of the event on the CARs of treated firms. The SDID estimates are computed from the sum of all abnormal returns since January 2010. Abnormal returns are calculated with the Carhart four-factor model with an estimation window of 60 months ending 30 months before the day of interest.

Figure A.14: Impact of George Floyd's Murder on Sales and Cost of Goods Sold Based on SDID



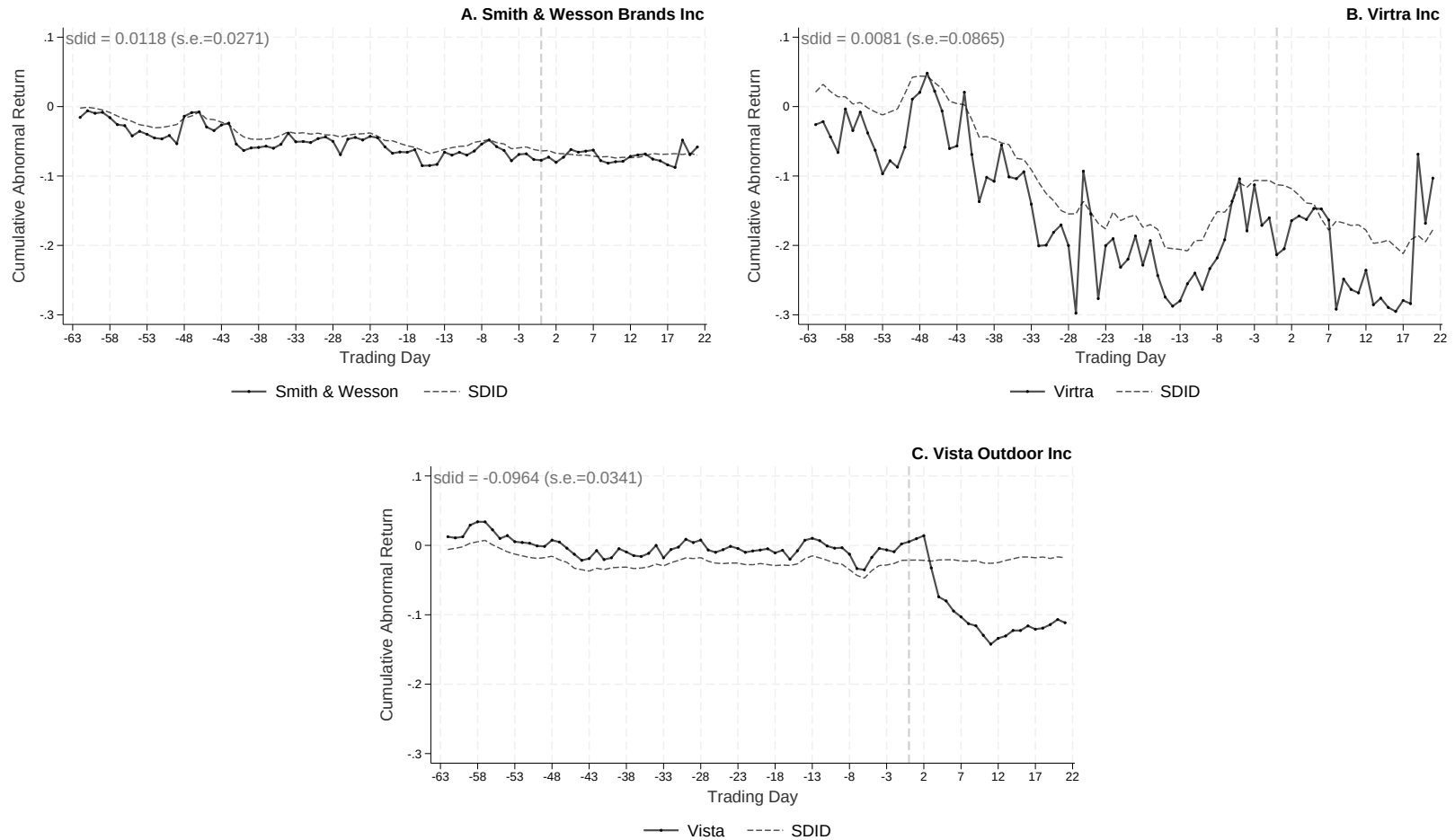
Notes: Figures A and B present the impact of George Floyd's murder on the cumulative growth (relative to the first period) of the sales and cost of goods sold for firms with strong ties to police. The treatment effect is the gap in outcomes between the actual firms with strong connections and their synthetic counterfactuals. We report the SDID estimates and the standard errors. We also report the dollar amount associated with the treatment effects relative to the outcomes in the first period in the analysis. The vertical dashed line represents the quarter of George Floyd's death.

Figure A.15: High-Profile Incidents and Daily CARs – Policing Firms vs Other Firms Across Event Types



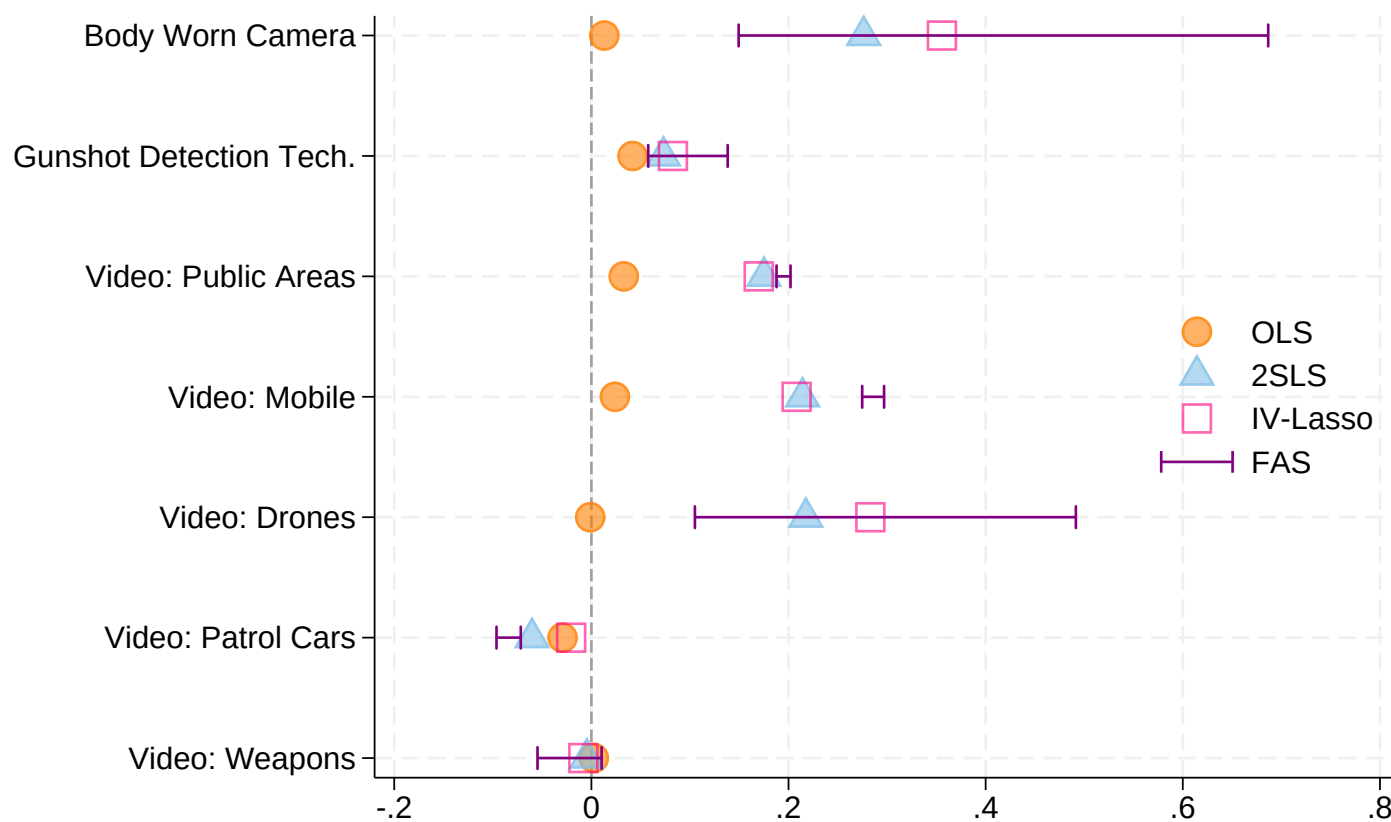
Notes: This figure presents the daily effect of high-profile incidents on various types of firms. For each category of firm (policing firms, private security firms, and firms with a Black, Asian, or Hispanic CEO) and each event type (BLM protests, mass shootings, and white supremacist killings), we plot the average treatment effect, pooling events within each type. The SDID estimates are computed from the sum of all abnormal returns since 63 trading days (i.e., a quarter) before the event. Abnormal returns are calculated with the Carhart four-factor model with an estimation window of 252 trading days ending 30 days before the day of interest.

Figure A.16: Daily Impact of Mass Shootings on Firearm Suppliers' CARs



Notes: These figures present the daily impact of mass shooting incidents on the cumulative abnormal return of firms providing firearms and firearm training. We report the CAR trends of the connected firms and their SDID counterfactuals. The vertical dashed line represents the first trading day after the event of interest. We report SDID estimates, and standard errors are in parentheses. The SDID estimates are computed from the sum of all abnormal returns since 63 trading days (i.e., a quarter) before the event. Abnormal returns are calculated with the Carhart four-factor model with an estimation window of 252 trading days ending 30 days before the day of interest.

Figure A.17: Falsification Adaptive Sets for 2SLS Estimates



Notes: This figure displays the falsification adaptive sets (FAS) regarding the effect of the summer 2020 protests on the adoption of technology by police departments. These estimates are derived according to (Masten and Poirier, 2021). Additionally, we provide comparisons with the OLS, 2SLS, and IV-lasso estimates for context.

Table A.1: Topic Keywords

Topics	Keywords
Police	police, policing, sheriff, trooper, law enforcement
Government	dod, dhs, doj, dea, cia, public, uk, united states, united kingdom, australia, canada, japan, republic of, canadian, french republic, france, israel, spain, italy, mexican, mexico, singapore, kingdom of saudi, city, baltimore, chicago, new york, university of cali, washington, enforcement, sheriff, trooper, army, armed force district of columbia, state of, county, ministry, department of, commonwealth, law

Table A.2: Event Study of the Impact of High-Profile Incidents on CARs

	(1)	(2)	(3)	(4)
	CAR[0,1]	CAR[0,7]	CAR[0,14]	CAR[0,21]
Strong Tie	0.00355 (0.00424)	0.0416** (0.0178)	0.0575** (0.0274)	0.0643** (0.0298)
Weak Tie	-0.000644 (0.00210)	0.00793* (0.00470)	0.00971 (0.00699)	0.0104 (0.00835)
Size	-0.00114** (0.000491)	-0.00411*** (0.00104)	-0.00636*** (0.00162)	-0.00788*** (0.00180)
Profitability	-0.00121 (0.00656)	0.000197 (0.00939)	-0.00354 (0.0150)	0.0217 (0.0170)
Leverage	0.000133 (0.000117)	0.000240 (0.000267)	0.000500 (0.000336)	0.000668** (0.000330)
Observations	3535	3535	3535	3535

Notes: The table presents the daily impact of high-profile incidents on the cumulative abnormal returns of firms connected to the police industry. Each outcome, $CAR_i[n, m]$, is the cumulative abnormal return over the window of $[n, m]$, where the event day is set to 0. Abnormal returns are calculated with the Carhart four-factor model with an estimation window of 252 trading days ending 30 days before the day of interest. All the regressions include location, event, and industry fixed effects. Standard errors are clustered at the firm level. *** $p < 0.01$; ** $p < 0.05$; * $p < 0.1$.

Table A.3: Impact of Mass Shootings on Smith & Wesson's CARs

	(1)	(2)	(3)	(4)
	CAR[0,1]	CAR[0,7]	CAR[0,14]	CAR[0,21]
Strong Tie	-0.0448*** (0.0164)	0.0412 (0.0341)	-0.0660 (0.0446)	0.124*** (0.0437)
Size	0.000863 (0.000755)	0.000409 (0.00130)	-0.00150 (0.00214)	-0.00196 (0.00214)
Profitability	-0.00359 (0.00318)	0.0178 (0.0160)	0.0220 (0.0227)	0.0328 (0.0247)
Leverage	0.0000333 (0.000304)	-0.00102 (0.000624)	-0.00153** (0.000774)	-0.000967 (0.000772)
Observations	1075	1075	1075	1075

Notes: The table presents the daily impact of mass shootings on the cumulative abnormal returns of Smith & Wesson Brands Inc. Each outcome, $CAR_i[n, m]$, is the cumulative abnormal return over the window of $[n, m]$, where the event day is set to 0. Abnormal returns are calculated with the Carhart four-factor model with an estimation window of 252 trading days ending 30 days before the day of interest. All the regressions include location, event, and industry fixed effects. We report bootstrap standard errors. *** $p < 0.01$; ** $p < 0.05$; * $p < 0.1$.

Table A.4: Impact of Mass Shootings on VirTra's CARs

	(1)	(2)	(3)	(4)
	CAR[0,1]	CAR[0,7]	CAR[0,14]	CAR[0,21]
Strong Tie	-0.0447*** (0.0170)	0.0408 (0.0356)	-0.0670 (0.0475)	0.120*** (0.0418)
Size	0.000851 (0.000666)	0.000380 (0.00139)	-0.00153 (0.00188)	-0.00199 (0.00208)
Profitability	-0.00360 (0.00315)	0.0177 (0.0156)	0.0218 (0.0211)	0.0325 (0.0231)
Leverage	0.0000332 (0.000291)	-0.00103* (0.000553)	-0.00154* (0.000842)	-0.000977 (0.000737)
Observations	1064	1064	1064	1064

Notes: The table presents the daily impact of mass shootings on the cumulative abnormal returns of VirTra Inc. Each outcome, $CAR_i[n, m]$, is the cumulative abnormal return over the window of $[n, m]$, where the event day is set to 0. Abnormal returns are calculated with the Carhart four-factor model with an estimation window of 252 trading days ending 30 days before the day of interest. All the regressions include location, event, and industry fixed effects. We report bootstrap standard errors. *** $p < 0.01$; ** $p < 0.05$; * $p < 0.1$.

Table A.5: Impact of Mass Shootings on Vista's CARs

	(1)	(2)	(3)	(4)
	CAR[0,1]	CAR[0,7]	CAR[0,14]	CAR[0,21]
Strong Tie	0.00531 (0.0146)	-0.0881 (0.0567)	-0.104** (0.0484)	-0.0868* (0.0516)
Size	0.000842 (0.000680)	0.000437 (0.00149)	-0.00155 (0.00193)	-0.00203 (0.00220)
Profitability	-0.00367 (0.00368)	0.0167 (0.0149)	0.0222 (0.0227)	0.0331 (0.0225)
Leverage	0.0000342 (0.000286)	-0.00103** (0.000496)	-0.00153** (0.000693)	-0.000967 (0.000665)
Observations	1070	1070	1070	1070

Notes: The table presents the daily impact of mass shootings on the cumulative abnormal returns of Vista Outdoor Inc. Each outcome, $CAR_i[n, m]$, is the cumulative abnormal return over the window of $[n, m]$, where the event day is set to 0. Abnormal returns are calculated with the Carhart four-factor model with an estimation window of 252 trading days ending 30 days before the day of interest. All the regressions include location, event, and industry fixed effects. We report bootstrap standard errors. *** $p < 0.01$; ** $p < 0.05$; * $p < 0.1$.

Table A.6: Summary Statistics of Minority-Led and Private Security Firms

	(1)		(2)		(3)		(4)		(5)		(6)		(7)		(8)	
	Asian CEO Treat		Asian CEO Donor Pool		Black CEO Treat		Black CEO Donor Pool		Hisp. CEO Treat		Hisp. CEO Donor Pool		Priv. Safety Treat		Priv. Safety Donor Pool	
	Mean	SD	Mean	SD	Mean	SD	Mean	SD	Mean	SD	Mean	SD	Mean	SD	Mean	SD
Size	6.67	2.21	6.90	2.20	7.25	2.31	6.85	2.19	7.62	2.05	6.97	2.16	6.85	1.36	6.27	1.99
Profitability	-0.06	0.38	-0.04	0.39	-0.05	0.23	-0.42	19.13	-0.11	0.76	-0.31	16.14	-0.01	0.13	-0.05	0.28
Leverage	0.05	10.90	0.72	81.65	1.67	5.63	0.78	9.90	0.32	11.55	1.54	40.73	2.59	6.83	0.57	16.70
Number of Firms	256	0.00	2,127	0.00	53	0.00	1,450	0.00	93	0.00	1,936	0.00	16	0.00	215	0.00
Observations	1204		10164		264		6500		494		9131		64		912	

Notes: The table presents descriptive statistics for minority-led and private security firms and their donor pool. The variables size, profitability, and leverage capture log total assets, return on equity, and the ratio between total debt and total capital, respectively. All the variables are computed at their values the year before the event.

Table A.7: Products and Services by Firm

Category	Firms
license plate recognition	Federal Signal Corp; Motorola Solutions Inc; Veritone Inc; l3 Technologies Inc
image search and analysis	Federal Signal Corp; Veritone Inc; Axon Enterprise Inc
alarms, evacuation + public address equipment	Federal Signal Corp; Genasys Inc
emergency management	Federal Signal Corp; Motorola Solutions Inc; Tyler Technologies Inc; Lojack Corp
radios/accessories	Federal Signal Corp; Motorola Solutions Inc
intelligence-led policing	Federal Signal Corp; Motorola Solutions Inc; Textron Inc; Tyler Technologies Inc
GPS + detention equip + evidence storage + report writing	Motorola Solutions Inc; Axon Enterprise Inc
911/CAD + mapping	Motorola Solutions Inc; Tyler Technologies Inc; Axon Enterprise Inc
mobile communications/mdts	Motorola Solutions Inc; Tyler Technologies Inc; l3 Technologies Inc
crime analysis	Motorola Solutions Inc; Textron Inc; Faro Technologies Inc
portable/in-car	Motorola Solutions Inc; l3 Technologies Inc; Axon Enterprise Inc
courses/schools/seminars	Motorola Solutions Inc; Textron Inc; VirTra Inc; Smith & Wesson Brands Inc; Axon Enterprise Inc
case management	Motorola Solutions Inc; Textron Inc; Tyler Technologies Inc; Veritone Inc; Axon Enterprise Inc
CCTV + community policing	Motorola Solutions Inc; ShotSpotter Inc
cameras, video	Motorola Solutions Inc; Axon Enterprise Inc; Digital Ally Inc
communications management	Motorola Solutions Inc; Flir Systems Inc
computer-aided dispatch	Motorola Solutions Inc; Tyler Technologies Inc; Faro Technologies inc
communications security systems	Motorola Solutions Inc; Genasys Inc
records management	Motorola Solutions Inc; Tyler Technologies Inc; Veritone Inc; Axon Enterprise Inc
cameras, surveillance	Motorola Solutions Inc; Flir Systems Inc; Axon Enterprise Inc

Table A.8: Products and Services by Firm

Category	Firms
personnel mgt + predictive policing + networks + mobile devices	Motorola Solutions Inc; Tyler Technologies Inc
surveillance equipment	Textron Inc; Flir Systems Inc; ShotSpotter Inc; l3 Technologies Inc; Digital Ally Inc
data mining	Textron Inc; Veritone Inc
artificial intelligence	Tyler Technologies Inc; Veritone Inc
rescue/disaster equipment	Lojack Corp; Genasys Inc; Flir Systems Inc; l3 Technologies Inc
weapons, less-than-lethal	Genasys Inc; Axon Enterprise Inc
cameras, body-worn	Flir Systems Inc; Axon Enterprise Inc; Digital Ally Inc
thermal imaging systems	Flir Systems Inc; Digital Ally Inc
video analysis and enhancement	Veritone Inc; Axon Enterprise Inc
security devices/systems	ShotSpotter Inc; l3 Technologies Inc
restraint/defense devices	Wrap Technologies; Smith & Wesson Brands Inc
equipment, training	VirTra Inc; Smith & Wesson Brands Inc; Axon Enterprise Inc
firearms + firearms training	VirTra Inc; Smith & Wesson Brands Inc
cameras, digital	Faro Technologies Inc; Axon Enterprise Inc
recorders, video	Axon Enterprise Inc; Digital Ally inc

Table A.9: SDID Implementation Details

Analysis	Treated group	Events	Donor pool	Outcome	Freq.	Weights
<i>Panel A: Main specifications</i>						
Strong connection	Strongly connected policing firms	7 BLM + pooled	Base donor pool ^a	CAR (FF4)	Daily	Event + pooled
Weak connection	Weakly connected policing firms	7 BLM + pooled	Base donor pool	CAR (FF4)	Daily	Event + pooled
<i>Panel B: Heterogeneity</i>						
Strong, high gov. exposure	Strong firms, public-sector clients >50%	7 BLM + pooled	Base donor pool	CAR (FF4)	Daily	Event + pooled
Strong, low gov. exposure	Strong firms, public-sector clients ≤50%	7 BLM + pooled	Base donor pool	CAR (FF4)	Daily	Event + pooled
Weak, high gov. exposure	Weak firms, public-sector clients >50%	7 BLM + pooled	Base donor pool	CAR (FF4)	Daily	Event + pooled
Weak, low gov. exposure	Weak firms, public-sector clients ≤50%	7 BLM + pooled	Base donor pool	CAR (FF4)	Daily	Event + pooled
Product category, pooled	Strong firms in product category	7 BLM pooled	Base donor pool	CAR (FF4)	Daily	Category
Product category, Floyd	Strong firms in product category	George Floyd	Base donor pool	CAR (FF4)	Daily	Category
<i>Panel C: Comparison events and groups</i>						
Mass shootings	Strong and weak policing firms	11 pooled	Base donor pool	CAR (FF4)	Daily	Group
White supremacist murders	Strong and weak policing firms	8 pooled	Base donor pool	CAR (FF4)	Daily	Group
Minority CEO firms	Asian, Black, and Hispanic CEO firms	7 BLM + pooled	Base donor pool	CAR (FF4)	Daily	Event + group
Private security, primary	Primary private security sample	7 BLM + pooled	Base donor pool	CAR (FF4)	Daily	Event + pooled
Private security, secondary	Secondary private security sample	7 BLM + pooled	Base donor pool	CAR (FF4)	Daily	Event + pooled
<i>Panel D: Long-run specifications</i>						
Market-value weighted portfolio	Strong and weak portfolios	Trayvon Martin	100 placebo portfolios	Portfolio CAR (FF4)	Monthly	Portfolio
Equally weighted portfolio	Strong and weak portfolios	Trayvon Martin	100 placebo portfolios	Portfolio CAR (FF4)	Monthly	Portfolio
<i>Panel E: Robustness</i>						
CAPM abnormal returns	Strong and weak policing firms	7 BLM + pooled	Base donor pool	CAR (CAPM)	Daily	Event + pooled
Cumulative Returns (RAW)	Strong and weak policing firms	7 BLM + pooled	Base donor pool	Cum. raw return	Daily	Event + pooled
Strong cutoff at Median	Redefined strong and weak firms	7 BLM + pooled	Base donor pool	CAR (FF4)	Daily	Event + pooled
Strong cutoff at 25 percentile	Redefined strong and weak firms	7 BLM + pooled	Base donor pool	CAR (FF4)	Daily	Event + pooled

Notes:^a The base donor pool consists of publicly traded U.S. nontreated firms in the same state and four-digit SIC industry as the treated firms. Daily specifications use cumulative abnormal returns (CARs) based on daily abnormal returns. Unless otherwise indicated, abnormal returns are computed using the Carhart four-factor model with parameters estimated over 252 trading days ending 30 trading days before the event; CARs are cumulated from trading day -63 relative to the event. Alternatives measure consider “CAPM” and RAW returns. Long-run portfolio specifications use monthly CARs, with abnormal returns computed using a 60-month estimation window ending 30 months before the month of interest. Product-category specifications are estimated separately by category and are restricted to categories with at least two publicly traded strong-connection firms.

Table A.10: Deadliest Mass Shootings in the US from 2010 to 2020

Location and Date	No. of Deaths
Aurora, CO, 7/12/2012	12
Newtown, CT, 12/14/2012	27
Washington, DC, 9/16/2013	12
San Bernardino, CA, 12/2/2015	14
Orlando, FL, 6/12/2016	49
Las Vegas, NV, 10/1/2017	58
Sutherland Springs, TX, 11/5/2017	25
Parkland, FL, 2/14/2018	17
Thousand Oaks, CA, 11/8/2018	12
Virginia Beach, VA, 5/31/2019	12
El Paso, TX, 8/2/2019	22

Table A.11: White Supremacist Incidents from the ADL

Location and Date	Attacker	No. of Deaths	Google News Articles
Overland Park, KS, 4/13/2014	Frazier Glenn Miller	3	443
Charleston, SC, 6/17/2015	Dylann Storm Roof	9	1090
New York, NY, 3/30/2017	James Harris Jackson	1	182
Charlottesville, VA, 8/12/2017	James Alex Fields	1	86,400
Lake Forest, CA, 1/2/2018	Samuel Woodward	1	145
Shawnee, KS, 7/2/2018	Ronald Lee Tidwell	1	4840
Pittsburgh, PA, 10/27/2018	Robert Gregory Bowers	11	372
Poway, CA, 4/27/2019	John T. Earnest	1	307

Table A.12: Orientation of Product Categories Toward Reform and/or Crime Control

	Product	Reform	Crime Control
1	Recorders, Video	✓	✓
2	Cameras, Body-Worn	✓	✓
3	Cameras, Video	✓	✓
4	Equipment, Training	✓	✓
5	Courses/Schools/Seminars	✓	✓
6	Records Management	✓	✓
7	Portable/In-Car	✓	✓
8	Thermal Imaging Systems		✓
9	Surveillance Equipment		✓
10	Restraint/Defense Devices		✓
11	Firearms + Firearms Training		✓
12	Video Analysis And Enhancement		✓
13	Data Mining		✓
14	Weapons, Less-Lethal		✓
15	Image Search And Analysis		✓
16	GDWR		✓
17	Alarms		✓
18	Cameras, Digital		✓
19	Case Management		✓
20	Communications Security Systems		✓
21	Cameras, Surveillance		✓
22	Rescue/Disaster Equipment		✓
23	License Plate Recognition		✓
24	Security Devices/Systems		✓
25	Artificial Intelligence		✓
26	911/CAD + Mapping		✓
27	CCTV + Community Policing		✓
28	Radios/Accessories		✓
29	Emergency Management		✓
30	Communications Management		✓
31	Intelligence-Led Policing		✓
32	Crime Analysis		✓
33	Mobile Communications/Mdts		✓
34	PPNM		✓
35	Computer-Aided Dispatch		✓

Notes: All products are oriented toward crime-control efforts. However, only a subset are linked to police reform. We call a product as reform oriented if it is referenced in the [Police reform guide from 2017](#).

Table A.13: Private Security Firms (Primary Sample)

Company	Description
FORTUNE BRANDS HOME & SECUR	Fortune Brands Innovations (NYSE: FBIN) is an industry-leading home, security and digital products company. We're focused on exciting opportunities within the home, security and commercial building markets.
NORTEK INC	Nortek Security & Control LLC (NSC) is a global leader in smart connected devices and systems for residential, security, access control, and digital health markets.
NL INDUSTRIES	NL Industries, Inc. is a diversified holding company. NL conducts its component products operations through its majority-owned subsidiary, CompX International, Inc., and owns a significant interest in Kronos Worldwide, Inc., a global producer and marketer of value-added titanium dioxide pigments. CompX International is a diversified domestic manufacturer of engineered, quality components providing critical functionality to our customers' products. CompX operates through two business segments: CompX Security Products and CompX Marine.
ADT CORP	ADT provides safe, smart, and sustainable solutions for people, homes, and small businesses. Through innovative offerings, unrivaled safety, and a premium customer experience—delivered by the largest network of smart home security professionals in the U.S.—ADT empowers people to protect and connect to what matters most, every second, every day.
CONTROL4 CORP	Control4 connects a vast catalog of smart devices, bringing them all into one platform that delivers incredible experiences. Our integrators will personalize your system, automations, and scenes. Replace the many applications you use every day with one interface you can control from your smartphone, touchscreen, on-wall keypads, and more.
ALARM.COM HOLDINGS INC	Alarm.com is the award-winning smart home and business security platform that millions of customers depend on every day. Twenty years ago, we reinvented the security system to protect you better from intruders. We've been reinventing it ever since, creating a service that protects home and business owners worldwide, including our own friends and families.
OOMA INC	Ooma, Inc. is an American publicly traded telecommunications company based in the Silicon Valley, California area. Ooma offers communications services including Voice over IP (VoIP) calling for business, home and mobile users.
ATKORE INC	Atkore is a global manufacturer with facilities located around the world. Recognized as a leader in electrical, safety, and infrastructure solutions, our products are used to power and protect the world, including Electrical Conduit and Fittings, Cable and Cable Management Systems, Infrastructure Products, and Safety and Security Products. Distributors and contractors globally recognize Atkore as an industry leader and preferred supplier.
ARLO TECHNOLOGIES INC	Arlo combines an intelligent cloud infrastructure and mobile app with a variety of smart connected devices that transform the way people experience the connected lifestyle. Our cloud-based platform creates a seamless, end-to-end connected lifestyle solution that provides users visibility, insight and a powerful means to help protect and connect with the people and things that matter most to them.
EASTERN CO	The Eastern Company consists of Big 3 Precision, Eberhard Manufacturing Company, and Velvac. Eberhard is a global leader in the engineering and manufacturing of access and security hardware. Eberhard offers rotary latches, compression latches, draw latches, hinges, camlocks, key switches, padlocks, and handles among other products, as well as comprehensive development and program management services for custom electromechanical and mechanical systems designed for specific original equipment manufacturers ("OEMs") and customer applications. Eberhard's products are found in an expansive range of applications and products globally.
DIEBOLD NIXDORF INC	Diebold Nixdorf automates, digitizes and transforms the way people bank and shop. As a partner to the majority of the world's top 100 financial institutions and top 25 global retailers, our integrated solutions connect digital and physical channels conveniently, securely and efficiently for millions of customers every day.
STRATTEC SECURITY CORP	At STRATTEC, we deliver a comprehensive range of "Smart" Vehicle Power Access and Electronic and Security Solutions. Our leading portfolio of products and technologies has enabled STRATTEC to grow and thrive over its 110 year history, serving the Automotive Industry & Beyond.
IES HOLDINGS INC	IES designs and installs integrated electrical and technology systems and provides infrastructure products and services to a variety of end markets, including data centers, residential housing, and commercial and industrial facilities. Our more than 9,000 employees serve clients in the United States.
KRATOS DEFENSE & SECURITY	Kratos Defense & Security Solutions, Inc, headquartered in San Diego, California,[3] is an American technology company with manufacturing concentrations in weapons and military electronics.
ASCENT CAPITAL GROUP INC	Ascent Capital Group, Inc. was a publicly traded holding company whose primary subsidiary was Monitronics. Monitronics International was founded in Dallas in 1994 to provide alarm monitoring services to U.S. customers and businesses, as well as financing, technical training and product solutions[clarification needed] to dealers within the industry.

Notes: This table presents company descriptions of our primary sample of private security firms. We sourced descriptions from company websites where possible. If the website failed to provide a company description, we first fell back on the company descriptions on Wikipedia and then on the list compiled for ISC West 2025.

Table A.14: Private Security Firms (Secondary Sample)

Company	Description
HONEYWELL INTERNATIONAL INC	The Honeywell Building Automation business provides security and fire products and services that are critical for buildings around the globe. Building operators across many verticals depend on our technologies to help create safer and more efficient facilities. Honeywell's Security & Access Solutions includes mobile and cloud-enabled technologies for access control, intrusion detection, and locking solutions. Honeywell's Fire Solutions includes fire panels, smoke/ CO2 detectors, public address systems, and alarms, aspirating fire detection and voice alarms.
UBIQUITI INC	From high-performance Wi-Fi, switching, and routing to security and IoT, Ubiquiti's UniFi scales effortlessly with innovative software, thoughtfully crafted hardware, and enterprise-grade deployments—free from licensing fees.
COMMSCOPE HOLDING CO INC	CommScope solutions are at the heart of enterprise networks—where simplicity, reliability and adaptability are paramount. No matter if the connection is wired, Wi-Fi, or cellular—or even all three at once— CommScope builds the world's most advanced networks with solutions that deploy easily, provide economical and reliable service, and deliver industry-leading performance. Together, we help enterprises grow their networks so they can stay ahead of evolving applications and increased demands. Discover more at commscope.com
ALARM.COM HOLDINGS INC	Alarm.com (Nasdaq: ALRM) is the leading platform for the intelligently connected property. Millions of consumers and businesses depend on Alarm.com's technology to manage their property from anywhere. Our platform integrates with a growing variety of Internet of Things (IoT) devices through our apps and interfaces. Our security, video, access control, intelligent automation, energy management, and wellness solutions are available through our network of thousands of professional service providers in North America and around the globe.
ATKORE INC	Atkore's Security product offering is made up of two brands: Razor-Ribbon® and Calpipe Security Bollards®. Our products mitigate your risk through hardening the perimeter of your facilities. Razor-Ribbon products are applied to physical locations to prevent foot traffic, in such areas as nuclear and industrial facilities. Bollards are applied to high traffic areas where pedestrians and vehicles coexist. Our bollards products are typically customized for the aesthetic and needs of the location. Atkore Security has the technical experts and the products you need to secure your vision. Our innova
RESIDEO TECHNOLOGIES	Resideo is a leading global manufacturer and developer of technology-driven products and services that provide comfort, energy, safety, and security solutions. Our Honeywell Home, First Alert and Resideo brands are built on heritage, commitment and innovation and are trusted in 150 million homes globally to help protect what matters most. For more information about Resideo's products, smart solutions and services, visit resideo.com.
NAPCO SECURITY TECH INC	NAPCO Security Technologies, Inc. has a long heritage of developing innovative technology and reliable security solutions for security and commercial fire alarm dealers as well as systems integrators, including award-winning StarLink MAX2 ® Dual-Sim Universal Cellular Communicators for Commercial Fire, Intrusion and Connected Home or Business Services. Also with StarLink Onboard, FireLink™ Integrated Cellular FACPs, Prima by Napco & more...
INTEL CORP	Intel® RealSense™ technology leads AI computer vision solutions, enabling machines to perceive and interpret the real world in real time. Originating from Intel's Perceptual Computing line, Intel RealSense powers advanced applications in robotics, healthcare, physical therapy, access control, and retail. Our portfolio includes depth cameras, advanced 3D Visual SLAM technology, and facial authentication solutions, all designed for unparalleled security, performance, and reliability. Intel RealSense ID is an award-winning NIST-verified accurate, compact biometrics facial authentication solution.
WESCO INTL INC	Wesco builds, connects, powers and protects the world. Delivering ingenuity and expertise to approximately 150,000 customers worldwide, we help your business run smoothly by providing solutions that can increase profitability, improve productivity and mitigate risk. With millions of products and locations in more than 50 countries, Wesco delivers what you need, when you need it.
LUNA INNOVATIONS INC	Luna Innovations, provides intelligent business value through the deployment of distributed fiber-optic sensing in a wide variety of application areas serving a global market. Luna Innovations' Perimeter Intrusion Detection and Security system (PIDS) safeguards your infrastructure and assets using advanced distributed acoustic sensing (DAS) technology capable of identifying and locating multiple threats in real time, with point-locating capabilities to 10 m.

Notes: This table presents company descriptions of our secondary sample of private security firms. Company descriptions are sourced from the ISC West 2025 website.